

Godavari
Biorefineries Ltd

Somaiya
GROUP

61st Annual Report 2015-16

Godavari Biorefineries Ltd

Mission Statement

*To be a **world-class** global organization.*

*To be the **leading integrated biorefinery**.*

*To continuously **add value** to every part of sugarcane and any other biomass that the company processes.*

*To visualise, understand and meet **customer needs** and expectations.*

*To provide **superior returns** to shareholders through **efficient management, innovation** and **teamwork**.*

*To **participate** in, and **contribute** to the **all-round development** of the **community** in which the company operates.*

*To be a place where **individuals** aspire to and can make a difference, where good performance is applauded and of which people are proud to be a part of.*



vṛkṣa vallī āmhāṃ soyarīṃ vanacareṃ |

Tress, creepers and forest dwellers all are my kith and kin

Tukaram



Distillery Unit - Sameerwadi



Our Founder

Padmabhushan Shri K J Somaiya

1902 - 1999

Awards



Best Overall Performance of Private Sugar Mill Award

Mr. Balchandra Bakshi, General Manager (PA, IR & PR) receiving the Award for the Best Overall Performance of Private Sugar Mill from Bhartiya Sugars.



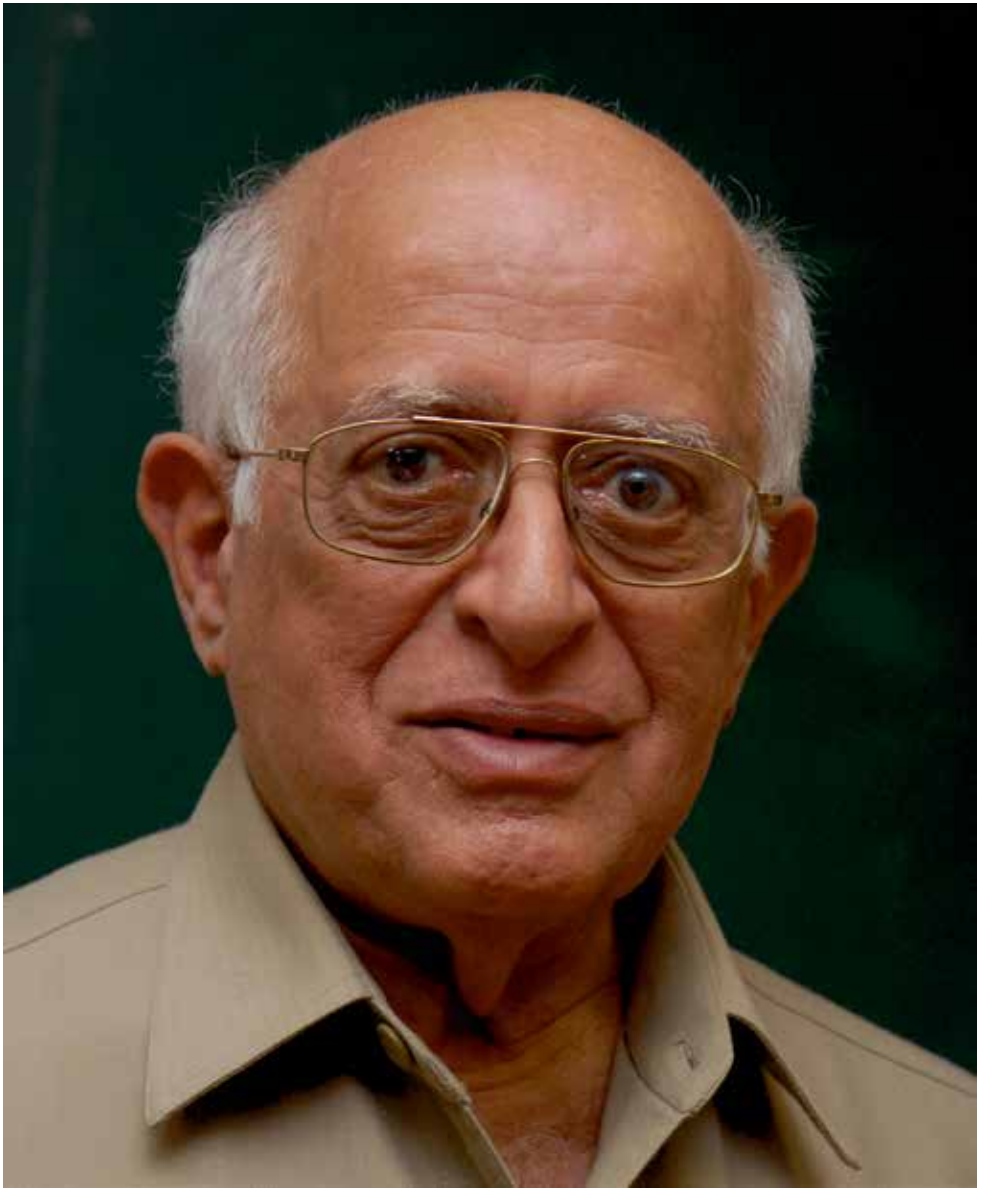
Export Excellence Award

Mr. Bableshwar, Director (Works) - Smeerwadi Unit receiving the Award for the best company under District Exporter for Bagalkot District.



State Export Excellence Award

Mr. C P Poojari, AGM receiving the Award for State Export Award for Excellence from Mr. Siddaramaiah (Chief Minsiter of karnataka) and Mr. R V Deshpande (Minsiter for large and Medium Scale Industries)



Our Mentor

Late Dr. Shantilal K Somaiya

1927 - 2010

Board of Directors



Standing From Left - Mr. Werner Wutscher, Mr. Mohan Somanathan, Mr. Shrinivas Bableshwar, Mr. Kailash Pershad, Mr. Vinay V. Joshi, Mr. Jayendra Shah, Mr. Paul Zorner

Sitting From Left - Mr. Uday Garg, Dr. K. V. Raghavan, Mr. Samir S. Somaiya (Chairman & MD), Dr. Badrinarayan R Barwale, Dr. Preeti Singh Rawat

Board of Directors

Chairman & Managing Director

Mr. Samir S. Somaiya

Executive Director

Mr. Vinay V. Joshi

Non - Executive Director

Dr. Badrinarayan R Barwale (upto 1st September, 2016)

Dr. Preeti Singh Rawat

Mr. Paul Zorner

Mr. Werner Wutscher

Independent Directors

Dr. K. V. Raghavan

Mr. Kailash Pershad

Mr. Jayendra Shah

Mr. I. C. Patel (upto 30th March, 2016)

Director - Works

Mr. Shrinivas Bableshwar (Sameerwadi Unit)

Mr. Mohan Somanathan (Sakarwadi Unit - w.e.f. 1st September, 2016)

Mr. Girish M Kajaria (Sakarwadi Unit - upto 30th June, 2015)

Investor Nominee Director

Mr. Uday Garg

Chief Financial Officer

Mr. Naresh S. Khetan

Company Secretary

Ms Nishi VijayVargiya (w.e.f 24th May, 2016)

CORPORATE IDENTITY NUMBER

U67120MH1956PLC009707

REGISTERED OFFICE

Somaiya Bhavan,
45/47, Mahatma Gandhi Road,
Fort, Mumbai – 400 001. INDIA.
Tel. : +91 22 2204 8272 / +91 22 6170 2100
Fax : + 91 22 2204 7297
Website: www.godavaribiorefineries.com
Email: investors@somaiya.com

FACTORIES

Sameerwadi
(Via Mahalingpur),
Dist. Bagalkot, Taluka Mudhol, Karnataka - 587316.

Sakarwadi
(Stn Kanhegaon),
Dist Ahmednagar,
Maharashtra – 413708.

AUDITORS

Desai Saksena & Associates (Chartered Accountants)

COST AUDITORS

B J D Nanabhoy & Co. (Cost Accountants)

SOLICITORS & ADVOCATES

Economic Law Practice
Hariani & Co.
Gagrats

REGISTRAR AND TRANSFER AGENTS

Link Intime India Pvt. Ltd. (w.e.f. 28th July, 2016)
C-13 Pannalal Silk Mills Compound,
LBS Marg, Bhandup (West), Mumbai – 400 078
Tel. : +91 22 2594 6970
Fax : +91 22 2594 6969
Email: rnt.helpdesk@linkintime.co.in

BANKS AND INSTITUTIONS

Andhra Bank

Bank of Baroda

Bank of India

Corporation Bank

Council for Scientific and Industrial Research

Punjab National Bank

State Bank of Patiala

Syndicate Bank

Sugar Development Fund

Union Bank of India

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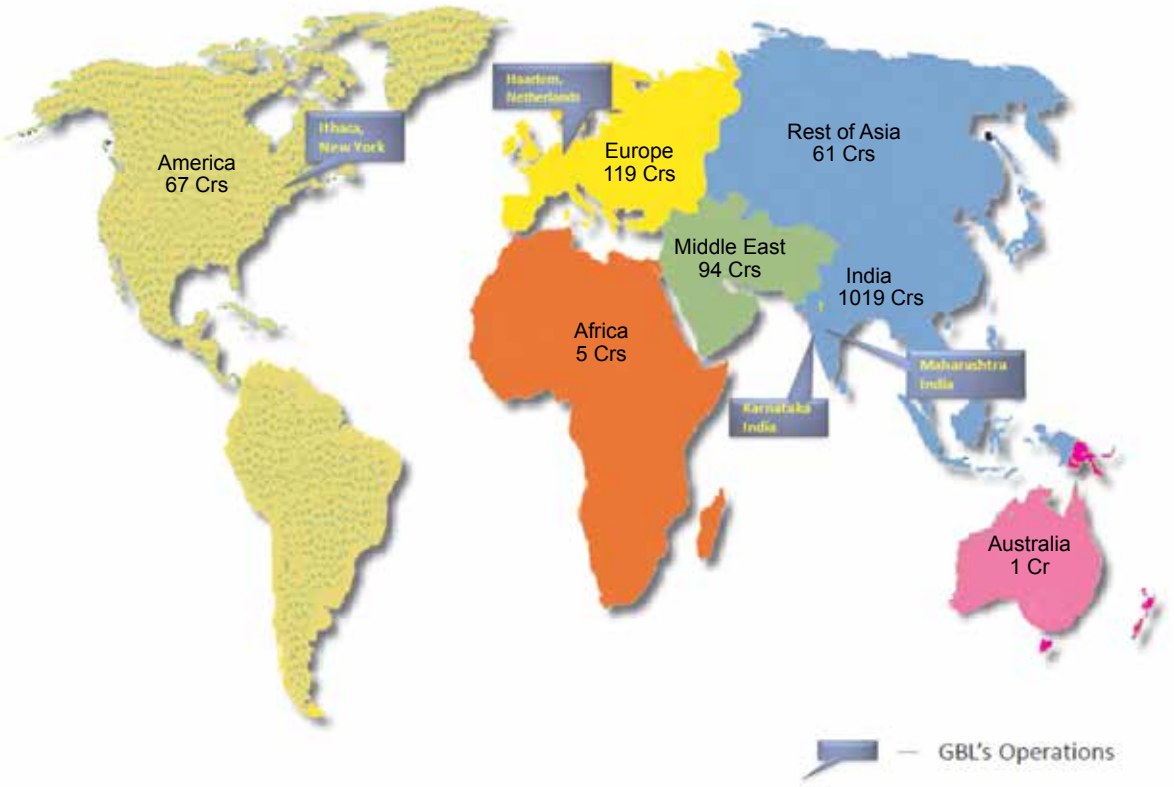
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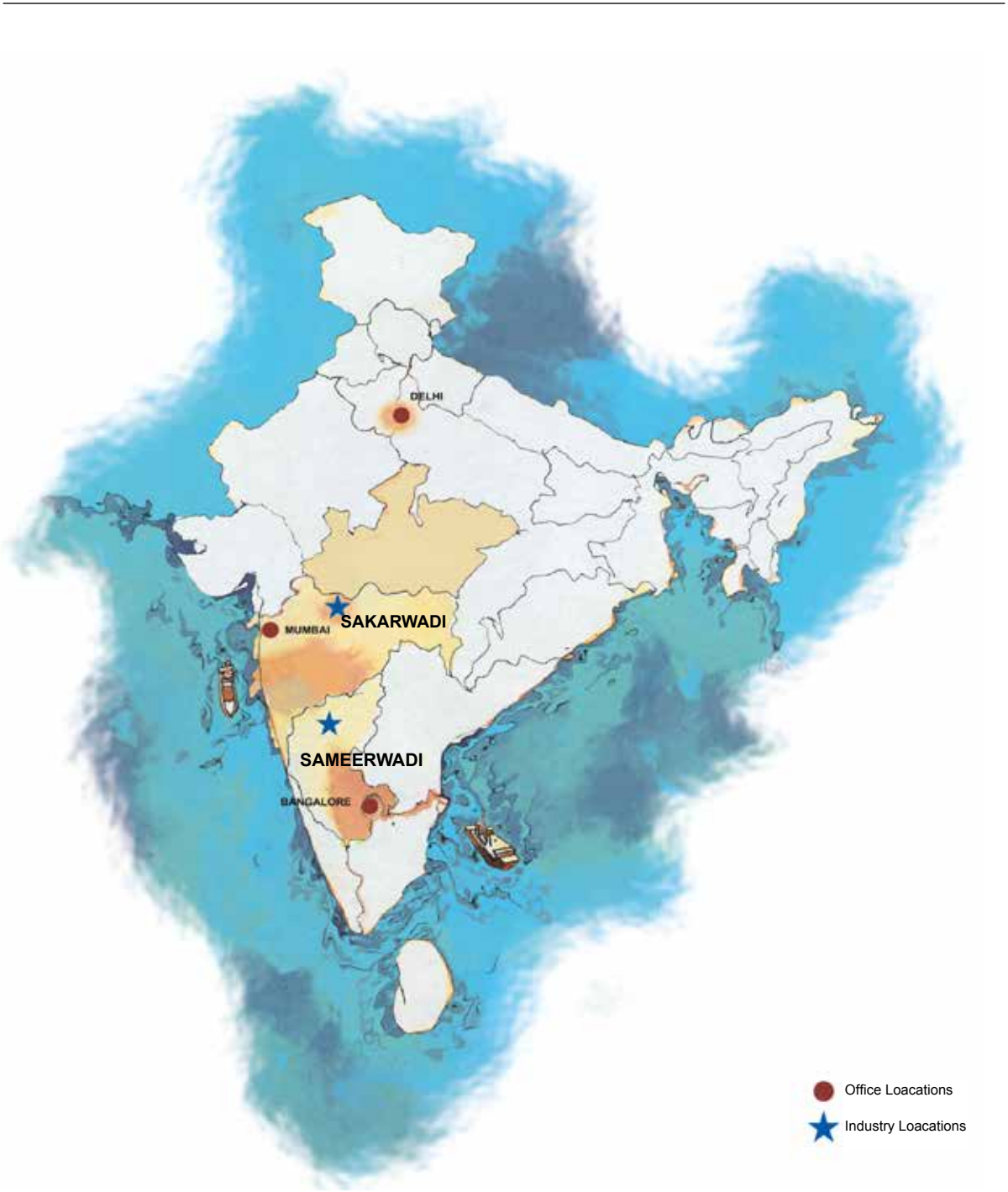
Consolidated Financial Statements

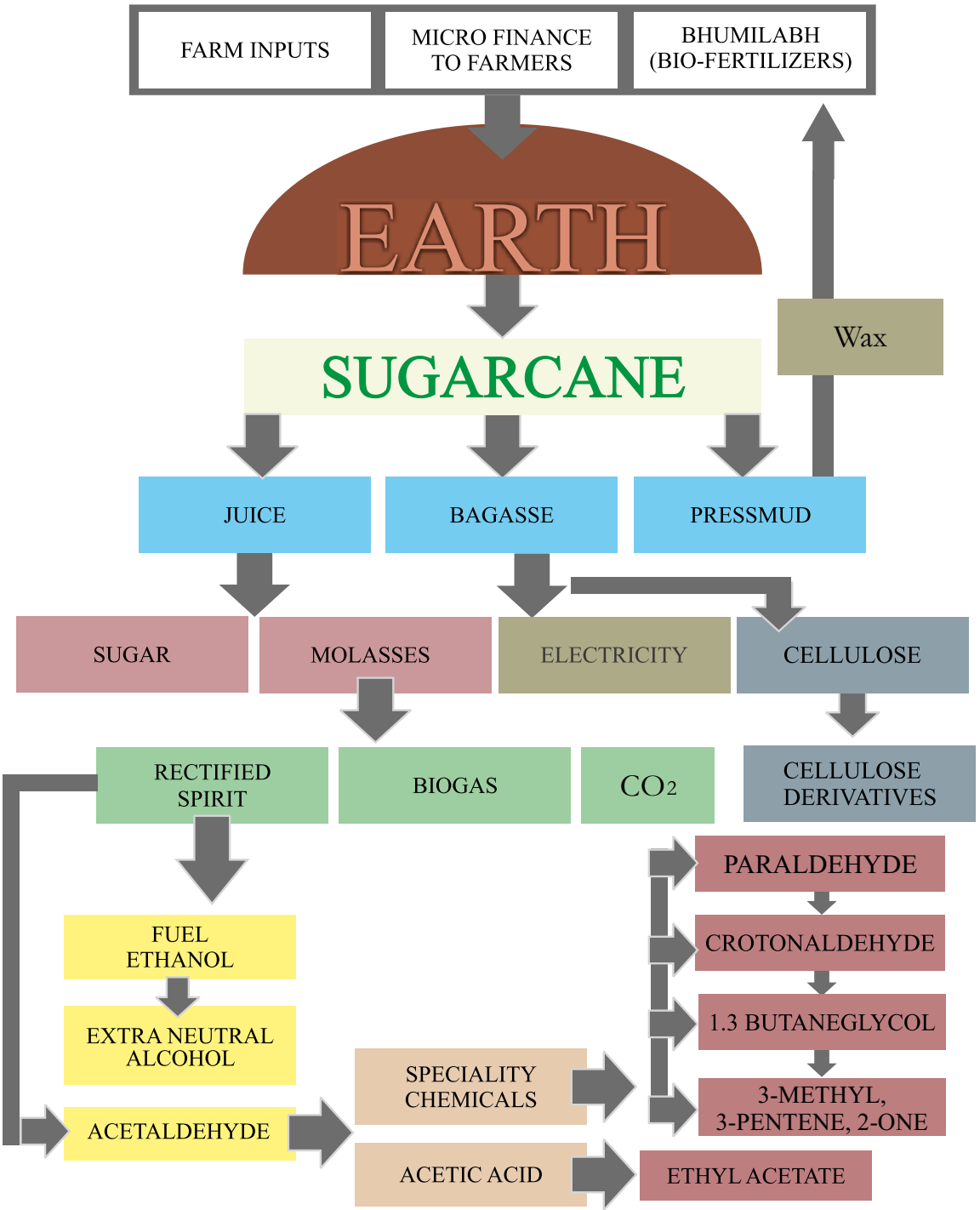
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Godavari Biorefineries Ltd's Global Presence



Locations


DELHI
MUMBAI
SAKARWADI
SAMEERWADI
BANGALORE
Office Loacations
Industry Loacations


FARM INPUTS
MICRO FINANCE TO FARMERS
BHUMILABH (BIO-FERTILIZERS)
EARTH
SUGARCANE
Wax
JUICE
BAGASSE
PRESSMUD
SUGAR
MOLASSES
ELECTRICITY
CELLULOSE
RECTIFIED SPIRIT
BIOGAS
CO2
CELLULOSE DERIVATIVES
FUEL ETHANOL
EXTRA NEUTRAL ALCOHOL
ACETALDEHYDE
SPECIALITY CHEMICALS
ACETIC ACID
PARALDEHYDE
CROTONALDEHYDE
1.3 BUTANEGLYCOL
3-METHYL, 3-PENTENE, 2-ONE
ETHYL ACETATE

Chairman's Outlook

Dear Shareholders,



We are an agribusiness company and deeply reliant on rainfall and weather. The severe drought in Karnataka and Maharashtra has affected our operations in the season, and will also affect the quantum of crushing as well as the recovery of cane for the coming season. However, the rains this year have been strong, and the dam levels are healthy. This bodes well for the 2017-18 season.

In spite of the ups and downs of weather, it is necessary for us to work closely with the farmer, for the long term health of both of us. We are inextricably linked together. Our aim is to see that the farmer and the farm are healthy. In the short and long term. To do this, we are working on introducing drip irrigation, intercropping, soil testing, subsequent supply of quality inputs, supply of tissue culture plantlets, and agronomic practices for achieving high yield.

Our Executive Director was unanimously elected as the President of the South Indian Sugar Mills Association for Karnataka (SISMA - K). Karnataka is the third largest producer of sugar in India. This is very prestigious for us, and reflects the confidence the sugar producers of Karnataka have in Mr. Joshi, and in our company.

Last year, I described how we were implementing our strategy to 'Go beyond the ordinary'. This year, we are continuing on this journey, and have achieved good success. Our strategy is to add value to our feedstock, and its related biomass. To convert biomass into useful product, chemically, physically or biologically. It is to create a brand, offer solutions to our customers, and to do so sustainably. It is to contribute to the community.

A successful implementation of this strategy would lead to a big difference in our sales, value add, and the value derived per ton of biomass. Our researchers are working in these areas, either to develop our own knowledge, protect the IP where possible, and license it where we need to.

We have made progress on all these fronts. We have successfully commissioned two projects making value added chemicals from ethanol. These initiatives mark a transformation in the chemical division of the company, and its progression into knowledge based chemistry. These products are now being successfully sold all over the world. During the 'Make in India' event in Mumbai, we signed an MOU with the Government of Maharashtra, for the setting up the expansion of our new 1,3 Butylene Glycol plant. In the coming years, will introduce more such chemicals.

I am pleased to inform that we sold over 300,000 tons of sugar last year. This is the highest amount of sugar we have probably sold in one year in our history.

We have also been working on conversion of biomass to cellulose, hemicellulose, lignin, and their derivatives. Our pilot plant to fractionate bagasse has been commissioned successfully. We are now working with our customers to get our product approved.

To enable the successful execution of our model, we need to crush more cane, and generate more biomass. We need

to be extremely energy efficient and save more bagasse. Our integrated sugarcane biorefining complex continues to improve efficiency and is among the largest single cane crushing operation in the country. Our energy saving will result in more bagasse saved and will ultimately serve as feedstock for our cellulose transformations.

I am delighted to say that Godavari Biorefineries at Sameerwadi was selected as the 'Best Overall Performance Private Sugar Mill Award' in Karnataka by Bharatiya Sugar. There are over 50 sugar mills in Karnataka, and I congratulate our team for getting this award. On the occasion of National Safety Day, Godavari Biorefineries Cogeneration division received the 'Best Safe Industrial Boiler' award from Karnataka State Safety Institute, for the year gone by.We have also received "Best Export Award: District category Bagalkote" for Export Excellence 2014-15 from Government of Karnataka.

The Karnataka Government invited us to further invest in Karnataka. The Invest in Karnataka event was held in Bengaluru, and I was honoured to be invited to be on the dais along with the Chief Minister, the Industry Minister, as well as many Union Ministers such as Shri Suresh Prabhu, Smt Nirmala Sitaraman, and others. We have made applications and got approvals for our Bagasse based Biorefinery and associated sugar expansion at Sameerwadi. This is in line with our strategy to further expand our ethanol based and bagasse based biorefining.

Much of our pipeline has been created by our research. To give further impetus to research, we have built a new Research Laboratory that we will occupy and start using from September this year.

We launched our newly designed website in late October. This website reflects the work we do, and the direction we are steering our company towards.

Our Jivana brand is slowly getting acceptance in Maharashtra, Karnataka, and Rajasthan. We also introduced turmeric to the basket of products we offer under the brand.

But as we continue on our march forward, we have to live and face the challenges of the present.

Last year, the sugar industry was reeling under the twin pressures of a falling sugar prices and a high floor price for cane as fixed by the Government. The high FRP had signalled to the farmer to plant more cane. More sugar was produced than was needed, resulting in a fall in sugar prices, rendering the economics still more unviable. As I said then, the solution was to either grow less cane, export the surplus, or increase demand for cane (by way of an ethanol or biochemical programme).

All of the above happened. The Government announced a more aggressive policy of ethanol blending by offering a fixed price for ethanol, that was higher than the then prevailing price and was remunerative in light of low sugar prices. This change in Government policy on ethanol created opportunities for us in ethanol dehydration. To increase our participation in this programme, we implemented an expansion of our ethanol dehydration facility at Sameerwadi in March 2016.

The Government also created a program to encourage the export of sugar, by announcing an additional cane price support to the farmer, if a mill exported a certain amount. This led to the export of sugar, reducing the sugar surplus. Finally, there was a drought significantly affecting sugarcane production last year, and likely to further affect availability in the coming season. The mismatch between demand and supply was therefore addressed, and with an estimate of a global sugar deficit for the first time in 6 years, the domestic and international market have rallied.

In light of this, the policy of allocating an export quantity to each mill has been replaced with a policy of a 20% export duty. My opinion always has been that the Government should not intervene in the markets of cane and sugar. Their intervention, even if well intentioned, serves to aggravate the sugar cycle. In any case, prices will remain bullish since

Chairman's Outlook

Indian production is expected to fall from the current year's production of 25 million tons to about 22 million tons next year. This is less than consumption by over 3 million tons.

As we continue on this journey and transformation, we are conscious that as the world changes, we will need to change faster. In our pursuit of our objectives, we will also keep our attention on the triple bottom line. Financial, Social, and Environmental. In our CSR initiatives, we continue to make education opportunity available to the communities around us. This past year, we helped in the creation of Jetavan, an adult learning centre near Sakarwadi, Maharashtra.

Before I conclude, I would like to place on record, my gratitude for the guidance we have received from Dr B. R. Barwale, who has decided not to stand for re-election due to his advancing age. He has been a leader in the field of agriculture, food and seeds for more than half a century, and we have benefited from his guidance. He also guided me personally after my father passed away suddenly in 2010. I cannot thank him enough.

I would also pay my respects to Indubhai Patel, who passed away this past year. He was a wonderful man, and served on our Board for over 23 years. He was a freedom fighter, a leader of the cooperative movement, conversant with sugar and sugarcane dynamics, and a grassroots political leader. He supported the company personally, when his help was most needed.

Samir S. Somaiya
Chairman and Managing Director

Jivãna™


जीवना Jivãna™
Going beyond the ordinary
REFINED IODISED SALT
NATURAL & FREE FLOWING
जीवना Jivãna™
Going beyond the ordinary
CLASSIC SUGAR
PREMIUM
जीवना Jivãna™
Going beyond the ordinary
TURMERIC POWDER
PURE & FARM FRESH

Directors' Report

Dear Shareholders,

Your Directors take pleasure in presenting the Sixty First Annual Report together with the Audited Financial Statements for the year ended 31st March, 2016.

Financial Highlights

(Rs. in Lacs)

	2015-16	2014-15
Sales	**136,478**	97,514
Profit / (Loss) before Depreciation, Interest and Tax	**11,104**	4,771
Finance costs	**8,323**	8,408
Profit / (Loss) after Interest but before Depreciation and Tax	**2,781**	(3,637)
Depreciation &Amortization	**4,344**	4,700
Profit / (Loss) Before Tax	**(1,563)**	(8,337)
Taxes	**(434)**	(541)
Profit / (Loss) After Tax	**(1,129)**	(7,796)

Division wise Sales Turnover:

(Rs. in Lacs)

Divisions	2015-16	2014-15
Sugar	**79,478**	48,706
Cogeneration	**5,645**	5,378
Chemicals	**37,816**	33,551
Distillery	**13,539**	9,879
Total	**136,478**	**97,514**

On a standalone basis, the Company achieved Sales Turnover of ₹ 136,478 Lacs for the financial year 2015-16 as compared to the Sales Turnover of ₹ 97,514 Lacs in the previous year. It has shown an improvement in sales turnover by 40% over previous year due to increase in sugar sales volume. The increased Ethanol sale by 80% over the previous year in Distillery division has further contributed to the increased sales turnover of the Company.

During the year under review, Company reported Loss of ₹ 1,563 Lacs as against loss of ₹ 8,337 Lacs in FY 2014-15. On a consolidated basis, the turnover is ₹ 138,595 Lacs and the loss after tax is ₹ 1,590 Lacs.

DIVIDEND

In view of losses incurred during the year, your Directors do not declare any dividend for the year.

DIRECTORS' RESPONSIBILITY STATEMENT

Your Directors state that:

a) In the preparation of the annual financial statements for the year ended 31st March, 2016, the applicable accounting standards have been followed with no material departures;

b) Have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at 31st March, 2016 and of the profit and loss of the company for that period;

c) proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

d) the annual financial statements have been prepared on a Going Concern basis;

e) Proper internal financial controls were in place and that the financial controls were adequate and were operating effectively.

f) Proper Systems have been devised to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

INDUSTRY OUTLOOK – SUGAR:

Sugar Production in India:

Total sugar production in India for the Sugar Season (SS) 2015-16 (October 2015- September 2016) till 30th April, 2016 dropped by 11 % against the corresponding period of last year. ISMA has revised the sugar production estimate from 260 Lac tons to 251 Lac tons by end of September 2016.

Production as on 30th June (Lac Tons)	India	Maharashtra	Uttar Pradesh	Karnataka
SS 2015-16 (Estimated)	251	84	68	41
SS 2014-15 (Actual)	283	105	71	49
Source: Indian Sugar Mills Association (ISMA)				

Due to less rainfall or drought like situation and lower water availability in reservoirs of some Districts of Maharashtra and North Karnataka, the acreage of sugarcane available for harvesting in 2016-17 SS is expected to be lower. Therefore, there is a general expectation that sugar production during 2016-17 SS from the States of Maharashtra and Karnataka, will be lower than the current SS due to lower acreage in some of these districts. ISMA has reported that the total acreage under sugarcane in the country is estimated to be around ₹ 49.91 Lacs hectares in 2016-17 SS, which is 5.5% lower to 2015-16 SS cane area of around ₹ 52.84 Lacs.

However, we expect that there will be above normal monsoon this year, which will be good for sugarcane planting and cane availability in SS 2017-18.

ISMA estimates an 8% reduction in overall sugar production. According to recent estimates, India is likely to produce 232.6 Lac MT of the sweetener in the 2016-17 starting from October 1, down from the current year's output of 251 Lac tons. The country will start the new crushing season with carry forward stock of about 70 Lac tons. The available sugar stock of 302.6 Lac tons is enough to meet the domestic requirement of 260 Lac tons in SS 2016-17.

Indian Sugar Production, Supply and Distribution (Figure in Lac MT)

	2014-15(P)	2015-16(E)
Opening Stock as on 1st October	**74.7**	90.8
Production during the season	**283.1**	251.0
Imports	**-**	-
Total availability	**357.8**	341.8
Off-take	**-**	-
i)Internal Consumption	**256.2**	256.0
ii)Exports	**10.9**	16.0
Total off take	**267.1**	271.0
Closing Stock as on 30th September	**90.8**	69.8
Source: Indian Sugar Mills Association (ISMA)	*(P) – Provisional and (E) – Estimated*	

Sugarcane Pricing:

Sugarcane price for Season 2013-14:

The Karnataka Sugar Control Board notified the sugarcane price for the season 2013-14 under the Karnataka Sugar

Control Act, 2013 at ₹ 2500/- per MT, ex-field for North Karnataka Region.

In view of Sugar factories being not in a position to pay State Advised Price (SAP) of ₹ 2500/- per MT, State Government has paid ₹ 200/MT directly to the farmer. The farmers have received ₹ 2400/MT for the season 2013-14 (₹ 2200/MT paid by the Sugar factory and ₹ 200/MT by Government). The sugar factories in the State expressed their inability to pay the balance price of ₹ 100/MT due to the aforesaid reasons. The Karnataka Government has started negotiating with the sugar mills to pay the balance amount of ₹ 100/MT. They have agreed to waive the cane purchase tax for the two forthcoming seasons i.e. 2016-17 and 2017-18, if the mills clear the following arrears of cane payment before 31st July, 2016.

a. Balance of ₹ 100/MT for 2013-14.

b. FRP for the season 2014-15.

c. FRP for season 2015-16

Above matters are under negotiation with the government.

Indian Sugar industry and Karnataka Sugar industry in particular has been very seriously affected by the mismatch between the cane price at FRP for sugarcane and sugar revenue as well as high State declared price by Karnataka government for season 2013-14.

Sugarcane price for Season 2007-08:

Government of Karnataka had announced ₹160/MT as additional cane price for the season 2007-08 over and above Statutory Minimum Price (SMP) announced by the Central Government. The Sameerwadi sugar factory paid ₹100/MT out of the additional cane price of ₹160/MT in the same year.

Most of the sugar factories in the State refused to pay the balance ₹60/MT. The South Indian Sugar Mills Association – Karnataka (SISMA-K) representing the member sugar factories moved the Karnataka High Court and thereafter appealed to the Hon'ble Supreme Court against the authority of the State Government to declare the sugarcane price over and above the Statutory Minimum Price announced by the Central Government. Hon'ble Supreme Court had granted stay on this order, which was operative till March 2016. The matter was heard in the Hon'ble Supreme Court on 11th March, 2016 and the Hon'ble Supreme Court directed the sugar mills to pay the balance amount against the additional price to the farmer Hon'ble Supreme Court kept open the question of law regarding the authority of the State Government to declare the cane price. If the payment is made within 3 months, then no interest needs to be paid by the sugar factories. The Sameerwadi sugar factory has made balance payment of ₹60/MT for season 2007-08.

Fair & Remunerative Price (FRP) for sugarcane for Season 2014-15: Government of India has fixed Fair and Remunerative Price (FRP) of ₹ 2200/- per MT at 9.5% recovery for the season 2014-15. Our company has made the payment to farmers at FRP for Season 2014-15.

Sugarcane price for Season 2015-16:

Government of India has announced in the year 2014, FRP applicable for the season 2015-16 @ ₹2,300/MT, based on 9.5% recovery. Few of the sugar factories have in fact moved Karnataka High Court with writ petition for the same.

Our company has made the payment to farmers at FRP for Season 2015-16.

Sugarcane price for the season 2016-17

There is no hike in FRP for season 2016-17. The Government of India has announced ₹ 2,300/MT linked to 9.5% recovery (same as last season).

Sugar Industry - Mismatch between FRP for sugarcane and Sugar revenue affects profitability of Indian Sugar Industry:

The mismatch between the sugar revenue and sugarcane price severely affected the profitability and cash flow of the entire sugar industry in general. Increased FRP of ₹ 2300/MT @ 9.5 recovery coupled with crash in sugar prices has resulted into sugar cane prices at FRP being about 100% of sugar revenue.

Indian sugar industry and Karnataka sugar industry association have been representing to both Central Government and State Government that sugarcane prices should be calculated on the basis of Revenue Sharing Formula (RSF) as suggested by Dr. Rangrajan Committee instead of current practice of Fair & Remunerative Price (FRP), which is calculated on the basis of high sugar price assumed by Commission for Agricultural Costs and Prices (CACP) / Ministry of Food and Agriculture. The Central Government has not accepted this request of the Indian Sugar Industry. The industry's demand for creating stabilization fund as recommended by CACP while recommending FRP for 2015-16, also still has not been accepted by the Government.

GOVERNMENT POLICY THAT SUPPORTED THE INDUSTRY:

In order to address the sickness of Indian Sugar Industry and to enable the sugar mills to pay cane price at FRP to cane grower, Government of India announced following relief measures:

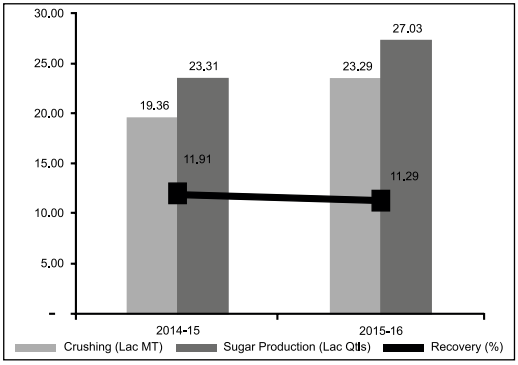
1. Government announced soft loans of ₹ 6,000 crore to enable the sugar mills to pay the sugarcane arrears at FRP with interest subvention of 10% for one year.
2. Increase in Import duty on sugar from 25% to 40%. This is to prevent any imports in expectation of further crash in the international sugar prices.
3. Government of India announced waiver of excise duty on Ethanol to promote the Ethanol blending program regularizing mandatory blending of Ethanol with petrol and to pass the benefit to sugar mills /distilleries.
4. In order to ensure timely payment to cane growers, the Government has announced a production subsidy @ ₹ 45 per MT of cane crushed to offset the cane cost. The Government made 3.2 Mn tonnes sugar export mandatory in Sugar Season 2015-16 in order to reduce the surplus sugar available in domestic market. This is a performance incentive based on fulfilling the export quota of 80% of targets notified under Minimum Indicative Export Quota (MIEQ) and Supply 80% of the ethanol quantity committed to OMCs under the Ethanol Blending Program.

   However, in view of estimated low sugar production in the next sugar season, government has withdrawn the production subsidy with effect from 19th May, 2016. In FY 2015-16, the Company have exported more than the doubled as compared to previous year.
5. Government has increased the sugar cess from ₹ 24 to ₹ 124 per quintal w.e.f. February, 2016. The government is utilizing the additional cess for the objective as notified for Sugar Development Fund.
6. The federal government asked state governments to impose stock limits on sugar to avoid hoarding by traders and to bring down sugar prices at reasonable level by curbing unscrupulous trading.

SAMEERWADI SUGAR DIVISION

Sameerwadi sugar factory crushed 23.29 Lac MT of sugarcane in FY 2015-16 with sugar production of 27.03 Lac Qtls as against crushing of 19.36 Lac MT with Sugar production of 23.31 Lac Qtls in previous year. Sugar season 2015-16 crushing ended early as compared to the last season (ended on 1st May, 2016) due to low availability of cane and shortage of water.

Due to continuous emphasis on improving productivity, Sameerwadi sugar factory has achieved better crushing rate per day compared to last season and has shown better efficiency in Steam to Cane percent compared to last year. This has helped us to have the highest bagasse saving during the current season.



The average recovery of Sugar from sugarcane was 11.29 % as against 11.91 % in the previous year. Due to the deficient monsoon rains in year 2014 & 2015, the cane production in Karnataka has suffered badly. Due to the failure of monsoon especially during the grand growth period of sugar cane (June & July), the quantity and yield of sugarcanes estimated to come down.

Sameerwadi sugar factory retained its No.1 position in Sugar production among 540 mills, on all India basis in the current season.

While the company achieved the substantial improvement in the operations, the financials were adversely affected especially due to the mismatch between the sugarcane price and Revenue from sugar.

The Company had its record highest sales of 30.55 Lac Qtls of sugar in FY 2015-16. This is about 75% higher than the sales of previous year.

"Jivana": We have expanded our reach by increasing the retail outlets across states in Maharashtra, Gujarat, Rajasthan, & Karnataka. We have commissioned the retail packing of 1 kg and 5 kgs, and are getting good response. Jivana Sugar has shown a significant improvement in the second year of its launch.

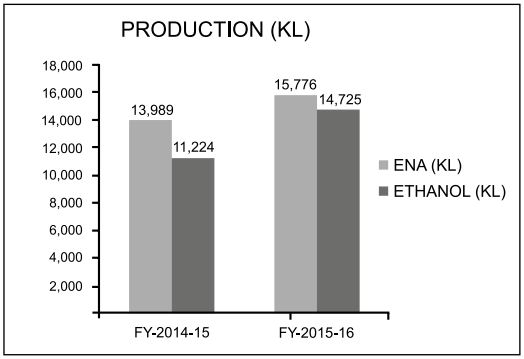
We launched Jivana Iodized Salt in the month of April, 2015. In the first year of operation, we have received encouraging response. We would be consolidating our presence in the identified markets in the current year. We have plans to widen the product offerings under "Jivana" brand Umbrella.

Local Sales: Sugar prices reached the bottom level of less than ₹ 2,200 / Qtl in July & August 2015 but at the end of 2015 and start of 2016 there has been spurt in sugar prices. Sugar prices for the major period of current financial year remained below the cost of production of sugar. The prices improved only at the end of last quarter of FY 2015-16 in anticipation of fall in sugar production in season 2016-17. Sugar prices have risen by nearly 11% during the January – March quarter of 2016. However, the average sugar realization for the year remained below the cost of production for the Season 2015-16.

Exports: The depreciation of Brazilian Real to USD by over 13% has impacted the international prices of sugar and further improved competitiveness of Brazilian sugar exports.

Indian sugar export remained sluggish as millers preferred to sell their produce in domestic market due to better prices of sugar in the market during the last quarter of FY 2015-16. There was clear disparity between the domestic and international sugar prices.

Indian sugar exports during the year are estimated to be 15 Lac MT as against 11 Lacs in the previous year.

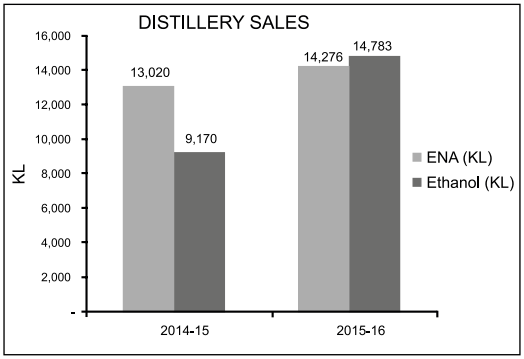


DISTILLERY DIVISION:

Sameerwadi Distillery unit caters to the demand of beverage industry, fuel industry and chemical industry with various grades of Alcohol.

Oil Marketing Companies (OMC's) contracted to buy over 136 crore liters of ethanol in 2015-16. In 2014-15, OMC's lifted 67.4 crore liters of Ethanol and the country achieved 2.5% ethanol blending with petrol. The Company has orders of 17.8 Million liters of Ethanol during 2015-16. Due to shortage of water and non-operation of distillery in offseason, we have restricted bid for Fuel Ethanol to 17.8 million liters of which we have dispatched about 10 Million liters till end of June, 2016.

The company implemented the project for expanding capacities of Fuel Ethanol to cater to the growing market as well as in view of better profitability. To improve our presence in the Ethanol Blending program of Government of India; we have undertaken the expansion of our fuel ethanol plant from current 50 KLPD to 200 KLPD. The plant was successfully commissioned on 14th March, 2016 and is operating at full capacity by getting the desired quality of Ethanol.

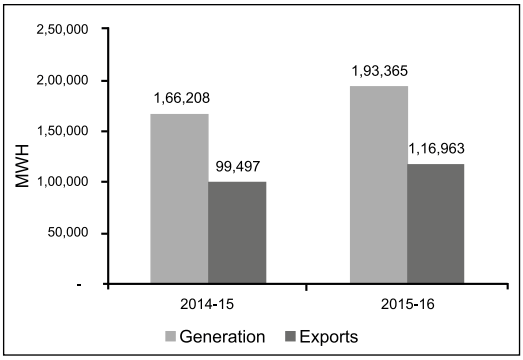


In order to be more environment friendly, our factory is planning to install Incineration boiler, thus achieving Zero Liquid Discharge (ZLD) for distillery. With this we expect to operate distillery for 300 days.

COGENERATION DIVISION:

Our Company has achieved 18 % higher power exports in the FY 2015-16 as compared to the previous year. Cogenration division has generated 193,365 MWH in the current year as compared to the power generation of 166,208 MWH in the previous year.

Government of Karnataka invoked Sec. 11 under Electricity Act due to deficient monsoon in Karnataka and resultant lower power generation from hydel power plants. It forced the power producers in Karnataka to supply power at fixed price of ₹ 5.08/unit to the state.



Our Company has been awarded 1st Prize in Best Safe Industrial Cogenration Boiler during State level Safety competition held on the eve of 45th National Safety Day celebrations on 4th March, 2016

SAKARWADI CHEMICAL DIVISION:

The performance of Sakarwadi Division has improved in FY 2015-16 as compared to the previous year. Sales of Chemical division for the year were ₹ 36,766 Lacs as against previous year sales of ₹ 32,241 Lacs.

MPO (3-Methyl, 3-Pentene, 2-One) plant started its commercial operation from 7th April, 2015. The product has been well accepted by our customers with improved purity.

The prolonged shutdown of distillery plant for water shortage coupled with the continuous recessionary conditions in the international market had adverse effect on the operation of Chemical division. Distillery in Sakarwadi will commence only after installation and commissioning of the incineration boiler which is a necessary compliance for achieving Zero Liquid Discharge. But we have deferred the investment in Zero Liquid Discharge project in view of the water shortage in Ahmednagar district.

Government of India's announcement regarding fixed attractive prices for ethanol supplied to Oil Marketing Companies (OMC) for petrol blending and waiver of excise duties on ethanol in the next sugar season have resulted in increased

prices of Ethanol. The ethyl acetate prices weakened due to fall in crude oil prices by about 30 % and increased ethanol production in USA & Brazil, the sugar exporters of Ethanol in the World market.

Moreover, fall in crude price have made Ethyl Acetate production from Ethylene more competitive compared to EA from Ethanol (Company's route). EA, thus manufactured from alternative route has affected the exports from India. The price of EA has come down by 11% in the international market over the period of FY 2015-16. The fall in Crude oil prices has not only impacted the performance of the Company during the year but also substantially affected the performance of our subsidiary company, which essentially depends on the marketing of these products in Europe.

Company has initiated following measures to improve the profitability of the Chemical division:

1. Change in the Raw material procurement and marketing strategy for Chemicals.
2. With a view to develop our Chemical business, company has embarked on diversifying its product portfolio to improve the margins and better utilization.
3. In view of local Ethanol prices being non-competitive due to higher prices fixed for Ethanol under Ethanol Blending Program, there was continuous appeal by Chemical Manufacturers on reducing the import duty on Ethanol. Government has reduced the duty on imported Alcohol from 5% to 2.5% acceding to the request of Chemical Manufacturers. This has necessitated in reviewing the current "Export Oriented Unit" Status for our Chemical factory.

NEW PROJECTS:

MOU with Maharashtra government:

The Company has signed MoU with Maharashtra government for production of Intermediates for Cosmetic Industry. We are in process of obtaining the necessary permissions from various government authorities for the project.

Our company's projects approved by Karnataka government during "Invest Karnataka 2016":

Bagasse based Bio-refinery: The Company is happy to inform that Karnataka Government has sanctioned this project for production of Cellulose and Cellulose Derivatives with the total investment of over ₹ 290 crores at Shirguppi in Bagalkot district.

Expansion/Modernization of Sameerwadi Sugar factory: The Company also has permission for Expansion of Sameerwadi sugar factory capacity to 22,000 TCD and additional Cogeneration power capacity of 20 MW.

REVIEW THE STATUS OF IMPLEMENTATION OF SECURITIES EXCHANGE BOARD OF INDIA (SEBI) ORDER:

The Company has allotted shares to the Trustees of Sameerwadi Sugarcane Farmers' Welfare Trust in FY 2009 – 2010. SEBI in its Order dated 1st January, 2016 have directed to refund the money equivalent to the value of their investment and pay interest @10% per annum from the date of allotment till the date of refund to all the contributories/beneficiaries or distribute the shares subject to positive consent from the contributories/beneficiaries.

We are in the process of implementing the Order of SEBI.

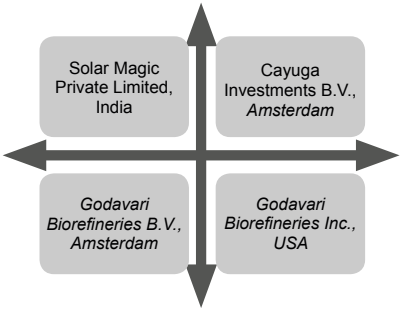
NATIONAL GREEN TRIBUNAL (NGT) HEARING:

NGT, Pune division has disposed off the petition of the private individuals against the company with an order to remediate the well water in the identified wells around the factory. Central Pollution Control Board (CPCB) the authority to implementation of NGT Order is in the process of identifying the suitable technology and the vendors for the water remediation.

Meanwhile the company has complied with all the directions of NGT. Original applicants have again approached NGT with a compliant regarding implementation of NGT Order. The hearing in the matter is in progress.

SUBSIDIARY & ASSOCIATE COMPANIES

As on 31st March, 2016, the Company had the following Subsidiaries and Associates, all of them are presently unlisted:



Solar Magic Private Limited

CIN: U01100MH1998PTC113856.

The Subsidiary is engaged in manufacturing of farm products and provides services to the farmers by way of sale and supply of fertilizers, irrigation facilities and other agriculture inputs.

Cayuga Investments B.V.

KVK NO: 34319213

The Subsidiary is engaged in investment activities. Cayuga has two following subsidiaries which are the Step Down Subsidiaries of Godavari Biorefineries Limited:

I. Godavari Biorefineries B.V., Amsterdam

KVK NO : 34325188

The Step Down Subsidiary of GBL act as intermediaries, consultants to provide support services, penetrate European markets

II. Godavari Biorefineries Inc., USA:

EIN : 300546856

The Company carried on the business as intermediaries, consultants to provide support services, penetrates USA markets during the year.

CONSOLIDATED FINANCIAL STATEMENTS

The Consolidated Financial Statements are prepared by the Company in accordance with the applicable Accounting Standards issued by the Institute of Chartered Accountants of India (ICAI) and the same together with Auditors' Report thereon forms part of the Annual Report. The financial statements have been prepared as per the Schedule III issued by the Ministry of Corporate Affairs.

MATERIAL CHANGES AND COMMITMENTS AFTER THE END OF THE FINANCIAL YEAR

There have been no material changes and commitments, if any, affecting the financial position of the Company, which have occurred between the end of the financial year and the date of the report.

MEETINGS OF THE BOARD OF DIRECTORS

Board Meetings held during the year:

Dates on which the Board Meetings were held	Total Strength of the Board	No. of Directors Present
29th June, 2015	14	13
1st September, 2015	13	11
5th September, 2015	13	8
5th November, 2015	13	10
9th February, 2016	13	11

DIRECTORS AND KEY MANAGERIAL PERSONNEL

Dr. B. R. Barwale, Director of the company has tendered his resignation from the Board of Directors of the company w.e.f. 1st September, 2016 for advanced age. The Board takes deep appreciation that Shri Barwale, has been a leader in the field of agriculture, food and seeds for more than half century, and the Company have benefited from his guidance and support rendered by Dr. B. R. Barwale during his tenure as a Director in the Company.

During the year, Shri Indubhai C. Patel, Director of our company passed away. He joined Somaiya Group in the year 1933. He was a member of the Board of The Godavari Sugar Mills Ltd., who was later appointed as a Director in Godavari Biorefineries Limited on 12th September, 2009. The Board takes deep appreciation for the valuable services rendered by Shri I.C. Patel during his tenure as a Director in the Company.

Mr. Mohan Somanathan was appointed as Additional Non-Executive Director of the Company by the Board w.e.f. 19th March, 2015 and the same was approved by the members in the Annual General Meeting held on 30th September, 2015. Further, Mr. Mohan Somanathan was appointed as Director (Works) of Sakarwadi unit with effect from 1st September, 2016, subject to approval of the members at the ensuing Annual General Meeting.

Further, during the year Mrs. Rutika Pawar has resigned from the post of Company Secretary on 29th February, 2016 and Ms. Nishi VijayVargiya was appointed as Company Secretary w.e.f. 24th May, 2016.

DECLARATION FROM INDEPENDENT DIRECTORS

The Independent Directors, have submitted a declaration that each of them meet the criteria of independence as provided in sub section (6) of Section 149 of the Companies Act, 2013 and there has been no change in the circumstances which may affect their status as independent director during the year. In the opinion of the Board, the independent directors possess appropriate balance of skills, experience and knowledge, as required.

COMMITTEES OF THE BOARD

AUDIT COMMITTEE

Due to the sad demise of Shri Indubhai C. Patel, the Audit committee was re-constituted and Shri Kailash Pershad was appointed as Chairman of the Committee. The Committee now consists of the following members:

AUDIT COMMITTEE	DESIGNATION
Shri Kailash Pershad	Chairman
Dr. K.V. Raghavan	Member
Shri Jayendra Shah	Member
Shri Samir Somaiya	Member
Shri Uday Garg	Member

NOMINATION AND REMUNERATION COMMITTEE

The Nomination and Remuneration Committee consists of a Chairman and Members majority of who are Independent Directors. The Committee consists of the following members:

NOMINATION AND REMUNERATION COMMITTEE	DESIGNATION
Shri Kailash Pershad	Chairman
Shri Uday Garg	Member
Shri Jayendra Shah	Member
Shri Samir Somaiya	Member

VIGIL MECHANISM / WHISTLE BLOWER POLICY

The Company has formulated a Whistle Blower Policy to provide a mechanism ("Vigil Mechanism") for employees of the Company to report genuine concerns at work place. The provisions of this policy are in line with the provisions of the Section 177 (9) of the Companies Act, 2013 and the details of the policy are also posted on the website of the Company.

FIXED DEPOSITS

Pursuant to Section 73 of the Companies Act, 2013 read with Rule 2 (e) of Companies (Acceptance of Deposits) Rules, 2014 the Company has obtained consent of the members to accept Public Deposits at its Annual General Meeting held on 26th September, 2014 and started accepting the deposits after due compliance of the provisions of the Act.

RELATED PARTY TRANSACTIONS

The details of transactions entered into with the Related Parties is annexed herewith as **Annexure "A"** and forms part of this report.

AUDITORS' REPORT

The notes to accounts referred to in the Auditors' Report are self explanatory and, therefore, do not call for any further comments. The observations and comments given in the report of the Auditors read together with notes to accounts are self explanatory and hence do not call for any further information and explanation under Section 134 of the Companies Act, 2013.

AUDITORS

Pursuant to the requirement of Section 139(1) of the Companies Act, 2013, M/s Desai Saksena & Associates (Firm Registration No. 102358W), Chartered Accountants, Mumbai were appointed as Statutory Auditors, for four financial years 2014-15, 2015-16, 2016-17 and 2017-18. They have confirmed their eligibility under Section 141 of the Companies Act, 2013 and the Rules framed thereunder for re- appointment as Auditors of the Company. As required under Section 139(1) of the Companies Act, 2013, the appointment of Statutory Auditors is placed before the Members for ratification.

COST AUDITORS

Pursuant to Section 148 of the Companies Act, 2013 read with The Companies (Cost Records and Audit) Amendment Rules, 2014, the cost audit records maintained by the Company relating to sugar (including industrial alcohol) and electricity is required to be audited. Your Directors had, on the recommendation of the Audit Committee, appointed M/s. B.J.D Nanabhoy & Co., Cost Accountants to audit the cost accounts of the Company for the financial year 2015-16.

The Cost Auditors have given a Certificate to the effect that the appointment, if made, will be within the prescribed limits

specified under Section 141 of the Companies Act, 2013.

Further, remuneration payable to the cost auditor is placed before the Members for their ratification.

SECRETARIAL AUDITOR

Pursuant to the provisions of Section 204 of the Companies Act, 2013 and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the Board of Directors has appointed Mr. Gajanan D. Athavale, Company Secretaries in Practice, to carry out the Secretarial Audit of the Company for Financial year 2015-16.

The Secretarial Audit Report is annexed herewith as **Annexure "B"**

RISK MANAGEMENT

Your Company has laid down policy on risk assessment and minimisation procedures and the same is periodically reviewed by the Audit Committee and the Board. The policy facilitates in identification of risk at appropriate time and ensures necessary steps to be taken to mitigate the risk.

The concerned departments and officials responsible for mitigation plan and review the risks from time to time. All the risks are identified at various departmental levels and suitable mitigation measures are thereafter adopted. These are subjected to a periodic review by the Executive Directors as well as the Board.

POLICY ON SEXUAL HARASSMENT OF WOMEN AT WORKPLACE

As per the requirement under the provisions made under Section 4 of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal), 2013, an appropriate Committee has been formed to attend to the complaints of the sexual harassment at workplace, if any, by female employees. During the year under review, no complaints were received.

PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS

The Company has not given any unsecured loan during the year except to subsidiary-Solar Magic Pvt. Ltd. The Company has not made any investments during the year under review. The Company has given guarantee to the extent of ₹ 5 Crore to Corporation Bank during the year. The Company has not provided any security in connection with a loan availed by any other body corporate or person.

RESEARCH AND DEVELOPMENT

Research & Development continues to be a strong backbone for the continuous innovation and business plans of the company. It focuses on the key areas of:

i) new process development exploring new value added products out of sugarcane biomass

ii) continuous improvement in the existing processes for value creation and to achieve sustainable growth and

iii) continuous improvement in the products quality as perceived by the customer

Your company's Research and technology team has implemented Cosmetic grade 1, 3 Butane Diol and the product is well accepted by the customer. The detailed disclosure is annexed herewith as **Annexure "C"** and forms part of this report.

PARTICULARS OF EMPLOYEES

Disclosures pertaining to remuneration and other details as required under section 197(12) of the Act read with Rule 5(2)

& 5(3) of the Companies(Appointment and Remuneration of Managerial Personnel) Rules, 2014 form part of this report as **Annexure "D"**

EXTRACT OF ANNUAL RETURN

The details forming part of the extract of Annual Return in Form MGT-9, forms part of this Report as **Annexure "E".**

CORPORATE SOCIAL RESPONSIBILITY

As required under Section 135 of the Companies Act, 2013 and the rules framed there under with respect to the Corporate Social Responsibility (CSR), the Company has constituted a Corporate Social Responsibility (CSR) Committee and had also adopted the CSR policy. The detailed report on CSR activities is annexed herewith as **Annexure "F"** and forms part of this report.

ADEQUACY OF INTERNAL FINANCIAL CONTROLS

The Company has proper and adequate system of internal financial controls commensurate with its nature and size of business and meets the following objectives:

- Providing assurance regarding the effectiveness and efficiency of operations
- Efficient use and safeguarding of resources
- Compliance with policies, procedures and applicable laws and regulations and
- Transactions being accurately reported and recorded timely
- The Company has budgetary control system to monitor expenditures and operations against budgets on an ongoing basis.

The Internal auditor also regularly reviews the adequacy of internal financial control system.

ACKNOWLEDGEMENTS

We take this opportunity to thank the Bankers of our Company for extending their assistance, to the employees for their dedicated service and contribution to the Company.

As part of our corporate values, your company believes in supporting and making contributions to the growth and development of rural sector in India.

We also thank our suppliers, customers for their continued support to the Company.

For and on behalf of the Board of Directors

sd/-
Samir S. Somaiya
Chairman and Managing Director
DIN -00295458

ANNEXURE “A”

DETAILS OF CONTRACTS OR ARRANGEMENTS AT ARMS LENGTH BASIS

Sr. No.	Name of the Related Party	Nature of Transaction	Nature of Relationship	Duration of Contract	Salient terms of the Contract	Date of Approval by the Board	Advance paid/ received for the Contract
1	Jasmine Trading Co. Pvt. Ltd.	Property on leave and License	Associate Company	1 year	Leave and License for the period of 1 year	29-06-2015	Nil
2	Somaiya Properties & Investments Pvt. Ltd.	Property on leave and License	Associate Company	1 year	Leave and License for the period of 1 year	29-06-2015	Nil
3	Arpit Limited	Property on leave and License	Associate Company	1 year	Leave and License for the period of 1 year	29-06-2015	Nil
4	Somaiya Chemicals Industries Pvt. Ltd.	Property on leave and License	Associate Company	1 year	Leave and License for the period of 1 year	29-06-2015	Nil
5	K.J.Somaiya & Sons Pvt. Ltd.	Property on leave and License	Associate Company	1 year	Leave and License for the period of 1 year	29-06-2015	Nil
6	Godavari Biorefineries INC.	Commission paid for sale of goods	Step Down Subsidiary Company	1 year	2-3% on FOB Value or $ 20-25 Per MT	29-06-2015	Nil
7	Godavari Biorefineries B. V.	Sale of Goods	Step Down Subsidiary Company	1 year	As per Terms Agreed, for each transaction	29-06-2015	Nil
8	Ms. Harinakshi Somaiya	Salary	Sister of Mr. Samir S. Somaiya, CMD	1 year	General Manager (Communication & Development)	29-06-2015	Nil
9	The Book Centre Ltd.	Printing & art work of stationary and reports etc.	Associate Company	1 year	As per PO issued, for each transaction	29-06-2015	Nil
10	Pentokey Organy (India) Ltd.	Purchase of goods	Associate Company	1 year	As per PO issued, for each transaction	29-06-2015	Nil
11	Pentokey Organy (India) Ltd.	Sale of goods	Associate Company	1 year	As per Terms Agreed, for each transaction	29-06-2015	Rs. 231.98 Lacs
12	Arpit Ltd.	Sale of goods	Associate Company	1 year	As per Terms Agreed, for each transaction	29-06-2015	Nil
13	Mrs. Maya S. Somaiya	Purchase of goods	Mother of Mr. Samir S. Somaiya, CMD	1 year	As per FRP declared by Government	29-06-2015	Nil
14	Mr. Samir S. Somaiya	Purchase of goods	Chairman & Managing Director	1 year	As per FRP declared by Government	29-06-2015	Nil
15	Ms. Harinakshi Somaiya	Purchase of goods	Sister of Mr. Samir S. Somaiya, CMD	1 year	As per FRP declared by Government	29-06-2015	Nil

16	K.J. Somaiya & Sons Pvt. Ltd.	Royalty paid for use of Trademark	Associate Company	1 year	If turnover is upto 1000 Cr Royalty @ 1% on Sales, Above 1000 Cr And upto 2500 Cr, .075% on Sales	29-06-2015	Nil
Sr. No.	**Name of the Related Party**	**Nature of Transaction**	**Nature of Relationship**	**Duration of Contract**	**Salient terms of the Contract**	**Date of Approval by the Board**	**Advance paid/ received for the Contract**
17	Filmedia Communications System Pvt. Ltd	Service Charges paid for manpower services	Associate Company	1 year	NA	29-06-2015	Nil
18	Solar Magic Pvt. Ltd.	Unsecured Loans	Wholly owned Subsidiary Company	1 year	NA	29-06-2015	Nil
19	Solar Magic Pvt. Ltd.	Sale of goods	Wholly owned Subsidiary Company	1 year	As per PO issued, for each transaction	29-06-2015	Nil
20	Solar Magic Pvt. Ltd.	Purchase of goods	Wholly owned Subsidiary Company	1 year	Interest Received 8% per annum	09-02-2016	Nil
21	Acharya Travels	Air Ticket Bookings	Mrs. Amrita Somaiya, Wife of Mr. Samir S. Somaiya, is Partner in the firm.	1 year	As per PO term agreed, for each transaction	09-02-2016	Nil
22	Design Craft [Division of Somaiya Agencies Pvt. Ltd. (SAPL)]	Purchase of Gift Articles and Books	Mr. Samir Somaiya is Director of SAPL.	1 year	As per Maximum Retail Price	09-02-2016	Nil
23	Zenith Commercial Agency Pvt. Ltd. (Gayatri Salt Works)	Purchase of Salt	Associate Company	1 year	As per PO issued, for each transaction	09-02-2016	Nil
24	K. J. Somaiya Institute of Applied Agricultural Research	Purchase of Seeds etc.	Associate	1 year	NA	09-02-2016	Nil
25	K. J. Somaiya Institute of Applied Agricultural Research	Donation	Associate	1 year	NA	09-02-2016	Nil
26	K J Somaiya Medical Trust	Donation	Associate	1 year	NA	09-02-2016	Nil
27	Somaiya Vidyavihar	Donation	Associate	1 year	NA	09-02-2016	Nil

ANNEXURE “B”

Form No. MR-3
SECRETARIAL AUDIT REPORT

For the Financial Year ended on 31 March 2016
[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of the Companies (Appointment and Remuneration Personnel) Rules, 2014]

To,
The Members,
Godavari Biorefineries Limited
Mumbai

I have conducted the secretarial audit of the compliance of the applicable statutory provisions and the adherence to good corporate practices by Godavari Biorefineries Limited (CIN U67120MH1956PLC009707) (hereinafter called the Company).

The Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the Company’s books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on 31 March 2016 complied with the statutory provisions listed hereunder and also that the Company has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter.

I have examined the books, papers, minute books, forms and returns filed and other records maintained and which were made available to me by the Company for the financial year ended on 31 March 2016 according to the provisions of:

(i) The Companies Act, 2013 (the Act) and the rules made thereunder;

(ii) Foreign Exchange Management Act, 1999 and the rules and regulations made there under to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;

(iii) The Securities Contracts (Regulation) Act, 1956 (‘SCRA’) and the rules made thereunder;

(iv) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder

(v) Listing Agreement related to listing of Redeemable Non-Convertible Debentures on Bombay Stock Exchange.

(vi) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008.

(vii) Company Specific Laws: as per audited financials for the financial year ended on 31 March 2016 and in terms of the Accounting Standard on Segment Reporting (AS 17), the Company has identified and disclosed business segments.

I have also examined compliance with the applicable clauses of the following:

(i) Secretarial Standards notified under section 118(10) of the Companies Act, 2013.

(ii) The Listing Agreements entered into by the Company with Bombay Stock Exchange related to the Redeemable Non-Convertible Debentures.

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above, subject to the following observations, mentioned herein this report.

1. The Management has identified and confirmed the compliance status of the Company with the following listed applicable industry / sector specific laws, regulations, rules, etc., in which the Company was commercially operating during the period under review. These are:

a. Sugar (Production and sale of Sugar):

- Sugar Cess Act, 1982
- Levy Sugar Price Equalisation Fund Act, 1976
- Food Safety and Standards Act, 2006
- EssentialCommoditiesAct,1955
- Sugar Development Fund Act, 1982
- Export (Quality Control and Inspection) Act, 1963
- Agricultural and Processed Food Products Export Act, 1986
- The Water (Prevention and Control of Pollution) Act, 1974
- The Water (Prevention and Control of Pollution) Cess Act, 1977
- The Air (Prevention and Control of Pollution) Act, 1981
- The Environment (Protection) Act, 1986
- The Forest (Conservation) Act, 1980

b. Cogeneration (Generation & Sale of Electricity)

- The Electricity Act.
- National Tariff Policy.
- Essential Commodities Act, 1955.
- Explosives Act, 1884.
- National Electricity Policy.
- Rural Electrification Policy.
- Terms and Conditions of Tariff, CERC.
- REC Regulations.
- Power Market Regulations.
- The Water (Prevention and Control of Pollution) Act, 1974
- The Water (Prevention and Control of Pollution) Cess Act, 1977
- The Air (Prevention and Control of Pollution) Act, 1981
- The Environment (Protection) Act, 1986
- The Forest (Conservation) Act, 1980

c. Distillery & Chemical (Production and sale of Rectified Spirit, Extra Neutral Alcohol, Ethanol, Ethyl Acetate etc.)

- The Insecticide Act, 1968.
- Export (Quality Control and Inspection) Act, 1963.
- Inflammable Substances Act, 1952.
- Agricultural and Processed Food Products Export Cess Act, 1986.
- Agricultural Produce (Grading and Marking) Act, 1937.
- Narcotic Drugs and Psychotropic Substances Act
- Narcotics Drugs and Psychotropic Substances (Regulation of Controlled Substances) Order, 2013
- The National Policy on Biofuels
- Ethanol Blending Policy
- The Water (Prevention and Control of Pollution) Act, 1974
- The Water (Prevention and Control of Pollution) Cess Act, 1977
- The Air (Prevention and Control of Pollution) Act, 1981
- The Environment (Protection) Act, 1986
- The Forest (Conservation) Act, 1980
- Manufacture, Storage and Import of Hazardous Chemical Rules, 1989

d. Other Laws:

- The Public Liability Insurance Act, 1991
- Minimum Wages Act, 1948
- Payment of Gratuity Act, 1972
- Employee’s Provident Funds and Miscellaneous Provisions Act, 1952
- Industrial Disputes Act, 1947
- Trade Unions Act, 1926
- Factories Act, 1948
- The Industrial Employment (Standing Orders) Act, 1946
- Industries (Development and Regulation) Act, 1951
- Apprentices Act, 1961
- Child Labour (Prohibition and Regulation) Act, 1986
- Contract Labour (Regulation and Abolition) Act, 1970
- Employee’s State Insurance Act, 1948
- The Maternity Benefit Act, 1961.
- All other state and local body Act, rules & regulations and directions issued as those are applicable.

2. During the year under review, the Company has listed its privately placed secured redeemable non-convertible debentures (NCD) on the Bombay Stock Exchange. As represented by the management of the Company; the Company was in process to fully comply with applicable chapters of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

   I further report that the Board of Directors of the Company was duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act, adequate notice/s was/were given to all Directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent as per the requirements of the Act.

   As per management representation; information and clarifications, were provided to the Directors, as and when sought for, on the agenda items for meaningful participation at the meetings and decisions were carried through were captured and recorded as a part of the minutes.

   As represented by the management of the Company and based on the findings of the statutory auditors M/s. Desai Saksena & Associates, Chartered Accountants, Mumbai (Firm Registration No. 102358W),

   - I report that there were adequate systems and processes in the Company commensurate with its size and operations, during the audit period, to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.
   - I further report that the events / actions, which were listed in note no. 38 (b) to (e) of the audited standalone financials, could have a major bearing on the Company’s affairs, if materialised.

   For Gajanan D. Athavale
   Company Secretaries

   Gajanan D. Athavale
   Proprietor

   Membership No.: 28306
   Certificate of Practice No.: 10121

   Place: Mumbai
   Date: 29 August 2016

This report is to be read with our letter dated 29 August 2016, which is annexed as Annexure A and forms an integral part of this report.

ANNEXURE “A”

Form No. MR-3
SECRETARIAL AUDIT REPORT

For the Financial Year ended on 31 March 2016
[Pursuant to section 204(1) of the Companies Act, 2013 and rule No.9 of the Companies (Appointment and Remuneration Personnel) Rules, 2014]

To,
The Members,
Godavari Biorefineries Limited (CIN U67120MH1956PLC009707)
Mumbai

Our report of even date is to be read along with this letter.

1. Maintenance of secretarial records is the responsibility of the management of the Godavari Biorefineries Limited (CIN U67120MH1956PLC009707) (herein called as ‘the Company’). My responsibility is to express an opinion on these secretarial records based on my audit subject to the availability thereof.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices, I have followed provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company and thus relied upon the report of the statutory auditors who was appointed under the Companies Act, 2013 by the Company.
4. Wherever required, I have obtained the management representation about the compliance of the applicable laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of corporate and other applicable laws, rules, regulations, standards is the responsibility of the Company’s management. My examination was limited to the verification of procedures on test basis in respect of records that were made available to me for my examination.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management of the Company has conducted the affairs of the Company.

For Gajanan D. Athavale
Company Secretaries

Gajanan D. Athavale
Proprietor

Membership No.: 28306
Certificate of Practice No.: 10121

Place: Mumbai
Date: 29 August 2016

ANNEXURE “C”

Disclosure of particulars with respect to conservation of energy, technology absorption and foreign exchange earnings and outgo as required under Section 134(3)(m) of Companies Act, 2013 read with Rule 8(3) of the Companies (Accounts) Rules, 2014.

A. Conservation of energy:

1. Steps taken for conservation of energy:

The Company has taken various steps towards energy conservation. The Company continues to give high priority to the conservation of energy on an ongoing basis. Some of the important measures taken are:

Sugar Division

(i) Vapour Line Juice Heater was installed to utilize waste Vapour of last effect of evaporator at boiling house –2.

(ii) Heat recovery of exhaust condensate was done by heating low temperature condensate across PHE.

(iii) Melt concentration at boiling house –2 was done from 3rd and 4th Vapour in place of 2nd Vapour to

(iv) reduce consumption of steam at boiling house-2.

(v) Boiling of ‘B’ massecuite in continuous pan was done with 3rd Vapour in place of 2nd Vapour to improve steam economy at Boiling House -2.

(vi) Capacitors were added at Mill station to improve power factor

(vii) Co-gen Unit –1 HT drive of boiler feed pump was replaced by LT drive with VFD to save electrical energy.

(viii) CFL lighting were replace by LED lighting to save electrical energy

Chemical Division

(i) Energy conservation attempt done by replacing low efficient 600KW steam turbine with high efficient 750KW steam turbine.

(ii) Steam to coal ratio was improved from 4.26 to 4.51 by usage of Coal Additives.

(iii) In MPO plant Vapour product draw was replaced by liquid product draw thereby saving 1 ton of steam per ton of MPO.

2. The steps taken by the company for utilizing alternate source of energy : NIL

3. The capital investment in energy conservation equipment during the year 2015-16 was ₹ 23 lacs.

B. Technology Absorption:

1. Efforts made towards Technology Absorption:

Specific areas in which Research & Development (R&D) carried out by the Company:

R&D activities are related to up gradation of process technology, product improvement, new product development, sugar recovery improvement and cost reduction. R&D evaluates and identifies cost effective process for value addition to current product line. R&D is also involved in adoption of new technologies.

We are pursuing research in the following broad areas:

1. Biomass based bio refining
2. Acetaldehyde chemistry
3. Fermentation of sugars
4. Polymers
5. Cane
6. Cancer Biology
7. Other value added products (Juice)

A new area being explored by R&D is screening of anti-cancer molecules from varied source and capture market value of the molecules by demonstrating superiority of molecules to existing therapies. The Company has received a BIRAC grant from the Government of India for the same.

- USAB digester for treatment of Effluent from sugar mill and use of Biogas from digester to boilers as a fuel.
- Biological treatment plant where spent lease (condensate) from distillery and sugar mill is treated and reused & recycle for distillery, to reduce water requirement and reduction in effluent generation. This work help us to get the FICCI Award (Chemicals & Petrochemicals Award - 2016) for Efficiency in Water Usage in Chemicals Sector.
- Bench scale Sugar cane juice concentrate plant is commissioned and trials are under progress to collect data for further scaleup.
- Pilot scale baggasse fractionation plant was commissioned and trials are under progress.

2. Benefits derived as a result of above R&D:

- Continuous Sugarcane wax Extraction Plant (3000 Kg/Day) was commissioned and various modifications to the product to meet customer requirement were made.
- About 500 TPA plant was operated and the product was sold in the market. A new plant of 2400 TPA capacity is being installed.
- Various modifications on mining chemicals were done to adopt customer needs.
- Primary extraction, Brix curves and big mill tests are conducted to assess the varietal and Sugar Mill performance.
- Adoption of incineration boiler at Distillery to utilize caloric value of the spent wash and generation power.
- Adoption of new developments by extending of Grooved Roller Pressure Feeder (GRPF)to second mill in sugar milling plant and commissioning of continuous panes, and latest high capacity, energy efficient machines enabled to improve the crushing rate, avoid jamming of bagasse, higher crushing rate and better quality of sugar.
- R&D is involved in developing many new molecules and analogues of its lead molecule that can extend life of cancer patients where current medications are insufficient

3. In case of imported technology (imported during last three years reckoned from the beginning of the financial year:

Sr. No. 1	a) Details of Technology imported	Iowa Technology for Na-Pyruvate & Na-D-Lactate
	b) Year of Import	November 2013
	c) Whether the technology been fully absorbed	Fermentation proved at 10 L scale and biochemical reaction too. Scale up in progress. Further scale up beyond 100 L is being optimised after required permissions from DBT.
	d) If not fully absorbed, areas where absorptions has not taken place, and the reason thereof	Scale-up is under process

Sr. No. 2	a) Details of Technology imported	Ginkgo technology
	b) Year of Import	Agreement July 2013
	c) Whether the technology been fully absorbed	No.
	d) If not fully absorbed, areas where absorptions has not taken place, and the reason thereof	The project was not successful

4. Expenditure incurred on Research and Development:

(Rs. in Lacs)

	Year ended 31st March 2016	Year ended 31st March 2015
A) Capital	**39.24**	91.54
b) Recurring	**1,039.57**	1,567.64
Total	**1,078.81**	1,659.18

A. Foreign Exchange earnings and outgo:

(Rs. in Lacs)

	Year ended 31st March 2016	Year ended 31st March 2015
Foreign exchange earned in terms of actual inflows	**35,646.54**	26,667.44
Foreign exchange outgo in terms of actual outflows	**13,736.53**	14,707.58

For and on behalf of the Board of Directors

sd/-
Samir S. Somaiya
Chairman & Managing Director
DIN - 00295458

Date: 1st September, 2016
Place: Mumbai

ANNEXURE “D”

Pursuant to Section 197(12) of the Companies Act, 2013 read with Rule 5(2) and Rule 5(3) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

(A) EMPLOYED THROUGHOUT THE PERIOD AND RECEIPT OF REMUNERATION IN THE AGGREGATE OF NOT LESS THAN 60 LACS PER ANNUM.

Name of the Employee	Designation and Nature of Duties	Remuneration Received (₹ in lacs)	Nature of the Employment whether contractual or otherwise	Qualifications and Experience of the Employee before joining	Date of Commencement of Employment of the Company	Age	Lat Employment held by such Employee
Samir S. Somaiya	Chairman & Managing Director	128.54	Contractual	B.S. Chem. Engr., Cornell M. Chem. Engr., Cornell MBA, Cornell MPA, Harvard 20 years of experience.	29th September, 2009	48 years	Somaiya Organo Chemicals Limited, Director

(B) EMPLOYEES OF THE COMPANY WHO WERE EMPLOYED PART OF THE YEAR UNDER REVIEW AND WERE IN RECEIPT OF REMUNERATION FOR THAT YEAR IN THE AGGEGRATE OF NOT LESS THAN ₹ 5 LACS PER MONTH: NIL

NOTES : Remuneration received as shown in the statement includes Salary, Bonus, Commission, Leave Encashment, House Rent Allowance or value for perquisites for accommodation, motor car perquisite and other allowance like contribution to provident fund and superannuation Fund, Gratuity, Leave Travel Facility and Reimbursement of Medical Expenses as applicable

For and on behalf of the Board of Directors

sd/-
Samir S. Somaiya
Chairman & Managing Director
DIN - 00295458

Date: 1st September, 2016
Place: Mumbai

ANNEXURE “E”

Form No. MGT-9
EXTRACT OF ANNUAL RETURN

as on the financial year ended on 31st March, 2016

[Pursuant to section 92(3) of the Companies Act, 2013 and rule 12(1) of the Companies (Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS:

I	**CIN**	U67120MH1956PLC009707
II	**Registration date**	12th January, 1956
III	**Name of the Company**	Godavari Biorefineries Limited
IV	**Category / Sub-Category of the Company**	Public Company limited by shares
V	**Address of the Registered Office & Contact Details**	Somaiya Bhavan, 45/47, Mahatma Gandhi Road, Fort, Mumbai- 400001
VI	**Whether listed or unlisted**	Yes (with respect to Non-Convertible Debentures i.e. 10.07.2015)
VII	**Name, Address and Contact details of Registrar Transfer Agent**	Bigshare Services Private Limited E- 2/3, Ansa Industrial Estate, Sakivihar Road, Sakinaka, Plot No. B-5, Part B Cross Lane, Andheri (East), Mumbai – 400 072 Tel: 022- 4043 0200 Email: babu@bigshareonline.com

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

All the business activities contributing 10 % or more of the total turnover of the company shall be stated:-

Sr. No.	Name and Description of main products / services	NIC Code of the Product/ service	% to total turnover of the company
1.	Sugar	1072	54.99%
2.	Ethyl Acetate	20116	14.16%

III. PARTICULARS OF HOLDING, SUBSIDIARY & ASSOCIATE COMPANIES

NAME & ADDRESS OF THE COMPANY	CIN	HOLDING / SUBSIDIARY / ASSOCIATE	% OF SHARES HELD	APPLICABLE SECTION
Solar Magic Pvt. Ltd. Somaiya Bhavan, 45/47, M. G. Road, Fort, Mumbai- 400001	U51900MH1998PTC113856	Subsidiary	100%	2(87)
Cayuga Investments B.V Crystal Tower, 24th Floor, Orlyplein10, 1043, DP Amsterdam P.O. Box 58176, 1040 HD Amsterdam	KVK No 34319213	Subsidiary	100%	2(87)
Godavari Biorefineries B.V., Crystal Tower, 24th Floor, Orlyplein10, 1043, DP Amsterdam P.O. Box 58176, 1040 HD Amsterdam	KVK No: 34325188	Step-Down Subsidiary	100%	2(87)
Godavari Biorefineries Inc., 95 Brown Road, Suite 120 Ithaca, NY 14850, USA	EIN No. 300546856	Step-Down Subsidiary	100%	2(87)

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)

(i) Category-wise Share Holding

Category of Shareholders	No. of shares held at the beginning of the year				No. of Shares held at the end of the year				% Change during the year
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
A. Promoters									
1. Indian									
a) Individual/HUF	-	38,17,765	38,17,765	10.68	-	38,17,765	38,17,765	10.68	0
b) Central Govt.	-	-	-	-	-	-	-	-	-
c) State Govt (s)	-	-	-	-	-	-	-	-	-
d) Bodies Corp.	-	236,39,749	236,39,749	66.15	-	236,39,749	236,39,749	66.15	0
e) Banks / FI	-	-	-	-	-	-	-	-	-
f) Any Other	-	-	-	-	-	-	-	-	-
Sub-total (A) (1):-	**-**	**274,57,514**	**274,57,514**	**76.83**	**-**	**274,57,514**	**274,57,514**	**76.83**	**0**
2. Foreign									
a) NRIs -Individuals	-	-	-	-	-	-	-	-	-
b) Other -Individuals	-	-	-	-	-	-	-	-	-
c) Bodies Corp.	-	-	-	-	-	-	-	-	-
d) Banks / FI	-	-	-	-	-	-	-	-	-
e) Any Other	-	-	-	-	-	-	-	-	-
Sub-total (A)(2):-	-	-	-	-	-	-	-	-	-
Total shareholding of Promoter (A) =(A)(1)+(A)(2)	**-**	**274,57,514**	**274,57,514**	**76.83**	**-**	**274,57,514**	**274,57,514**	**76.83**	**0**
B. Public Shareholding									
1. Institutions.									
a) Mutual Funds	-	-	-	-	-	-	-	-	-
b) Banks/FI	-	-	-	-	-	-	-	-	-
c) Central Govt	-	-	-	-	-	-	-	-	-
d) State Govt	-	-	-	-	-	-	-	-	-
e) Venture Capital Funds	-	-	-	-	-	-	-	-	-
f) Insurance Companies	-	-	-	-	-	-	-	-	-

Category of Shareholders	No. of shares held at the beginning of the year				No. of Shares held at the end of the year				% Change during the year
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
g) FIIs	-	-	-	-	-	-	-	-	-
h) Foreign Venture Capital Funds	-	-	-	-	-	-	-	-	-
i) Others (Foreign Company)	47,65,033	-	47,65,033	13.33	47,65,033	-	47,65,033	13.33	0
Sub-total (B)(1):-	**47,65,033**	**-**	**47,65,033**	**13.33**	**47,65,033**	**-**	**47,65,033**	**13.33**	**0**
2.Non-Institutions									**-**
a) Bodies Corp.									-
i) Indian	-	1,12,500	1,12,500	0.31	-	1,12,500	1,12,500	0.31	0
ii) Overseas	-	-	-	-	-	-	-	-	-
b) Individuals									
i) Individual shareholders holding nominal share capital upto ₹ 1 lakh	0	32,470	32,470	0.09	0	32,470	32,470	0.09	0
ii) Individual shareholders holding nominal share capital in excess of Rs 1 lakh	0	11,00,630	11,00,630	3.08	0	11,00,630	11,00,630	3.08	0
c) Others (specify) Trust	-	22,69,600	22,69,600	6.35	-	22,69,600	22,69,600	6.35	0
Sub-total (B)(2):-	**-**	**35,15,200**	**35,15,200**	**9.84**	**-**	**35,15,200**	**35,15,200**	**9.84**	**0**
Total Public Shareholding									-
(B)=(B)(1)+(B)(2)	**47,65,033**	**35,15,200**	**82,80,233**	**23.17**	**47,65,033**	**35,15,200**	**82,80,233**	**23.17**	**0**
C. Shares held by Custodian for GDRs & ADRs	-	-	-	-	-	-	-	-	-
Grand Total (A+B+C)	**47,65,033**	**309,72,714**	**357,37,747**	**100.00**	**47,65,033**	**309,72,714**	**357,37,747**	**100.00**	**0**

(ii) Shareholding of Promoters

Sr. No.	Shareholder's Name	Shareholding at the beginning of the year			Share holding at the end of the year			% change in share holding during the year
		No. of Shares	% of total Shares of the company	% of Shares Pledged / encumbered to total shares	No. of Shares	% of total Shares of the company	% of Shares Pledged / encumbered to total shares	
1	Somaiya Properties and Investments Pvt. Ltd.	1,20,000	0.34	-	1,20,000	0.34	-	0
2	Sindhur Construction Pvt. Ltd.	26,05,120	7.29	-	26,05,120	7.29	-	0
2	Arpit Limited	73,000	0.20	-	73,000	0.20	-	0
4	Filmedia Communication Systems Pvt. Ltd.	7,00,000	1.96	-	7,00,000	1.96	-	0
5	K.J. Somaiya and Sons Pvt. Ltd.	3,71,250	1.04	-	3,71,250	1.04	-	0
6	Karnataka Organic Chemicals Pvt. Ltd.	2,50,000	0.70	-	2,50,000	0.70	-	0
7	Somaiya Agencies Pvt. Ltd.	85,49,965	23.92	-	85,49,965	23.92	-	0
8	Somaiya Chemicals Industries Pvt. Ltd.	20,000	0.06	-	20,000	0.06	-	0
9	Zenith Commercial Agencies Pvt. Ltd.	6,30,000	1.76	-	6,30,000	1.76	-	0
10	Lakshmiwadi Mines & Minerals Pvt. Ltd	51,93,462	14.53	-	51,93,462	14.53	-	0
11	Sakarwadi Trading Company Pvt. Ltd	49,81,952	13.94	-	49,81,952	13.94	-	0
12	Jasmine Trading Co. Pvt. Ltd.	1,45,000	0.41	-	1,45,000	0.41	-	0
13	Shri Samir S. Somaiya Karta of S K Somaiya HUF.	1,49,950	0.42	-	1,49,950	0.42	-	0
14	Shri Samir Shantilal Somaiya	36,67,815	10.26	-	36,67,815	10.26	-	0
	Total	**274,57,514**	**76.83**	**-**	**274,57,514**	**76.83**	**-**	**0**

Note: Akhand Warehousing Pvt. Ltd., Lilac Construction Pvt. Ltd., Yellow Valley Transport Pvt. Ltd., Pahadi Transport Pvt. Ltd. got merged in Sindhur Construction Pvt. Ltd. pursuant to order of Bombay High Court dated 28/11/2014

(iii) Change in Promoters’ Shareholding

Sr. No.	Name of the Promoter	Shareholding at the beginning of the year		Cumulative Shareholding during the year		Date wise Increase / Decrease in Promoters Share holding during the year specifying the reasons for increase / decrease (e.g. allotment / transfer / bonus/ sweat equity etc):	Shareholding at the end of the year	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company		No. of shares	% of total shares of the company
1	Somaiya Properties and Investments Pvt. Ltd.	1,20,000	0.34	-	-	No Change	1,20,000	0.34
2	Sindhur Construction Pvt. Ltd.	26,05,120	7.29	-	-	Akhand Warehousing Pvt. Ltd., Lilac Construction Pvt. Ltd., Yellow Valley Transport Pvt. Ltd., Pahadi Transport Pvt. Ltd. got merged with Sindhur Construction Pvt. Ltd. pursuant to order of Bombay High Court dated 28/11/2014	26,05,120	7.29
3	Arpit Limited	73,000	0.20	-	-	No Change	73,000	0.20
4	Filmedia Communication Systems Pvt. Ltd.	7,00,000	1.96	-	-	No Change	7,00,000	1.96
5	K.J. Somaiya and Sons Pvt. Ltd.	3,71,250	1.04	-	-	No Change	3,71,250	1.04
6	Karnataka Organic Chemicals Pvt. Ltd.	2,50,000	0.70	-	-	No Change	2,50,000	0.70
7	Somaiya Agencies Pvt. Ltd.	85,49,965	23.92	-	-	No Change	85,49,965	23.92
8	Somaiya Chemicals Industries Pvt. Ltd.	20,000	0.06	-	-	No Change	20,000	0.06
9	Zenith Commercial Agencies Pvt. Ltd.	6,30,000	1.76	-	-	No Change	6,30,000	1.76
10	Lakshmiwadi Mines & Minerals Pvt. Ltd	51,93,462	14.53	-	-	No Change	51,93,462	14.53
11	Sakarwadi Trading Company Pvt. Ltd	49,81,952	13.94	-	-	No Change	49,81,952	13.94
12	Jasmine Trading Co. Pvt. Ltd.	1,45,000	0.41	-	-	No Change	1,45,000	0.41
13	Shri Samir S. Somaiya Karta of S K Somaiya HUF	1,49,950	0.42	-	-	No Change	1,49,950	0.42
14	Shri Samir Shantilal Somaiya	36,67,815	10.26	-	-	No Change	36,67,815	10.26
	Total	**274,57,514**	**76.83**				**274,57,514**	**76.83**

(iv) Shareholding Pattern of top ten Shareholders (other than Directors, Promoters and Holders of GDRs and ADRs):

Sr. No.	For each of the Top 10 shareholders	Shareholding at the beginning of the year		Shareholding at the end of the year		Increase / (Decrease) During the year	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1	Mandala Capital AG Limited	47,65,033	13.33%	47,65,033	13.33%	-	-
2	Trustees of Sameerwadi Sugarcane Farmers' Welfare Trust : Narsang Vaghjibhai Padhiyar, Pandappa Rangappa Channal, Bhalachandra Raghavendra Bakshi, Veerabhadrappa Rudrappa Terdal, Pralahad Narayanrao Desai	22,69,600	6.35%	22,69,600	6.35%	-	-
3	Smt. Mayadevi Shantilal Somaiya	5,27,680	1.48%	5,27,680	1.48%	-	-
4	Dr. S K Somaiya (Harinakshi Somaiya(B.) Trust)	3,00,000	0.84%	3,00,000	0.84%	-	-
5	Ankit Raj Organo Chemicals Limited	1,12,500	0.31%	1,12,500	0.31%	-	-
6	Shri Vijay V. Mithani	68,750	0.19%	68,750	0.19%	-	-
7	Shri Upendra V. Mithani	68,750	0.19%	68,750	0.19%	-	-
8	Smt. Leelaben Madhavji Kotak	19,350	0.05%	19,350	0.05%	-	-
9	Smt. Savitriben Hariram Daiya	19,350	0.05%	19,350	0.05%	-	-
10	Smt. Divyaprabha Chandrasinha Mirani	19,350	0.05%	19,350	0.05%	-	-
	Total	**81,70,363**	**22.84%**	**81,70,363**	**22.84%**	**-**	**-**

(v) Shareholding of Directors and Key Managerial Personnel:

Sr. No.	Name of Director/KMP	Shareholding at the beginning of the year		Cumulative Shareholding during the year		Date wise Increase / Decrease in PromotersShare holding during the year Specifying the reasons for increase / decrease (e.g. allotment / transfer/ bonus/ sweat equity etc):	Shareholding at the end of the year	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company		No. of shares	% of total shares of the company
1	Shri. Samir Shantilal Somaiya	36,67,815	10.26	36,67,815	10.26	-	36,67,815	10.26

V. INDEBTEDNESS

Indebtedness Of The Company Including Interest Outstanding / Accrued but Not Due For Payment

(Rs. in lacs)

	Secured Loans excluding deposits	Unsecured Loans	Fixed Deposits	Total Indebtedness
Indebtedness at the beginning of the financial year				
i) Principal Amount	59,638	30,635	-	90,273
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	682	1,460	-	2,142
Total (i+ii+iii)	**60,320**	**32,095**	**-**	**92,415**
Change in Indebtedness during the financial year				
· Addition				
Principal Amount	6,537	29,070	97	35,704
Interest accrued but not due	510	1,933	-	2,444
· Reduction				
Principal Amount	(15,021)	(29,439)		(44,460)
Interest accrued but not due	(49)	(1,314)	-	(1,362)
Net Change	**(8,022)**	**250**	**97**	**(7,675)**
Indebtedness at the end of the financial year				
i) Principal Amount	51,155	30,266	97	81,517
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	1,144	2,079	-	3,223
Total (i+ii+iii)	**52,298**	**32,345**	**97**	**84,740**

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNAL

A. Remuneration To Managing Director, Whole-Time Directors and / or Manager:

(Amount in Rs.)

Sr. No.	Particulars of Remuneration	Name of Chairman and Managing Director	Name of Whole Time Director	Name of Whole Time Director	Name of Whole Time Director	Total Amount
		Shri S.S. Somaiya	**Shri V.V. Joshi**	**Shri S. N. Bableshwar**	**** Shri G.M. Kajaria**	
1	Gross salary					
	*(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	1,18,87,015	49,51,180	32,70,967	9,89,938	**2,10,99,100**
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	39,600	39,600	-	-	**79,200**
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	-	-	-	-	**-**
2	Stock Option	-	-	-	-	**-**
3	Sweat Equity	-	-	-	-	**-**
4	Commission	-	-	-	-	**-**
	- as % of profit	-	-	-	-	**-**
	- Others, specify...	-	-	-	-	**-**
5	Contribution to PF	9,72,000	4,07,232	-	29,700	**14,08,932**
	Total (A)	**1,28,98,615**	**53,98,012**	**32,70,967**	**10,19,638**	**2,25,87,232**
	Ceiling as per the Act	Rs. 60 lakhs plus 0.01% of the effective capital in excess of Rs. 250 crores (as provided in section II of Part II of schedule V of Companies Act, 2013) approved by Special General Resolution passed by members of the Company				

** Includes leave encashment & LTA availed during this year and provided for in the books.*

*** Shri Girish M Kajaria was Director from 20th June, 2014 to 30th June, 2015.*

B. Remuneration To Other Directors:

(Amount in Rs.)

Particulars of Remuneration	Name of Director										Total Amount
	K.V Raghavan	Kailash Pershad	I.C. Patel	B. R. Barwale	Jayendra Shah	S. Mohan	Preeti Singh Rawat	Uday Garg	Paul Zorner	Werner Wutscher	
Fees for attending board/ committee meetings	2,20,300	3,00,400	-	80,000	3,00,400	1,00,100	1,00,100	2,20,300	37,906	66,906	14,76,412
Commission	-	-	-	-	-	-	-	-	-	-	-
Others, please specify	-	-	-	-	-	-	-	-	-	-	-
TOTAL	**2,20,300**	**3,00,400**	**- -**	**80,000**	**3,00,400**	**1,00,100**	**1,00,100**	**2,20,300**	**37,906**	**66,906**	**14,76,412**
Overall Ceiling as per the Act	The Company may pay sitting fees to the Directors for attending Board / Committee meetings as may be decided by the Board of Director. The Board has fixed ₹ 20000/- as sitting fees for Board/ Committee meetings.										

C. Remuneration To Key Managerial Personnel Other Than MD/Manager/WTD

(Amount in Rs.)

Sr. No.	Particulars of Remuneration	Key Managerial Personnel		Total
		Company Secretary	CFO	
		Rutika S. Pawar (upto 29-02-2016)	Naresh Khetan	
1	Gross salary *(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	14,25,164	47,15,262	**61,40,426**
	**(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	-	39,600	**39,600**
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	-	-	**-**
2	Stock Option	-	-	**-**
3	Sweat Equity	-	-	**-**
4	Commission	-	-	**-**
	- as % of profit	-	-	**-**
	- Others, specify...	-	-	**-**
5	Contribution to PF	75,913	1,53,840	**2,29,753**
	Total (A)	**15,01,077**	**49,08,702**	**64,09,779**

VII. PENALTIES / PUNISHMENT/ COMPOUNDING OF OFFENCES: Nil

For and on behalf of the Board of Directors

sd/-
Samir S. Somaiya
Chairman & Managing Director
DIN - 00295458

Date: 1st September, 2016
Place: Mumbai

ANNEXURE “F”

REPORT ON CORPORATE SOCIAL RESPONSIBILTY (CSR) ACTIVITIES

1. A brief outline of the company’s CSR policy, including overview of projects or programmes proposed to be undertaken and a reference to the web link to the CSR policy and projects or programmes.

   The Company has framed a CSR Policy in compliance with the provision of the Companies Act, 2013 and the same is available on the website.

   Salient features of Corporate Social Responsibility (CSR) Policy:

   The Company undertakes CSR activities on founder’s philosophy **“What we receive gives back multifold”** in its area of Company’s operations in Karnataka and Maharashtra. The prominent focus is on promotion of Education, Healthcare, gender equity and empowering women, providing safe drinking water, environmental sustainability.

2. **Composition of the CSR Committee -**

   Dr. B.R. Barwale - Chairman, (upto 1st September 2016)

   Dr. K. V. Raghavan - Non-Executive Director

   Mr. Paul Zorner - Non-Executive Director

   Smt. Amrita S. Somaiya, Member

3. Average Net Profit / (Loss) before Tax for the Company for last three financial years : Not Applicable (since the company incurred loss)

4. Prescribed CSR Expenditure (two per cent of the amount as in item 3 (above) : Not Applicable

5. Details of Amount incurred towards CSR during the financial year

   a) Total amount to be spent for the financial year. – NIL

   b) Amount unspent, if any. – NIL

c) Manner in which the amount spent during the financial year is detailed below:

Sr. No.	CSR Project or Activity Identified	Sector in which Project covered	Specify state and district where projects or programmes was undertaken	Amount Outlay (budget program wise)	Amount Spent on the projects	Cumulative Expenditure upto the reporting period	Amount spent Direct or through implementing agency
1	Help a Child	Education	Sameerwadi, Karnataka, Dist-Mudhol	10,00,000	1,187,666	1,187,666	Through Somaiya Vidyavihar (SVV) Trust
2	Sponsorship of Schools	Education	Sameerwadi & Sakarwadi	60,00,000	85,92,187	85,92,187	Direct & through SVV Trust
3	Somaiya Shishuvihar Anganwadi	Education	Sameerwadi, Karnataka, Dist-Mudhol	2,50,000	219,595	219,595	Direct
4	Medical Camps	Healthcare	Sameerwadi & Sakarwadi	15,00,000	208,474	208,474	Direct
5	Organising Sports and Cultural Programmes	Rural Development	Sameerwadi, Karnataka, Dist-Mudhol	5,00,000	351,416	351,416	Direct
6	Tree Plantation, Soil and Water Conservation, adopting animal at Zoo	Environmental Sustainability	Sakarwadi, Dist-Ahmednagar, Maharashtra	-	1,733,877	1,733,877	Direct
7	Self employment Training	Sustainable Livelihood	Sameerwadi, Karnataka, Dist-Mudhol	2,50,000	225,257	225,257	Direct
TOTAL				**9,500,000**	**12,518,472**	**12,518,472**	

Corporate Social Responsibility

Godavari Biorefineries Limited works on the philosophy **"What we receive gives back multifold".** Your company continues to work on promotion of education, health, gender equity and empowering women specifically in the area Sameerwadi, Karnataka and Maharashtra.

1. Education

Help A Child:

The Company provides financial support and other necessary assistance such as books, computers, learning aids etc, to the needy and meritorious students. This project was started with following aims and objectives:

1. To support financially weak and poor students to achieve and excel in life.
2. In rural areas, we encourage the female students to study further by providing value based education and other necessary assistance
3. To motivate and encourage sponsorship of promising students.
5. To provide all the necessary materials & assistance required for scholastic advancement. These materials include textbooks, learning aids and computers etc.
6. To provide counselling, tutoring, mentoring, support and access to career opportunities upon completion of studies.



Shri Samir Somaiya awarding Help a Child Scholarship to beneficiary student.



Shri Samir Somaiya and Smt. Amrita Somaiya awarding scholarship cheque to beneficiary student



Shri Samir Somaiya and Smt. Amrita Somaiya providing Student beneficiary with laptop for project work



Help a child student at Mumbai darshan / donor's meet at Mumbai



Students at Help a Child award scholarship award ceremony at Sameerwadi



Help a Child students at the personality development / carrier guidance workshop

Schools (Anganwadi centres)

We run 20 pre-primary schools (Anganwadi centres) in 20 villages situated in Bagalkot and Belgaum districts of Karnataka to provide quality and value based education to the kids aged 3 to 5 years. These classes are run in the name of ***SOMAIYA SHISHUVIHAR.*** The total number of kid's benefiting of these classes is more than 400.

Similarly runs two Kannada medium and two Marathi medium schools in Bagalkot and Ahmednagar districts in Karnataka and Maharashtra state respectively. Schools are very well equipped with laboratory, computers, library books etc. Workshops for students and teachers are being conducted.



Kids learning at Somaiya Shishuvihar

Funds to school:

GBL has donated an amount of ₹ 45 Lakhs towards construction of first floor high school building in Somaiya Vinaya Mandir High School, Sameerwadi. Further the Company is also supporting financially for the day to day activities such as administrative expenses, sports ground preparation, Un-aided staff salary etc at Sameerwadi, Sakarwadi and Laxmiwadi School.

2. Healthcare

Multi Diagnostic Medical Camps:

Two days free multi diagnostic medical and drug distribution camps were arranged in association with K J Somaiya Medical College and Research Centre, Mumbai at Sakarwadi and Sameerwadi during January and March 2015 respectively. More than 2300 patients from about 75-80 villages in and around GBL campus, Sameerwadi and Sakarwadi took the benefit of these camps.



Doctors examining the patient.

Dental Camp:

One day dental camp was organized at Sameerwadi in association in association with M. Nadagouda Dental College and Hospital, Bagalkot on 25th February, 2016. Team of 14 doctors including supporting staff conducted the camp. During the camp, patient were examined and treated with scaling, filling and extractions of decayed teeth. 162 patients from Sameerwadi and surrounding villages took the benefit of this camp. Out of 162 patients, 42 were female and 120 were male.





Beneficiaries of cataract operation

Cataract operation:

More than 250 patients identified for cataract and other operations were deputed to K. S. Somaiya hospital, Mumbai and different hospitals further operation and treatments etc.



Blood Donation Camp:

Similarly we had bold donation camp in Sameerwadi in association with Sai Hospital, Mudhol , where more than 100 members donated blood



3. Self-Employment Training Program:

Tailoring classes:

20 tailoring centres are being run in 20 different villages. Every year about 400 women between age group of 15-40 are taking benefit of these classes for a period of six months. About 28% of the beneficiaries are self employed. We have also initiated the Bag project for our Tailoring Class women. This project involves preparation of different

types of bags out of cotton and thereby provides self-employment. This project is run in association with Somaiya Management College students. They help us in providing the skilled training in making bags as per the market demand and marketing the same in Mumbai market.

4. Jetavan



The company had leased land to Somaiya Vidyavihar to create a centre for community education - Jetavan. This is a beautiful Centre, in rural Maharashtra, built for the holistic development of the community. The half acre plot has over 40 trees, and not one was cut to make place for the centre. Jetavan was built using fly ash, quarry dust, to make the walls, cow dung for the floor, and gunny and mud for the roof.

The centre was designed by Sameep Padora and associates. Artisans from Hunarshala in Kutch helped build the roof, land was contributed by Godavari Biorefineries (flagship company of the Somaiya Group), and funded by donors from India and abroad.

This is an initiative of the K. J. Somaiya Centre of Buddhist Studies, Somaiya Vidyavihar, and was conceptualised when Ven. Dhammadipa visited Sakarwadi 2 years ago, and thought that a Centre to cater to the all round development of the community was necessary.

Many members of the community (and many of them work for Godavari Biorefineries) here follow Ambedkar, and follow Buddhism. Ven. Dhammadipa felt that they must be educated in what were the basis principles of Buddhist thought. Academically, this fit in well with what the K. J. Somaiya Centre of Buddhist Studies wanted to do, as an outreach project. More importantly, Shri K. J. Somaiya wanted to create a society which was inclusive, and members of society that were earlier ostracised, would be treated as the main part of Hindu Society.

We believe, that Jetavan will be a Centre to teach academics, vocational studies, health, and spirituality to all members of the community. It will be a complement to the 3 schools that Somaiya Vidyavihar runs in the area.

5. Other Activities:

Mudhol Taluka III Kannada Sahityya Sammelana:

The Company hosted the III Mudhol Taluka Kannada Sahityya Sammelana at Shri Shivalingeshwar Kalyanamantap, Sameerwadi on 28th June 2015. More than 3000 persons participated in it. Sameelana was inaugurated by Dr. Veena Bannajae's poetry and procession of the event was inaugurated by Mrs. Umarshree - Honorable Minister for Child & Women Welfare and Kannada Culture. More than 50-60 guests spoke about Kannada and culture in different forums.



Inauguration of procession by Mrs. Umarshree - Honorable Minister for Child & Women Welfare and Kannada Culture

Auditors' Report

To the Members of
Godavari Biorefineries Limited

Report on the Standalone Financial Statements

We have audited the accompanying standalone financial statements of **Godavari Biorefineries Limited** ('the Company'), which comprise the balance sheet as at 31st March 2016, the statement of profit and loss and the cash flow statement for the year ended on that date, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation and presentation of these standalone financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014 ("the Rules"). This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these standalone financial statements based on our audit.

We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made thereunder and the Order under Section 143(11) of the Act.

We conducted our audit in accordance with the Auditing Standards specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the standalone financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the standalone financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial controls relevant to the Company's preparation of the standalone financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the Company's Directors, as well as evaluating the overall presentation of the standalone financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March 2016 and its loss and its cash flows for the year ended on that date.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the **'Annexure A'**, a statement on the matters specified in the paragraphs 3 and 4 of the Order.

2. As required by Section 143 (3) of the Act, we report that:

(a) we have sought and obtained all the information and

explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

(b) in our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;

(c) the balance sheet, the statement of profit and loss and the cash flow statement dealt with by this Report are in agreement with the books of account;

(d) in our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014;

(e) on the basis of the written representations received from the directors as on 31 March 2016 and taken on record by the Board of Directors, none of the directors is disqualified as on 31st March 2016 from being appointed as a director in terms of Section 164 (2) of the Act;

(f) with respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate report in **"Annexure B"**; and

(g) with respect to the other matters to be included in the Independent Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. the Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements – Refer Note 38 a) i),38 b) to 38 e) to the standalone financial statements;

ii. there are no material foreseeable losses arising out of any long-term contracts for which provision is required to be made under any law or accounting standards. The Company has not entered into any long term derivative contracts; and;

iii. The Company do not have any unpaid dividend amount. Accordingly, there is no amount, required to be transferred, to the Investor Education and Protection Fund by the Company.

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm's registration number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

Place : Mumbai
Date : 24th May, 2016

Annexure - A to the Independent Auditors' Report

The Annexure referred to in Independent Auditors' Report to the members of the Company on the standalone financial statements for the year ended 31 March 2016, we report that:

(i) In respect of Company's fixed assets:

(a) The Company has generally maintained proper records showing full particulars, including quantitative details and situation of fixed assets.

(b) The Company has a regular programme of physical verification of its fixed assets by which fixed assets are verified in a phased manner over a period of three years. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. In accordance with this programme, certain fixed assets were verified during the year and no material discrepancies were noticed on such verification.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the title deeds of immovable properties are held in the name of the Company.

(ii) in respect Company's inventories:

The inventory, except goods-in-transit and inventory lying with third parties, has been physically verified by the management at reasonable intervals during the year. In our opinion, the frequency of such verification is reasonable. The discrepancies noticed on verification between the physical stocks and the book records were not material.

(iii) in respect of loans secured or unsecured, granted to companies, firms, Limited Liability Partnerships or other parties covered in register maintained under section 189 of the Act:

The Company has granted loan to a wholly owned subsidiary covered in the register maintained under section 189 of the Act.

(a) In our opinion, the rate of interest and other terms and conditions on which the loans had been granted to a wholly owned subsidiary listed in the register maintained under Section 189 of the Act are not, prima facie, prejudicial to the interest of the Company.

(b) Schedule of repayment of principal and payment of interest has been stipulated. The borrower has been regular in the payment of the interest as stipulated. Principal is repayable within a period of five years.

(c) There are no overdue amounts in respect of the interest. As the principal is repayable within five years question of overdue do not arise.

(iv) The Company has not granted any loans or provided any guarantees or security to the parties covered under Section 185 of the Act. The Company has complied with the provisions of Section 186 of the Act in respect of investments made or loans or guarantee or security provided to the wholly owned subsidiary covered under Section 186.

(v) In our opinion and according to the information and explanations given to us, the Company has complied with directives issued by Reserve Bank of India and the provision of sections 73 to 76 or any other applicable provisions of the Act and the (Acceptance of Deposits) Rules, 2014 with regard to the deposits accepted from the public. According to the information and explanations given to us, no order has been passed by the Company Law Board or the National Company Law Tribunal or the Reserve Bank of India or any Court or any other Tribunal.

(vi) We have broadly reviewed the books of accounts and records maintained by the Company pursuant to the Rules prescribed by the Central Government under sub section (1) of section 148 of the Act and are of the opinion that prima facie the prescribed accounts and records have been made and maintained. However, we have not made a detailed examination of the records.

(vii) in respect of statutory dues:

(a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, amounts deducted/ accrued in the books of account in respect of undisputed statutory dues including provident fund, income-tax, sales tax, value added tax, duty of excise, duty of customs, service tax, professional tax, cess and other material statutory dues have been generally regularly deposited during the year by the Company with the appropriate authorities. According to the information and explanations given to us, no undisputed amounts payable in respect of provident fund, income tax, sales tax, value added tax, duty of excise, duty of customs, service tax, professional tax, cess and other

material statutory dues were in arrears as at 31 March 2016 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us, there are no material statutory dues which have not been deposited with the appropriate authorities on account of any dispute, other than the following dues of duty of excise, service tax, custom duty and electricity duty:

Name of the Statute	Nature of Dues	Period to which it pertains	Forum Where Dispute is Pending	Amount (Excluding Interest and Penalty) (Rs. in Lacs)
The Central Excise Act,1944	Excise Duty	2006-2007	High Court,Dharwad.	68.17
	Excise Duty	2009-2010, 2010-2011	Commissioner of Central Excise	130.86
	Excise Duty	2008-2009 to 2010-2011	CESTAT	36.82
	Excise Duty	2005-2006, 2006-2007	Commissioner of State Excise	164.4
Service Tax under Finance Act 1994	Service Tax	2006-2007, 2007-2008	High Court	2.33
Customs Act, 1962	Customs Duty	2013-2014	Deputy Commissioner of Customs.	12.03
			(Appeal filled on 20.04.2016)	
Electricity Duty Act,1958	Electricity Duty	2000 to 2005-2006	Government of Maharashtra	34.59

(viii) According to the information and explanations given to us, the Company has not defaulted any loans or borrowings from any financial institution, banks, government or debenture holders during the year.

(ix) The Company did not raise any moneys by way of initial public offer or further public offer (including debt instruments) during the year. In our opinion and according to the information and explanations given to us, the term loans taken by the Company have been applied, on an overall basis, for the purposes for which they were raised.

(x) According to the information and explanations given to us, no material fraud by the Company or on the Company by its officers or employees has been noticed or reported during the course of our audit.

(xi) According to the information and explanations give to us and based on our examination of the records of the Company, the Company has paid / provided for managerial remuneration in accordance with the requisite approvals mandated by the provisions of section 197 read with Schedule V to the Act.

(xii) In our opinion and according to the information and explanations given to us, the Company is not a nidhi company. Accordingly, paragraph 3(xii) of the Order is not applicable.

(xiii) According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with sections 177 and 188 of the Act, where applicable. The details of such related party transactions have been disclosed in the financial statements as required under Accounting standard (AS) 18, Related Party Disclosure specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules 2014.

(xiv) According to the information and explanations give to us and based on our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares. The Company has made private placement of non-convertible debentures during the year under review. Requirements of Section 42 of the Act has been complied with in this regard. Balance amount has been credited to the working capital accounts pending application of amount raised through private placement of Debentures.

(xv) According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not entered into non-cash transactions with directors or persons connected with him. Accordingly, paragraph 3(xv) of the Order is not applicable.

(xvi) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act 1934. Accordingly, paragraph 3(xvi) of the Order is not applicable.

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm's registration number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

Place : Mumbai
Date : 24th May, 2016

Annexure - B to the Independent Auditors' Report for the year ended 31st March 2016 on Standalone Financial Statement:

(Referred to in our report of even date)

Report on the Internal Financial Controls over financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Act

We have audited the internal financial controls over financial reporting of **Godavari Biorefineries Limited** ("the Company") as of 31st March 2016 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal controls over financial reporting criteria established by the Company considering the essential components of internal controls stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI') (the 'Guidance Note'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Standards on Auditing prescribed under Section 143(10) of the Act and the Guidance Note, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with the ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur

and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March 2016, based on the internal controls over financial reporting criteria established by the Company considering the essential components of internal controls stated in the Guidance Note.

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm's registration number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

Place : Mumbai
Date : 24th May, 2016

GODAVARI BIOREFINERIES LIMITED

Standalone Balance Sheet As at 31st March, 2016

(Rs. in Lacs)

		Notes	As at 31st March, 2016		As at 31st March, 2015	
I	**EQUITY AND LIABILITIES**					
1	**Shareholders' Funds**					
	a) Share Capital	2		**3,573.77**		3,573.77
	b) Reserves & Surplus	3		**11,512.09**		12,641.52
				15,085.86		16,215.29
2	**Non Current Liabilities**					
	a) Long Term Borrowings	4		**22,950.55**		21,502.37
	b) Deferred Tax Liabilities (net)	5		**301.15**		734.57
	c) Other Long Term Liabilities	6		**109.33**		20.09
	d) Long Term Provisions	7		**92.25**		73.62
				23,453.28		22,330.65
3	**Current Liabilities**					
	a) Short Term Borrowings	8		**53,116.54**		64,576.86
	b) Trade Payables			**16,616.47**		10,058.89
	c) Other Current Liabilities	9		**9,972.50**		8,121.02
	d) Short Term Provisions	10		**213.33**		216.45
				79,918.85		82,973.22
	TOTAL			**118,457.99**		121,519.16
II	**ASSETS**					
1	**Non Current Assets**					
	a) Fixed Asset	11				
	i Tangible Assets		**46,568.30**		45,757.07	
	ii Intangible Asset		**0.52**		0.06	
	iii Capital Work In Progress		**1,933.39**		3,037.84	
				48,502.21		48,794.97
	b) Non Current Investments	12	**351.64**		568.96	
	c) Long Terms Loans And Advances	13	**3,492.78**		2,956.76	
	d) Other Non Current Assets	14	**-**	**3,844.42**	9.42	3,535.14
				52,346.63		52,330.11
2	**Current Assets**					
	a) Current Investments	15	**4.16**		4.69	
	b) Inventories	16	**47,363.61**		51,326.92	
	c) Trade Receivables	17	**10,810.79**		9,713.84	
	d) Cash And Bank Balances	18	**3,402.24**		2,274.38	
	e) Short Term Loans And Advance	19	**2,909.87**		5,354.62	
	f) Other Current Assets	20	**1,620.69**		514.60	
				66,111.36		69,189.05
	TOTAL			**118,457.99**		121,519.16
	Notes forming part of Financial Statements 1 to 53					

As per our Report of even date attached

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm Registration Number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

For and on behalf of the Board of Directors

Samir S. Somaiya
Chairman & Managing Director
DIN: 00295458

N. S. Khetan
Chief Financial Officer
Membership No: F037264

Vinay V. Joshi
Executive Director
DIN: 00300227

Nishi VijayVargiya
Company Secretary
Membership No: A26319

Place : Mumbai
Date : 24th May 2016

GODAVARI BIOREFINERIES LIMITED

Standalone Statement of Profit and Loss for the year Ended on 31st March, 2016

(Rs. in Lacs)

		Notes	2015 - 2016		2014 - 2015	
I	**REVENUE :**					
	a Revenue From Operations (Gross)	21	**142,164.61**		100,788.26	
	b Less : Excise Duty		**5,686.14**		3,274.14	
	c Revenue From Operations (Net)			**136,478.47**		97,514.12
II	**OTHER INCOME**	22		**633.99**		371.15
	TOTAL			**137,112.46**		97,885.27
III	**EXPENDITURE:**					
	a Cost of Material Consumed	23		**98,117.85**		76,697.87
	b Purchase of Stock in Trade	24		**647.67**		3,684.58
	c Manufacturing Expenses	25		**10,422.54**		9,213.10
	d Changes in Inventories of Finished Goods, Work in Progress & Stock in Trade	26		**4,233.54**		(8,731.98)
	e Employee Benefits Expenses	27		**6,570.04**		5,771.51
	f Sales, Adminstration & other Expenses	28		**6,017.18**		6,479.35
	g Interest & Financial Charges	29		**8,322.70**		8,408.07
	h Depreciation	11		**4,343.79**		4,699.72
	TOTAL			**138,675.31**		106,222.22
IV	**PROFIT / (LOSS) BEFORE TAXES**			**(1,562.85)**		(8,336.95)
V	Tax Expenses					
	a Deferred Tax (Income) / Expense			**(433.42)**		(924.00)
	b (Excess) / Short Provision for Income Tax			**-**		383.18
				(433.42)		(540.82)
VI	**PROFIT / (LOSS) AFTER TAX FOR THE PERIOD**			**(1,129.43)**		(7,796.13)
VII	**Basic and Diluted Earnings Per Share of Face Value of Rs. 10/-**			**(3.16)**		(21.82)
	Notes forming part of Financial Statements 1 to 53					

As per our Report of even date attached

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm Registration Number: 102358W

Dr. S. N. Desai
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Executive Director
DIN: 00300227

Nishi VijayVargiya
Company Secretary
Membership No: A26319

Place : Mumbai
Date : 24th May 2016

GODAVARI BIOREFINERIES LIMITED

Standalone Cash Flow for the Year Ended 31st March, 2016

(Rs. in Lacs)

			2015 - 2016		2014 - 2015
A	Cash Flow from Operating Activities :				
	Net Profit / (Loss) After Tax		**(1,129.43)**		(7,796.13)
	Adjusted for :				
	Depreciation	**4,343.79**		4,699.72	
	Interest on Fixed Deposits and Others	**(316.32)**		(180.37)	
	Loss on Sale of Assets	**(7.01)**		1.63	
	Sundry Debit/Credit Balances Written Off/Back (Net)	**(170.50)**		165.43	
	Interest & Finance Charges	**8,322.70**		8,408.07	
	Provision For Dimunition In Investment Value	**217.85**		66.50	
	Provision for Doubtful Debts / Advances	**407.24**		622.89	
	Loss in StoresValue	**17.00**		100.00	
	Provision for Taxes /(Excess)/Short Income Tax	**-**		383.18	
	Deferred Taxes	**(433.42)**		(924.00)	
	Unrealised Foreign Currency (Gain)/Losses	**17.82**	**12,399.15**	91.51	13,434.56
	Operating Profit before Working Capital Changes		**11,269.72**		5,638.45
	Adjustments for :				
	Trade Payables	**6,730.13**		(2,921.88)	
	Other Current Liabilites	**(391.91)**		539.65	
	Short Term Provisions	**(3.12)**		(4.77)	
	Other Long Term Liabilities	**89.24**		(875.36)	
	Long Term Provisions	**18.64**		19.65	
	Trade Receivables	**(1,136.77)**		(715.62)	
	Inventories	**3,946.30**		(7,618.40)	
	Short Term Loans and Advances	**2,487.71**		649.93	
	Other Current Assets	**(1,558.10)**		(831.27)	
	Other Non-Current Assets	**(2,069.28)**	**8,112.85**	(1,462.22)	(13,220.29)
	Cash Generated From Operations		**19,382.56**		(7,581.84)
	Taxes Paid		**(42.96)**		(107.51)
	Net Cash From/ (Used In) Operating Activities		**19,339.60**		(7,689.35)
B	Cash Flow From Investing Activities :				
	Addition To Fixed Assets (Net)	**(2,899.20)**		(5,207.95)	
	Sale / Scrap of Fixed Assets	**10.63**		6.88	
	Non Current Investments in Other Investment	**-**		(6.92)	
	Interest Received on Fixed Deposits and Others	**271.86**		146.48	
	Net Cash From/ (Used in) Investing Activities		**(2,616.71)**		(5,061.50)
C	Cash Flow From Financing Activities :				
	Repayment of Long Term Borrowings	**(4,193.38)**		(7,593.91)	
	Proceeds of Long Term Borrowings	**-**		7,171.08	
	(Decrease) / Increase Short Term Borrowings	**(11,156.80)**		12,335.60	
	Share Capital	**-**		513.56	
	Issue of Debentures	**6,500.00**		-	
	Interest accured on debenture	**305.26**			
	Preference Share Redeemed / Converted to Equity Share	**-**		(1,200.00)	
	Share Premium received on Equity Share issued	**-**		9,186.44	
	Interest & Finance Charges Paid	**(7,546.59)**		(7,634.11)	
	Net Cash from/ (Used in) Financing Activities		**(16,091.51)**		12,778.65
	Net Changes in Cash and Cash Equivalents		**631.38**		27.80
	Add : Opening Balance Of Cash and Cash Equivalents		**324.37**		296.57
	Closing Balance Of Cash and Cash Equivalents (Refer note 49)		**955.75**		324.37

As per our Report of even date attached

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm Registration Number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

For and on behalf of the Board of Directors

Samir S. Somaiya
Chairman & Managing Director
DIN: 00295458

N. S. Khetan
Chief Financial Officer
Membership No: F037264

Vinay V. Joshi
Executive Director
DIN: 00300227

Nishi VijayVargiya
Company Secretary
Membership No: A26319

Place : Mumbai
Date : 24th May 2016

1. SIGNIFICANT ACCOUNTING POLICIES

A) Basis of Accounting and Preparation of Financial Statements:

These financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on the accrual basis. GAAP comprises mandatory accounting standards as prescribed under Section 133 of the Companies Act, 2013 ('Act') read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act (to the extent notified).

B) Use of Estimates:

The preparation of Financial Statements require the management to make estimates and assumptions considered in the reported amounts of assets and liabilities as of the date of the Financial Statements and the reported income and expenses during the reporting period. Management believes that the estimates used in the preparation of the Financial Statements are prudent and reasonable. Difference between the actual results and estimates are recognised in the period in which the results are known / materialised.

C) Fixed Assets & Depreciation:

Fixed Assets are stated at original cost net of tax/duty credits availed less accumulated depreciation, amortisation including impairment loss, if any. All direct cost relating to installation up to the commencement of commercial production are capitalised.

Depreciation on Fixed Assets has been provided on Straight Line Method (SLM) in accordance with Schedule II to the Companies Act, 2013.

Depreciation for additions to/deductions from Fixed Assets is calculated from the date of capitalization /deductions.

Intangible Assets are related to 'Patents', which have been recognised at nominal value, therefore, the same have not been amortised.

D) Leased Assets:

Operating Leases: Assets acquired on lease where a significant portion of the risk and rewards of ownership are retained by the lessor are classified as operating leases. Lease Rentals are charged to the Profit and Loss account on an accrual basis.

E) Foreign Currency Transactions:

i) Transactions in foreign currencies are recorded at the exchange rates prevailing on the date of transaction.

ii) Monetary items denominated in Foreign Currencies are reinstated at the year end rates.

iii) Premium or discount on foreign exchange forward contracts are amortised and recognised in the statement of profit and loss over the period of the contract.

F) Investments:

Long Term Investments are carried at cost less provision, if any, for permanent diminution in value of such investments. Provision for diminution in the value of long-term investments is made only if such a decline is other than temporary in the opinion of the management.

Short Term Investment: Current Investments are stated at cost less provision for diminution in value.

G) Inventories:

i) Raw Materials are valued at lower of moving average cost or net realisable value.

ii) Stores and Spares are valued at moving average cost.

iii) Quantity of Work-in-Progress stocks is converted into equivalent units of finished stocks. Work-in-Progress valued at lower of cost or net realisable value.

iv) Finished stocks are valued at cost or net realisable value whichever is lower.

v) Bagasse, Molasses and waste/scrap generated in the production process are valued at net realisable value.

vi) The valuation of inventories includes taxes, duties of non refundable nature and direct expenses and other direct cost attributable to the cost of inventory, net of excise duty/ countervailing duty / education cess and value added tax.

H) Provision for Current Tax and Deferred Tax:

i) Tax on income for the current period is determined on the basis of taxable income and tax credits computed in accordance with the provisions of the Income Tax Act, 1961 and Income Computation and Disclosure Norms (ICDS) and based on the expected outcome of assessments/appeals.

ii) Deferred Tax resulting from “timing differences” between book and taxable profit is accounted for using the tax rates and laws that have been enacted and substantively enacted as on the Balance Sheet date.

iii) Deferred tax assets are recognised and carried forward to the extent that there is a reasonable certainty or virtual certainty as the case may be that sufficient future taxable income will be available against which such deferred tax assets can be realised.

I) Provisions, Contingent Liabilities and Contingent Assets:

Provisions are recognised for liabilities that can be measured only by using a substantial degree of estimation, if

i) the Company has a present obligation as a result of a past event,

ii) a probable outflow of resources is expected to settle the obligation and

iii) the amount of the obligation can be reliably estimated.

Reimbursement expected in respect of expenditure required to settle a provision is recognised only when it is virtually certain that the reimbursement will be received.

Contingent liability is disclosed in case of:

i) A present obligation arising from past events, when it is not probable that an outflow of resources will be required to settle the obligation;

ii) A present obligation when no reliable estimate is possible;

iii) A possible obligation arising from past events where the probability of outflow of resources is not remote.

Contingent assets are neither recognised, nor disclosed.
Provisions, Contingent Liabilities and Contingent Assets are reviewed at each Balance Sheet date.

J) Impairment of Assets:

Provision for impairment loss, if any, to the extent, the carrying amount of assets exceed their recoverable amount. Recoverable amount is higher of an asset’s net selling price and its value in use. Value in use is the present value

of estimated future cash flow expected to arise from the continuing use of an asset and from its disposal at the end of its useful life.

Impairment losses recognised in prior years are reversed when there is an indication that the impairment losses recognised no longer exist or have decreased. Such reversals are recognised as an increase in carrying amounts of assets to the extent that it does not exceed the carrying amounts that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised in previous years.

K) Revenue Recognition:

i) Revenue from sale of manufactured and traded goods is recognised when the substantial risks and rewards of ownership are transferred to the buyer under the terms of the contract.

ii) Power sales are accounted on the basis of contract and State Government notified rates as applicable.

iii) Dividends are recognised when right to receive is established.

iv) Export benefits are accounted on the basis of completion of Export Obligation, which are to be received with a reasonable certainty.

L) Turnover:

Turnover includes sale of goods, excise duty net of value added tax, adjusted for discounts.

M) Expenditure on Research & Development:

i) Revenue expenditure on Research and Development is accounted under respective heads of account in the year in which it is incurred.

ii) Expenses of Capital nature are capitalised and depreciation is provided thereon as per Schedule II of the Companies Act, 2013.

N) Retirement Benefits:

i) Short term employee benefits:

All employee benefits falling due wholly within twelve months of rendering the service are classified as short term employee benefits. The benefits like salaries, wages, short term compensated absences etc. and the expected cost of bonus, ex-gratia are recognised in the period in which the employee renders the related service.

ii) Post-employment benefits:

Defined contribution plans: The state governed provident fund scheme, employee state insurance scheme, employee pension scheme and gratuity are defined contribution plans. The contribution paid/payable under the schemes is recognised during the period in which the employee renders the related service.

O) Extraordinary and Exceptional Items:

Income or expenses that arise from events or transactions that are clearly distinct from the ordinary activities of the Company are classified as extraordinary items. Specific disclosure of such events/ transactions is made in the financial statements. Similarly, any external event beyond the control of the Company, significantly impacting income or expenses, is classified as an extraordinary items and disclosed as such.

On certain occasions, the size, type or incidence of an item of income or expense, pertaining to ordinary activities of the Company is such that its disclosure improves an understanding of performance of the Company. Such income or expense is classified as an exceptional item and accordingly disclosed in the notes to accounts.

P) Borrowing Costs:

Borrowing costs that are attributable to the acquisition, construction or production of a qualifying asset are capitalised as part of cost of such asset till such time as the asset is ready for its intended use or sale. A qualifying asset is an asset that necessarily requires a substantial period of time to get ready for its intended use or sale. All other borrowing costs are recognised as an expense in the period in which they are incurred.

Q) Segment Accounting:

i) Segment accounting policies are in line with the accounting policies of the Company. In addition, the following specific accounting policies have been followed for segment reporting:

   a) Segment revenue includes sales and other income directly identifiable with/allocable to the segment including inter-segment revenue.

   b) Expenses that are directly identifiable with/allocable to segments are considered for determining the segment result. Expenses, which relate to the Company as a whole and not allocable to segments, are included under “unallocable corporate expenditure”.

ii) The Company’s reporting segments are identified based on activities/products, risk and reward structure, organisational structure and internal reporting systems.

R) Commodity Futures:

Transactions in commodity futures are accounted based on the mode of final settlement. Transactions, which are ultimately settled net, without taking delivery, are recorded net with the gains/losses being recognised as income/expenses in the Financial Statements. Transactions, which stipulate physical delivery of the goods and where the Company intends to take delivery, are recorded at gross, as purchases and sales as a part of the Company’s sugar manufacturing activities.

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
2 SHARE CAPITAL				
Authorised				
4,20,00,000 (Previous Year 4,20,00,000) Equity Shares of Rs.10/- each		**4,200.00**		4,200.00
18,00,000 (Previous Year 18,00,000) Redeemable Cumulative Preference Shares of Rs.100/- each		**1,800.00**		1,800.00
		6,000.00		6,000.00
Issued, Subscribed & Paid up				
Equity Share Capital				
3,57,37,747 (Previous Year 3,57,37,747) Equity Shares of Rs.10/- each fully paid up.	**3,573.77**		3,060.21	
Add : Nil (Previous Year 51,35,647) equity share of Rs, 10 each fully paid up issued during the year	**-**		513.56	
3,57,37,747 (Previous Year 3,57,37,747) Equity Shares of Rs.10/- each fully paid up.		**3,573.77**		3,573.77
Nil (Previous Year Nil) 12% Redeemable Cumulative Preference Share of Rs. 100/- each	**-**		700.00	
Less: Nil (Previous year 7,00,000) ,12% Redeemable Cumulative Preference Share of Rs. 100/- each are redeemed	**-**		700.00	
Nil (Previous Year 500,000) 9% Optionally Convertible Preference Share of Rs. 100/- each	**-**		500.00	
Add: Nil (Previous Year 5,50,000), 9% Optionally Convertible Preference Share of Rs. 100/- each	**-**		550.00	
Less: Nil (Previous Year 3,50,000), 9% Optionally Convertible Preference Share of Rs. 100/- each are redeemed	**-**		350.00	
Less: Nil (Previous Year 7,00,000), 9% Optionally Convertible Preference Share of Rs. 100/- each are converted to 370614 equity share of Rs. 10/- each at a Premium of Rs. 178.8759 per share	**-**		700.00	
Nil (Previous Year Nil) 9% Optionally Convertible Preference Share of Rs. 100/- each		**-**		-
		3,573.77		3,573.77

a) Reconciliation of the number of Equity Shares and Share Capital outstanding at the beginning and at the end of the reporting Year

Particulars	2015-2016		2014-2015	
	No. of shares held	**Amount in Lacs**	No. of shares held	Amount in Lacs
Equity shares of Rs. 10/- each fully paid :				
Shares outstanding at the beginning of the year	**35,737,747**	**3,573.77**	30,602,100	3,060.21
Shares issued during the year	**-**	**-**	5,135,647	513.56
Shares bought back during the year	**-**	**-**	-	-
Shares outstanding at the end of the year	**35,737,747**	**3,573.77**	35,737,747	3,573.77

b) Reconciliation of the number of 12% Redeemable Cumulative Preference Shares outstanding at the beginning and at the end of the reporting Year

Particulars	2015-2016		2014-2015	
	No. of shares held	**Amount in Lacs**	No. of shares held	Amount in Lacs
Preference shares of Rs. 100/- each fully paid :				
Shares outstanding at the beginning of the year	**-**	**-**	700,000	700.00
Shares issued during the year				
Shares Redeemed during the year	**-**	**-**	700,000	700.00
Shares outstanding at the end of the year	**-**	**-**	-	-

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
a) Reconciliation of the number of Equity Shares and Share Capital outstanding at the beginning and at the end of the reporting Year				
	2015-2016		2014-2015	
Particulars	**No. of shares held**	**Amount in Lacs**	No. of shares held	Amount in Lacs
Preference shares of Rs. 100/- each fully paid :				
Shares outstanding at the beginning of the year	**-**	**-**	500,000	500.00
Shares issued during the year	**-**	**-**	550,000	550.00
Shares Redeemed during the year	**-**	**-**	350,000	350.00
Shares Converted during the year	**-**	**-**	700,000	700.00
Shares outstanding at the end of the year	**-**	**-**	-	-

d) Rights, Preferences and Restrictions attached to Shares

i) Equity Shares

- The Company has one class of Equity shares having a par value of Rs.10/- each.
- Each holder of Equity shares is entitled to one vote per share and are subject to the preferential rights as presecribed under law or those of preference shareholders,if any.
- The Equity share holders are also subject to restrictions as presribed under the Companies Act,2013
- The Company declares and pays dividends in Indian Rupees. The dividend proposed by the Board of Directors is subject to the approval of shareholders in the ensuing Annual General Meeting,except in the case of Interim Dividend.
- In the event of the Liquidation of the Company, the holders of the Equity shares will be entitled to receive remaining assets of the company after distribution of all preferential amounts and preferential shareholders

ii) Preference Shares

- The Company had two class of Preference shares - 12% Redeemable Cumulative Preference shares having a par value of Rs.100/- each and 9% Optionally Convertible Preference Shares.
- These shares were redeemed fully in financial year 2014-15

e) Shareholders holding more than 5% of Equity shares of the Company

		As at 31st March, 2016		As at 31st March, 2015	
	Name of Shareholders	**No. of shares held**	**Amount in Lacs**	No. of shares held	Amount in Lacs
1	Somaiya Agencies Pvt.Ltd.	**8,549,965**	**23.92**	8,549,965	23.92
2	Lakshmiwadi Mines & Minerals Pvt. Ltd	**5,193,462**	**14.53**	5,193,462	14.53
3	Sakarwadi Trading Company Pvt. Ltd	**4,981,952**	**13.94**	4,981,952	13.94
4	Trustees of Sameerwadi Sugarcane Farmers' Welfare Trust	**2,269,600**	**6.35**	2,269,600	6.35
5	Sindhur Construction Pvt. Ltd.	**2,605,120**	**7.29**	2,605,120	7.29
6	Mandala Capital AG Limited	**4,765,033**	**13.33**	4,765,033	13.33
7	Shri Samir Shantilal Somaiya	**3,667,815**	**10.26**	3,667,815	10.26
		32,032,947	**89.62**	32,032,947	89.62

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
3 RESERVES AND SURPLUS :				
(a) **Capital Reserve**				
At the beginning and at the end of the year		**727.42**		727.42
(b) **Capital Redeemption Reserve**				
At the beginning and at the end of the year	**573.50**		-	
Add : Transfer During the year	**-**		573.50	
		573.50		573.50
(c) **Share Premium Reserve**				
At the beginning and at the end of the year	**15,308.68**		6,122.24	
Add : Nil (Previous Year 5135647 equity share issued at a premium of Rs. 178.8759 per share)	**-**		9,186.44	
At the end of the year		**15,308.68**		15,308.68
(d) **General Reserve**				
At the beginning of the year	**1,865.38**		2,357.11	
Less : Depreciation on transition to Schedule II of the Companies Act, 2013	**-**		(491.73)	
At the end of the year		**1,865.38**		1,865.38
(e) **Surplus in Statement of Profit and Loss**				
At the beginning of the year	**(5,833.46)**		2,536.17	
Less : Transfer to Capital redeemption	**-**		(573.50)	
Add : Profit / (Loss) for the year	**(1,129.43)**		(7,796.13)	
At the end of the year		**(6,962.89)**		(5,833.46)
		11,512.09		12,641.52
4 LONG TERM BORROWINGS				
Secured				
a) From Banks				
Term Loans		**9,298.95**		14,389.15
b) From Others				
(i) Sugar Development Fund	**5,342.19**		5,896.72	
(ii) Others	**4.45**		20.38	
		5,346.63		5,917.10
c) Debentures				
(i) Debentures	**6,500.00**		-	
(ii) Interest accured on Debentures	**305.26**		-	
		6,805.26		-
Unsecured				
a) From Others				
(i) Council of Scientific & Industrial Research		**485.00**		485.00
(ii) Deferred Cane Purchase Tax		**1,014.71**		711.12
		22,950.55		21,502.37

(Rs. in Lacs)

		As at 31st March, 2016		As at 31st March, 2015	
I)	**Details of Terms of repayment for Long Term Secured Borrowings**				
		Current	**Non - Current**	Current	Non - Current
1	Andhra Bank (Repayable in 13 equal quarterly installments, last Installment falling due on April 2019.)	**51.50**	**115.88**	51.50	167.38
2	Union Bank of India (Repayable in 10 equal quarterly installments, last Installment falling due on July 2018.)	**892.00**	**1,324.00**	892.00	2,216.00
3	Union Bank of India (Repayable in 5 equal half yearly installments, last Installment falling due on June 2018.)	**216.00**	**324.00**	216.00	540.00
4	Bank of India (Repayable in 36 equal Monthly installments, last Installment falling due on May 2019.)	**1,675.00**	**4,355.00**	-	6,030.00
5	Bank of India (Repayable in 9 equal quarterly installments, last Installment falling due on June 2018.)	**892.00**	**1,101.00**	892.00	1,993.00
6	Corporation Bank (Repayable in 11 equal quarterly installments, last Installment falling due on October 2018.)	**684.00**	**1,195.00**	684.00	1,879.00
7	Punjab National Bank (Repayable in 5 equal half yearly installments, last Installment falling due on June 2018.)	**679.71**	**884.07**	679.72	1,563.78
8	State Bank of Patiala (last Installment falling due on July 2015.)	**-**	**-**	199.64	-
9	Sugar Development Fund (Repayable in 5 equal yearly installments, last Installment falling due on March 2023.)	**-**	**3,954.02**	-	3,954.02
10	Sugar Development Fund (Repayable in 7 equal half yearly installments, last Installment falling due on June 2019.)	**555.27**	**1,388.17**	556.00	1,942.70
11	Hire Purchase Finance	**15.93**	**4.45**	23.27	20.38
12	IDBI Trusteeship Services Ltd (Bullet payment on June 2021) Call Option after three years (June 2018)	**-**	**6,805.26**		
		5,661.41	**21,450.84**	4,194.13	20,306.25

* Period of Maturity w.r.t the Balance Sheet date

* Number of Instalment outstanding as at 31st March, 2016

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	

II) Nature of Securities:

i) Loan covered in Sr. No. 1 to 5, First Pari Passu Charge on Fixed Assets of Sameerwadi, Karnataka, Subservient First Ranking Charge on Fixed Assets of Sakarwadi, Maharashtra and First Pari Passu Charge on certain Assets of Somaiya Properties and Investments Pvt Ltd. (SPIPL) (Formerly known as The Godavari Sugar Mills Pvt Ltd). Corporate Guarantee of SPIPL . Second Pari Passu charge on Current Asset of Sugar Division at Sameerwadi, Karnataka

ii) Loan covered in Sr.No. 6, First Pari Passu Charge on Fixed Assets of Sameerwadi, Karnataka.Second Pari Passu Charge on Curent Assets of Sugar & Cogen Division,

iii) Loan covered in Sr.no. 7 First Pari Passu Charge on Fixed Assets of Sameerwadi, Karantaka and second Pari Pasu Charge on Fixed Assets of Sakarwadi, Maharashtra and second pari passu charge on current Asset of Sugar Division

iv) Loan covered in Sr.No. 8,First Pari Passu Charge on Fixed Assets of Sameerwadi Karnataka and Second Pari Passu Charge on Curent Assets of Company

v) Loan covered in Sr.No. 9 & 10, All Immoveable & Moveable Properties at Sameerwadi Factory , Karnataka on First Pari Passu Charge basis.

vi) Loan covered in Sr.No. 11, Exclusive Charge on Assets purchased under Hire purchase arrangements

vii) Debenture / Bond covered in Sr.No. 12 , Exclusive Charge on the Fixed Assets Of Capital Investment Programme as per the agreement dated 09th July, 2015 and First Pari Passu Charge on Fixed Assets at Sakarwadi. Rate of Interest @ Rs. 10% p.a (inclusive of Withholding tax.)

III) Interest for above loans varies from 4% to 13.90% (Previous Year 4% to 14.50%). During the Financial year 2015-2016 the company has not availed any Foreign Currency Loan (Previous Year Libor plus 500 bps).

5	**DEFERRED TAX LIABILITIES**				
	Deferred Tax Liability				
	On account of difference in Depreciation	**7,856.56**		7,829.95	
	Deferred Tax Asset				
	Unabsorbed Depreciation and Business Losses	**7,555.41**		7,095.38	
			301.15		734.57
6	**OTHER LONG TERM LIABILITIES**				
(i)	Public Deposits	**94.20**		-	
(ii)	Others	**15.13**		20.09	
			109.33		20.09
7	**LONG TERM PROVISIONS**				
	Leave Encashment		**92.25**		73.62
8	**SHORT TERM BORROWINGS**				
	Secured				
	From Banks				
(i)	Cash Credit / Packing Credit	**24,347.74**		35,137.95	
(ii)	Buyers' Credit	**-**		2,738.21	
			24,347.74		37,876.16

I Nature of Security:

Secured by First Pari Passu charge over current assets of the company (respective division), both present and future and second Pari Passu charge on Fixed Asset; and Second charge on certain Assets of Somaiya Properties and Investments Pvt Ltd. (SPIPL) (Formerly known as The Godavari Sugar Mills Pvt Ltd) as a Corporate Guranatee of SPIPL.

II Interest for above Rupee loans varies from 12.5% to 14.5% (Previous Year 12.5% to 14.5%) and for foreign currency loan varies from Libor Plus 40 to 50 bps (Previous Year 400 to 500 bps)

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
Unsecured				
From Banks		**28,766.00**		26,501.70
From Others				
(a) Public Deposits	**2.80**		-	
(b) Inter Corporates Deposits	**-**		199.00	
		2.80		199.00
		53,116.54		64,576.86
9 OTHER CURRENT LIABILITIES				
(a) Interest accured but not due on Borrowings	**2,917.69**		2,141.58	
(b) Statutory Dues	**151.97**		141.61	
(c) Others Liabilities	**980.38**		828.67	
(d) Others Liabilities- Related Parties	**2.02**		3.02	
(e) Security Deposits	**114.06**		62.96	
(f) Advance from Customers	**144.97**		735.77	
(g) Creditors for Capital Expenditure	**-**		13.28	
(h) Current Maturities of long-term debts	**5,661.41**		4,194.13	
		9,972.50		8,121.02
10 SHORT TERM PROVISIONS				
Provision for Leave Encashment		**187.46**		216.45
Provision for Gratuity		**25.87**		-
		213.33		216.45
12 NON CURRENT INVESTMENTS (at cost unless otherwise specified)				
(I) Long Term Trade Investments				
Investments in Equity Shares-Fully paid				
a) Unquoted				
Investments in Subsidiaries :				
(i) 4,45,000 (Previous Year 4,45,000) Equity Shares of Cayuga Investments B.V. of EURO 1/- each	**301.92**		301.92	
Less : Provision For Dimunition in Investment Value	**150.00**		-	
		151.92		301.92
(ii) 19,50,000 (Previous Year 19,50,000) Equity Shares of Solar Magic Pvt. Ltd. of Rs.10/- each		**195.00**		195.00
		346.92		496.92
b) Quoted				
Investments in Associate				
(i) 25,000 (Previous Year 25,000) Equity Shares of Rs. 10/- each of Pentokey Organy (India) Limited		**4.50**		4.50
		351.42		501.42
(II) Long Term Non -Trade Investments				
a) Unquoted				
Investments in Associates:				
(i) 210 (Previous Year 210) Equity Shares of Rs.100/- each of The Book Centre Ltd.		**0.21**		0.21
Other Company				
(i) 357,604 Nonassessable shares of Series B preferred Stock of $ 0.001 par value (Previous Year 357,604 Nonassessable shares of Series B preferred Stock of $ 0.001 par value) of e2e Material INC, USA	**134.65**		134.65	
Less : Provision For Dimunition in Investment Value	**134.64**	**0.01**	67.32	67.33
		0.22		67.54
		351.64		568.96

(Rs. in Lacs)

		As at 31st March, 2016		As at 31st March, 2015	
		Market Value as at		Book Value as at	
		31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Quoted	**4.63**	**3.54**	4.50	4.50
	Unquoted	**-**	**-**	347.14	564.46
		4.63	**3.54**	351.64	568.96
13	**LONG TERMS LOANS AND ADVANCES (Unsecured, Considered Good):**				
	(a) Due from Related Party - Subsidiary	**227.45**		421.92	
	(b) Advances for Fixed Asset	**1,143.40**		97.88	
	(c) Advances Income Tax (Net of Provision of Rs. 925.95 lacs (Previous Year 925.95 lacs))	**754.62**		701.44	
	(d) Balances with Statutory and Government Authorities	**355.09**		590.52	
	(e) Security Deposit and other Deposits	**267.60**		300.66	
	(f) Advances for Supplies and Services	**744.62**		844.34	
			3,492.78		2,956.76
14	**OTHER NON CURRENT ASSETS**				
	a) Claims Receivables		**-**		9.42
15	**CURRENT INVESTMENTS** (At lower of cost and fair value)				
	a) Quoted				
	Investments in Mutual Fund				
	(i) 50,000 ((Previous Year 50,000) units of Rs. 10/- each State Bank of India PSU FUND	**5.00**		5.00	
	Less : Provision For Dimunition in Investment Value	**0.84**		0.31	
			4.16		4.69
			4.16		4.69

		Market Value as at		Book Value as at	
		31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Quoted	**4.16**	**4.69**	4.16	4.69
	Unquoted	**-**	**-**	-	-
		4.16	**4.69**	4.16	4.69
16	**INVENTORIES:** (Mode of valuation as per note no. 1(G))				
	(a) Raw Materials				
	Raw Materials	**6,154.71**		6,022.74	
	Raw Material in Transit	**356.17**		-	
			6,510.89		6,022.74
	(b) Work in Progress		**29.99**		615.40
	(c) Finished Goods				
	(i) Finished Goods	**38,500.02**		41,891.59	
	(ii) Finished Goods in Transit	**44.89**		301.45	
			38,544.91		42,193.04
	(d) Traded Goods		**150.82**		417.16
	(e) Stores, Chemicals and Spares		**2,127.00**		2,078.58
			47,363.61		51,326.92

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
Details of Raw Materials				
a) Special Denautured Spirit	**1,979.30**		2,860.12	
b) Bagasse	**1,194.37**		619.06	
c) Molasses	**1,323.74**		504.73	
d) Acetic Acid	**675.62**		720.73	
e) Methyl Ethyl Ketone	**412.41**		1,171.80	
f) Coal	**319.74**		75.42	
g) Others	**249.54**		70.87	
	6,154.71		6,022.74	
Details of Raw Materials In Transit				
a) Acetic Acid	**356.17**		-	
Details of Work in Progress				
a) Sugar In Process	**-**		548.26	
b) Others	**29.99**		67.14	
	29.99		615.40	
Details of Finished Goods				
a) Sugar	**34,151.57**		38,868.15	
b) Rectified Spirit & Extra Neutral Alcohol	**1,241.96**		255.42	
c) Ethanol	**423.67**		498.18	
d) Ethyl Acetate	**299.97**		64.09	
e) Others	**2,382.85**		2,205.75	
	38,500.02		41,891.59	
Details of Finished Goods in Transit				
a) Ethyl Acetate	**29.21**		202.51	
b) Sugar	**15.68**		-	
c) Others	**-**		98.94	
	44.89		301.45	
	-			
Details of Traded Goods				
a) Urea	**-**		38.92	
b) Di Ammonium Phosphate [D.A.P.]	**-**		55.52	
c) Others	**150.82**		322.72	
	150.82		417.16	
17 TRADE RECEIVABLES (Unsecured, Considered Good) :				
I) Due over six months	**544.11**		116.40	
Less : Provision for Doubtful Debts	**20.03**	**524.08**	-	116.40
II) Due less than six months		**7,585.37**		6,037.18
III) Due from Related Party		**2,701.34**		3,560.26
		10,810.79		9,713.84

(Rs. in Lacs)

		As at 31st March, 2016		As at 31st March, 2015	
18	**CASH AND BANK BALANCES:**				
	a) Cash and Cash Equivalants				
	(i) Cash on Hand	**18.09**		19.74	
	(ii) In Current Account	**880.69**		253.40	
	(iii) Fixed Deposits with Banks upto 3 months maturity including Interest accured	**56.97**		51.23	
	b) Other Bank Balance		**955.75**		324.37
	(i) Fixed deposits for margin money and other earmarked fixed deposit inculidng interest accrued	**1,055.56**		1,637.02	
	(ii) Others Fixed Deposits including Interest accured	**1,390.93**		312.99	
			2,446.49		1,950.01
			3,402.24		2,274.38
19	**SHORT TERM LOANS AND ADVANCES** (Unsecured, Considered Good):				
	a) Cenvat Credit Receivables	**395.69**		527.23	
	b) VAT Credit Receivable	**602.09**		1,631.92	
	c) Advances Income Tax (Net of Provision is Nil (Previous Year 722.78 lacs)	**-**		574.68	
	d) Prepaid Expenses	**221.03**		119.98	
	e) Advances to suppliers and others advances	**1,668.02**		2,477.53	
	f) Security Deposit and other Advances	**23.04**		23.28	
			2,909.87		5,354.62
20	**OTHER CURRENT ASSETS:**				
	a) Export Incentives Sugar Cane	**853.25**		-	
	b) Export Benefits - MIES and Others	**586.68**		-	
	c) Claims Receivables	**180.76**		514.60	
			1,620.69		514.60

11 Fixed Assets

(Rs. in Lacs)

Sr. No.	Particulars	Gross Block				Depreciation				Net Block	
		As at 31st March 2015	Additions	Deductions/ Adjustments	As at 31st March 2016	Upto 31st March 2015	During the period	Deductions/ Adjustments	Upto 31st March 2016	As at 31st March 2016	As at 31st March 2015
A	**Tangible Asset**										
1	Land	610.72	-	-	610.72	5.01	-	-	5.01	**605.71**	605.71
2	Building	4,404.19	888.26	-	5,292.45	1,064.12	171.23	-	1,235.35	**4,057.10**	3,340.07
3	Plant & Machinery	70,299.29	4,164.07	4.00	74,459.36	28,907.69	4,043.62	3.32	32,947.99	**41,511.37**	41,391.60
4	Office Equipments	1,772.64	45.26	0.49	1,817.41	1,619.16	61.44	0.31	1,680.29	**137.12**	153.48
5	Motor Vehicles	776.43	60.98	50.44	786.96	510.22	67.43	47.68	529.97	**257.00**	266.20
	Total A	**77,863.27**	**5,158.56**	**54.93**	**82,966.91**	**32,106.20**	**4,343.72**	**51.31**	**36,398.61**	**46,568.30**	**45,757.07**
B	**Intangible Asset**										
1	Patents	0.06	0.54	-	0.60	-	0.07	-	0.07	**0.52**	0.06
	Total B	**0.06**	**0.54**	**-**	**0.60**	**-**	**0.07**	**-**	**0.07**	**0.52**	**0.06**
	Grand Total A + B	**77,863.33**	**5,159.10**	**54.93**	**82,967.51**	**32,106.20**	**4,343.79**	**51.31**	**36,398.68**	**46,568.82**	**45,757.13**
	Previous Year 2014-15	**75,008.76**	**2,904.29**	**49.72**	**77,863.33**	**26,955.96**	**5,191.45**	**41.21**	**32,106.20**	**45,757.13**	**48,052.80**
	Work in Progress									**1,933.39**	**3,037.84**

"Effective from 1st April, 2014, The Company has charged depreciation based on the revised remaining useful life of the Assets as per the schedule II of the Companies Act, 2013. Based on transitional provision provided in Note 7 (b) of schedule II in respect of the Assets whose life has been completed, an amount of current year Rs. Nil (Previous Year Rs.491.73 lacs) has been adjusted against retained earnings."

(Rs. in Lacs)

		2014 - 2015	2013 - 2014
21	**REVENUE FROM OPERATIONS**		
	Revenue From Operations (Gross)	**142,164.61**	100,788.26
	Less Excise Duty	**5,686.14**	3,274.14
	Sales of Products (Net of Excise Duty)	**136,478.47**	97,514.12
21 a	**Details of Sales of Products (Net of Excise Duty)**		
	Sugar	**78,188.81**	47,806.06
	Power	**5,616.53**	5,375.60
	Rectified Spirit & Extra Neutral Alcohol	**6,430.31**	5,812.01
	Ethanol	**6,499.04**	3,678.32
	Ethyl Acetate	**20,128.36**	23,990.57
	Speciality Chemicals	**11,386.70**	3,315.79
	Fertilisers	**311.47**	1,036.79
	Others	**7,917.25**	6,498.99
		136,478.47	97,514.12
22	**OTHER INCOME :**		
	Interest on Fixed Deposits & Others	**316.32**	180.37
	Miscelleneous Income	**317.67**	190.78
		633.99	371.15
23	**RAW MATERIALS CONSUMED:**	**98,117.85**	76,697.87
	Details of Raw Material Consumed		
	Sugar Cane *	**70,631.56**	49,776.62
	Cogeneration Fuel	**309.39**	1,185.57
	Molasses	**476.41**	516.33
	Specially Denatured Spirit	**13,244.73**	12,068.47
	Acetic Acid	**8,144.17**	10,307.25
	Others	**5,311.59**	2,843.63
		98,117.85	76,697.87
	* The Sugar cane cost Rs. 70,631.56 lacs (Previous Year 49,776.62 lacs) includes Rs. 6440.76 Lacs (Previous Year 4563.29 lacs) in respect of cane price of earlier years is accounted in the current year		
24	**PURCHASES OF STOCK IN TRADE**	**647.67**	3,684.58
	Details of Cost of Traded Goods		
	Di Ammonium Phosphate	**54.67**	231.30
	Urea-Agro Product	**12.09**	111.91
	MOP Mixer	**99.00**	197.50
	Pressmud	**-**	175.97
	Molasses	**-**	971.00
	Acetic Acid	**280.81**	1,727.95
	Others (Chemicals, Fertilisers etc.,)	**201.10**	268.95
		647.67	3,684.58
25	**MANUFACTURING EXPENSES:**		
	Stores and Spare Consumed	**2,555.74**	2,724.75
	Power and Fuel	**3,243.63**	2,427.45
	Packing, Forwarding and Storage	**1,564.65**	1,464.83
		7,364.02	6,617.03
	Repairs and Maintenance:		
	Plant and Machinery	**2,028.56**	2,052.00
	Buildings	**49.74**	68.06

(Rs. in Lacs)

		2014 - 2015	2013 - 2014
	Others	**980.22**	476.01
		3,058.52	2,596.07
		10,422.54	9,213.10
26	**CHANGES IN INVENTORIES OF FINISHED GOODS,WORK IN PROGRESS & STOCK IN TRADE**		
	Closing Stock:	**38,574.92**	42,808.46
	Opening Stock	**42,808.46**	34,076.48
	Increase / (Decrease) in Stock	**(4,233.54)**	8,731.98
27	**EMPLOYEE BENEFITS EXPENSES**		
	Salaries, Wages and Bonus	**5,518.17**	4,875.34
	Directors Remuneration	**213.63**	209.46
	Contribution to Provident Fund,Gratuity Fund and Other Fund	**467.14**	393.33
	Staff Welfare Expenses	**371.10**	293.38
		6,570.04	5,771.51
28	**SALES , ADMINISTRATION & OTHER EXPENSES**		
	Selling Expenses:	**2,117.04**	1,569.01
	Administration Expenses		
	Rent, Rates and Taxes	**401.61**	398.22
	Insurance	**140.77**	138.74
	Contribution to Scientific Research Institution	**96.00**	84.00
	General Expenses (Including travelling,telephone, etc.)	**2,498.89**	2,912.80
	Professional Charges	**734.92**	1,345.83
	Director Fees	**14.76**	9.12
	Loss/(Profit) on Sale of Assets	**(7.01)**	1.63
		3,879.94	4,890.34
	Auditors' Remuneration:		
	Audit Fees and Tax Audit Fees	**20.00**	20.00
	Out of pocket expenses	**0.20**	-
		20.20	20.00
		6,017.18	6,479.35
29	**INTEREST & FINANCIAL CHARGES:**		
	Cash Credit	**2,602.08**	2,962.65
	Term Loan	**2,253.17**	2,440.70
	Others	**3,467.45**	3,004.72
		8,322.70	8,408.07

30. Excise Duty and Sales Tax :

Finished goods attracting excise duty and sales tax, lying in the factory as at 31st March, 2016 could not be separated into those for sale in domestic market and /or export market. Hence excise duty and sales tax payable is not determinable on the manufactured goods lying in the stock at the year-end. However, non-provisioning has no impact on the profit for twelve months ended 31st March, 2016.

31. Borrowing Costs:

The Company has capitalised interest cost during the construction period for the projects, aggregating to Rs. Nil (Previous Year Rs.64.41 Lacs) in accordance with the Accounting Standard 16 on Borrowing Costs.

32. C.I.F. Value of Imports

(Rs. in Lacs)

Sr. No.	Particulars	2015-2016	2014 - 2015
1.	Raw material and Traded Goods	**13,334.75**	13,200.48
2.	Capital Goods	**20.43**	25.40
	Total	**13,355.18**	13,225.88

33. Expenditure in Foreign Currency

(Rs. in Lacs)

Sr. No.	Particulars	2015-2016	2014 - 2015
1.	Traveling Expenses	**114.97**	96.47
2.	Professional & Others Charges	**119.48**	519.68
3.	Commission	**63.32**	76.94
4.	Ocean Freight Charges	**82.18**	782.77
5.	Director's Sitting Fees	**1.40**	5.83
	Total	**381.35**	1,481.69

34. Value of Raw Materials Consumed

(Rs. in Lacs)

Sr. No.	Particulars	2015-2016	%	2014 - 2015	%
1.	Indigenous	**82,963.13**	**84.55**	65,535.84	85.45
2.	Imported	**15,154.72**	**15.45**	11,162.03	14.55
	Total	**98,117.85**	**100.00**	76,697.87	100.00

35. Value of Stores and Spare Parts Consumed

(Rs. in Lacs)

Sr. No.	Particulars	2015-2016	%	2014 - 2015	%
1.	Indigenous	**2,555.74**	**100.00**	2,724.75	100.00
2.	Imported	**--**	**--**	--	--
	Total	**2,555.74**	**100.00**	2,724.75	100.00

36. Earning in Foreign Currency (Accrual Basis):

(Rs. in Lacs)

2015 – 2016	2014 – 2015
35,646.54	26,667.44

37. Small Scale & Auxiliary Industries:

The Company does not have outstanding to Micro, Small and Medium Enterprises as at 31st March, 2016. The Company does not have outstanding for more than 45 days to Micro, Small and Medium Enterprises during the twelve months ended 31st March, 2016. This information as required to be disclosed under the Micro, Small and Medium Enterprises Act, 2006 has been determined to the extent such parties have been identified on the basis of information available with the Company.

38. Contingent Liabilities:

(Rs. in Lacs)

(a)

Sr. No.	Particulars	2015 - 2016	2014 – 2015
i)	Excise duty and Service Tax (Excluding Interest and Penalty)	**414.61**	2,382.51
ii)	Bank Guarantee	**1,656.05**	1,317.70
iii)	Corporate Guarantee and Comfort Letter	**591.63**	32.69
iv)	Letter of Credits	**1,841.56**	456.25

(b) Sugarcane price for the season 2013-14 :

The Karnataka Sugar Control Board notified the sugarcane price for the season 2013-14 under the Karnataka Sugar Control Act, 2013 at Rs.2500/- per MT, ex-field for North Karnataka Region.

Karnataka Sugar Industries have appealed to the State Government to reconsider the sugar cane price. The State Government agreed and has paid Rs.200/MT directly to the farmers out of the total price of Rs.2,500/MT. The Company has paid Rs.2,200/MT to the farmers and including State Government payment, the farmers have received Rs.2400/MT against notified price of Rs.2500/MT. For balance Rs.100/MT the company, through SISMA (K) is in appeal before Supreme Court and stay has been granted.

The Company has received notification from Government of Karnataka regarding payment of the balance Rs.100/- for the financial year 2013-2014. The Company is in process to contest the said notification through SISMA/Various sugar producers association.

(c) Council of Scientific & Industrial Research (CSIR)

The Company has taken financial assistance from Council of Scientific & Industrial Research (CSIR) of Rs. 485 Lacs to develop technology for manufacture of Polymer grade Lactic Acid. Before start of the project, assurance was given about the successful bench scale development and scalability of the process/technology.

The project was not successful, and National Chemical Laboratory (NCL) / CSIR could not demonstrate the technology to make polymer grade Lactic Acid and accepted by NCL and also third party engineering firm appointed by CSIR.

CSIR is demanding repayment of the financial assistance and the matter is presently under Arbitration. If the Arbitration Award goes against the Company, the Company will be required to repay Rs. 485 Lacs plus applicable interest.

(d) SEBI Order dated January 1st , 2016 and amendment thereon.

The Company had allotted 22,69,600 shares to the Trustees of Sameerwadi Sugarcane Farmers' Welfare Trust in the Financial Year 2009 – 2010. Security Exchange Board of India (SEBI), delivered its Order in the matter on the 1st of January, 2016. As per the said Order The Noticees, i.e., the Company, Trustees, Directors and Promoters, are jointly and severally liable to refund the contributories/beneficiaries the money equivalent to the value of their investment along with interest @ 10% per annum, from the date of allotment till the date of refund after adjusting amount of sugar benefit and dividend paid if any. However the Noticees are permitted to distribute shares to contributories/beneficiaries who give positive consent.

In pursuance of the Order:

1) Almost 99% of the beneficiaries have opted for distribution of Shares.

2) The interest payment will be upto the date of refund, which is on or before 31/12/2016.

3) The liability for purchase of shares and payment of interest is joint and several amongst the Company, Trust, Trustees, Directors and Promoters.

The assessment of the major implications would be known on completion of implementation of obligations as stipulated by the SEBI Order. Presently total payment is not precisely ascertainable and also the liability is joint and several as mentioned above

(e) National Green Tribunal:

National Green Tribunal (NGT) has accepted short term and long term remedial measures of Central Pollution Control Board (CPCB) and directed the CPCB to deal with study of ground water contamination caused by the Company.

On 20th May, 2016, in the CPCB, Maharashtra Pollution Control Board and the Company gave their no objection for the opening of the bid and further remediation to be carried out by and under direction of CPCB. In the Complainants' Application for converting proceedings under section 25, 26 of NGT Act, argument of parties viz. Collector, CPCB, MPCB and the Company were heard. The matter is adjourned to 8th July 2016.

(f) 1. The Company does not expect any reimbursements in respect of the above contingent liabilities.

2. It is not practicable to estimate the timing of cash flows, if any, in respect of matters stated in (a) to (e) above.

39. Capital Commitments

Estimated amount of contract on Capital Account remaining to be executed and not provided for Rs. 4,406.93 Lacs (Previous Year – Rs. 4,970.48 Lacs).

40. Details of Research and Development Expenditure

(Rs. in Lacs)

Particulars	2015 – 2016	2014 – 2015
Capital Expenditure	**39.24**	91.54
Revenue Expenditure	**1,039.57**	1,567.64
Total	**1,078.81**	1,659.18

41. Earnings Per Share:

(Rs. in Lacs)

Particulars	2015 – 2016	2014 – 2015
Profit / (Loss) After Tax	**(1,129.43)**	(7,796.13)
Weighted average number of shares (in Lacs)	**357.38**	357.24
Basic and Diluted Earnings Per Share (Face Value Rs. 10)	**(3.16)**	(21.82)

42 Disclosure as required by Accounting Standard 15, "Accounting for Retirement Benefits":

a) Defined Benefit Plan: The Company provides for Gratuity on the basis of Actuarial Valuation carried out by Independent Actuary. Said valuation has been carried out on the basis of Projected Unit Credit Method.

The Company has made contributions to Group Gratuity Scheme with Life Insurance Corporation (L I C)

The following table summarised the net benefit / expenses recognised in Statement of Profit and Loss and Balance Sheet.

(Rs. in Lacs)

	Particulars	As at 31st March, 2016	As at 31st March, 2015
I	**Assumptions as at**		
	Mortality	**IALM (2006-08) Ult.**	IALM (2006-08) Ult.
	Rate of Return on Plan Assets	**8.35%**	8.35%
	Attrition Rate :	**Up to Age 45 : 2%**	Up to Age 45 : 2%
		46 and above : 1%	46 and above : 1%
	Discount Rate	**8.00%**	8.00%
	Salary Escalation	**4.00%**	4.00%
II	**Table Showing Changes in present value of obligations**		
	Present value of obligations as at beginning of year	**1,223.47**	945.65
	Interest cost	**91.76**	75.65
	Current Service Cost	**132.61**	58.63
	Benefits Paid	**(153.03)**	(158.83)
	Actuarial (gain)/loss on obligations	**96.17**	275.39
	Present value of obligations as at end of year	**1,390.97**	1,196.49
III	**Table Showing Changes in the fair value of plan assets**		
	Fair Value of Plan Assets at beginning of year	**1,289.62**	1,226.28
	Expected Return on Plan Assets	**106.51**	103.49
	Contributions	**124.81**	118.42
	Benefits Paid	**(153.03)**	(158.83)
	Actuarial gain/(loss) on plan assets	**(2.81)**	-
	Fair Value of Plan Assets at the end of year	**1,365.10**	1,289.35
IV	**Table Showing fair value of plan assets**		
	Fair Value of Plan Assets at beginning of period	**1,289.62**	1,226.28
	Actual Return on Plan Assets	**103.70**	103.49
	Contributions	**124.81**	118.42
	Benefits Paid	**(153.03)**	(158.83)
	Fair Value of Plan Assets at the end of year	**1,365.10**	1,289.35
	Funded Status	**(25.87)**	92.86
	Excess of actual over estimated return on Plan Assets	**(2.81)**	-
	(Actual rate of return=Estimated rate of return as ARD falls on 31st March)		

(Rs. in Lacs)

	Particulars	As at 31st March, 2016	As at 31st March, 2015
V	**Actuarial Gain/(Loss) Recognised**		
	Actuarial (Gain) / Loss on Obligations	**(96.17)**	(275.39)
	Actuarial (Gain) / Loss for the year - Plan Assets	**(2.81)**	-
	Total Gain / (Loss) for the period	**(98.97)**	275.39
	Actuarial (Gain) / Loss recognised in the year	**(98.97)**	275.39
VI	**The amounts to be recognised in the Balance Sheet and statement of Profit & Loss**		
	Present Value of Obligations as at the end of year	**1,390.97**	1,196.49
	Fair Value of Plan Assets as at the end of the year	**1,365.10**	1,289.35
	Funded Status	**(25.87)**	92.86
	Net Asset / (Liability) recognised in the balance sheet	**(25.87)**	92.86
VII	**Expense recognized in the statement of Profit & Loss**		
	Current Service Cost	**132.61**	58.63
	Interest cost	**91.76**	75.65
	Expected Return on Plan Assets	**(106.51)**	(103.49)
	Net Actuarial (Gain) / Loss recognised in the year	**98.97**	275.39
	Expense recognised in statement of Profit & Loss	**216.83**	306.19
VIII	**Movements in the Liability recognized in Balance Sheet**		
	Opening Net Liability	**(66.15)**	(280.63)
	Adjustment to Opening Fair Value of Plan Assets	**-**	-
	Expenses as above	**216.83**	306.19
	Contribution paid	**(124.81)**	(118.42)
	Closing Net Liability	**25.87**	(92.86)
IX	**Experience Anyalisis - Liabilities**		
	Actuarial (Gain)/Loss due to change in bases	**-**	-
	Experience (Gain) / Loss due to Change in Experience	**96.17**	275.39
	Total	**96.17**	275.39
	Experience Anyalisis - Plan Assets	**-**	-
	Experience (Gain) / Loss due to Change in Plan Assets	**2.81**	-
X	**Schedule III Details**		
	Current Liability	**25.87**	(92.86)
	Non-Current Liability	**1,365.10**	1,289.35

b) Defined Benefit Plan: The Company provides for Leave Encashment on the basis of Actuarial Valuation.
The Company does not have any fund for Leave Encashment payment
Said valuation has been carried out on the basis of Projected Unit Credit Method.

(Rs. in Lacs)

	Particulars	As at 31st March, 2016	As at 31st March, 2015
I	Assumptions as at		
	Mortality	**IALM (2006-08) Ult.**	IALM (2006-08) Ult.
	Discount Rate	**8.00%**	9.15%
	Rate of increase in compensation	**4%**	2%
	Rate of return (expected) on plan assets	**-**	-
	Attrition Rate :	**Up to Age 45 : 2%**	Up to Age 45 : 2%
		46 and above : 1%	46 and above : 1%

(Rs. in Lacs)

	Particulars	As at 31st March, 2016	As at 31st March, 2015
II	**Changes in present value of obligations**		
	PVO at beginning of period	**257.11**	204.24
	Interest cost	**17.92**	12.61
	Current Service Cost	**114.85**	94.20
	Benefits Paid	**(58.78)**	(40.97)
	Actuarial (gain)/loss on obligation	**(51.40)**	(12.97)
	PVO at end of period	**279.71**	257.11
III	**Changes in fair valur of plan assets**		
	Fair Value of Plan Assets at beginning of period	**-**	-
	Expected Return on Plan Assets	**-**	-
	Contributions	**58.78**	40.97
	Benefit Paid	**(58.78)**	(40.97)
	Actuarial gain/(loss) on plan assets	**-**	-
	Fair Value of Plan Assets at end of period	**-**	-
IV	**Fair Value of Plan Assets**		
	Fair Value of Plan Assets at beginning of period	**-**	-
	Actual Return on Plan Asset	**-**	-
	Contributions	**58.78**	40.97
	Benefit Paid	**(58.78)**	(40.97)
	Fair Value of Plan Assets at end of period	**-**	-
	Funded Status	**(279.71)**	(257.11)
	Excess of actual over estimated return on Plan Assets	**-**	-
V	**Actuarial Gain/(Loss) Recognized**		
	Actuarial Gain/(Loss) for the period (Obligation)	**51.40**	12.97
	Actuarial Gain/(Loss) for the period (Plan Assets)	**-**	-
	Total Gain/(Loss) for the period	**51.40**	12.97
	Actuarial Gain/(Loss) recognized for the period	**51.40**	12.97
	Unrecognized Actuarial Gain/(Loss) at end of period	**-**	-
VI	**Amounts to be recognized in the Balance Sheet**		
	and Profit & Loss Account		
	PVO at end of period	**279.71**	257.11
	Fair Value of Plan Assets at end of period	**-**	-
	Funded Status	**(279.71)**	(257.11)
	Unrecognized Actuarial Gain/(Loss)	**-**	-
	Net Asset/(Liability) recognized in the balance sheet	**(279.71)**	(257.11)
VII	**Expense recognized in the statement of P & L A/C**		
	Current Service Cost	**114.85**	94.20
	Interest cost	**17.92**	12.61
	Expected Return on Plan Assets	**-**	-
	Net Actuarial (Gain)/Loss recognized for the period	**(51.40)**	(12.97)
	Expense recognized in the statement of P & L A/C	**81.37**	93.84
VIII	**Movements in the Liability recognized in Balance Sheet**		
	Opening Net Liability	**257.11**	204.24
	Expenses as above	**81.37**	93.84
	Contribution paid	**(58.78)**	(40.97)
	Closing Net Liability	**279.71**	257.11
IX	**Experience Anyalisis - Liabilities**		
	Actuarial (Gain)/Loss due to change in bases	**16.23**	7.81
	Experience (Gain) / Loss due to Change in Experience	**(67.64)**	(20.78)
	Total	**(51.40)**	(12.97)

(Rs. in Lacs)

	Particulars	As at 31st March, 2016	As at 31st March, 2015
	Experience Anyalisis - Plan Assets		
	Experience (Gain) / Loss due to Change in Plan Assets	**-**	-
X	**Schedule III Details**		
	Current Liability	**187.46**	183.50
	Non-Current Liability	**92.25**	73.62
	The above information is certified by Actuary.		

(Rs. in Lacs)

	Particulars	2015 – 2016	2014 – 2015
C	Contribution to Provident Fund	**335.90**	268.33
	Contribution to Group Gratuity Scheme	**131.24**	125.00

43. FINANCIAL AND DERIVATIVE INSTRUMENTS

a) Forward contracts entered into by the Company and outstanding as on 31st March, 2016

(i) For hedging currency related risks:

(Rs. in Lacs)

Sr. No.	Particulars	Cross Currency	As at 31st March, 2016	As at 31st March, 2015
I)	Forward Contracts			
a.	Buy	USD	**2476.19**	3,798.45
b.	Sell	USD	**5896.29**	11,177.94
	Sell	EUR	**3605.25**	1,064.10

(ii) For hedging commodity related risks :

Category wise break up is given below:

(Rs. in Lacs)

Sr. No.	Particulars	As at 31st March, 2016		As at 31st March, 2015	
		Sales	**Purchases**	Sales	Purchases
I)	Futures (Sugar)	**Nil**	**Nil**	Nil	Nil

b) Foreign currency exposures that have not been hedged by derivative instruments or otherwise as at year end.

(Rs. in Lacs)

Sr. No.	Particulars	Cross Currency	As at 31st March, 2016	As at 31st March, 2015
a.	Buy	USD	**6.20**	883.54
		EUR	**---**	---
b.	Sell	USD	**55.03**	208.93
		EUR	**49.17**	2,102.37

44. Foreign Exchange Gain/(Loss) has been included in statement of Profit & Loss under following heads:

(Rs. in Lacs)

Sr. No.	Particulars	2015-2016	2014 – 2015
1	Revenue from Operations	**174.28**	(195.48)
2	Raw Materials Consumed	**(101.10)**	(40.99)
3	Interest & Financial Charges-Others	**(40.48)**	131.37
	Total	**32.70**	(105.10)

45. In Terms of Accounting Standard – 22, Deferred Tax Asset (DTA) of Rs.7,555.41 Lacs (Previous Year Rs. 7,095.38 Lacs) has been recognised as at 31st March, 2016. There is carried forward unabsorbed depreciation and business losses as at the Balance Sheet date. However, based on the future profitability projections, the Company is virtually certain that there would be sufficient taxable income in future, to claim the above tax credit.

46. Capital work in Progress includes Consultancy fees aggregating to Rs.16.46 Lacs. (Previous Year Rs.56.80 Lacs).

47. Trade payable includes amounts payable to related parties Rs. 27.62 lacs (Previous year 11.43 Lacs).

48. Loans and advances in the nature of loans to subsidiary

(Disclosure as per section 186(4) of the Act:

(Rs. in Lacs)

Name	2015 – 2016	2014 – 2015
Solar Magic Private Limited		
Closing Balance	**227.45**	421.92
Maximum Balance	**526.03**	439.42

Solar Magic Limited has utilised the loan for meeting working capital requirements. It is repayable over a period of 5 years and carries 8 % rate of interest.

49. Reconciliation of Cash and Cash Equivalents:

(Rs. in Lacs)

Sr. No.	Particulars	2015-2016	2014 – 2015
1	Cash and Bank Balance as per Note No. 18	**3,402.24**	2,274.38
2	Less: Fixed deposit earmarked for Margin Money and other Fixed Deposits	**2,446.49**	1,950.01
3	Cash and Cash equivalents as per cash flow statement	**955.75**	324.37

50. Particulars of Segment Information as required by Accounting Standard (AS-17) "Segment Reporting"

A) Primary Segment

(Rs. in Lacs)

		Sugar		Cogen		Distillery & Chemical		Interunit Transfer		Unallocated		Total	
		2015-2016	2014-2015	**2015-2016**	2014-2015	**2015-2016**	2014-2015	**2015-2016**	2014-2015	**2015-2016**	2014-2015	**2015-2016**	2014-2015
I	Segment Revenue												
	External Sales revenue	**83,357.44**	50,191.16	**5,644.69**	5,378.37	**53,162.48**	45,218.73					**142,164.61**	100,788.26
	Less Excise Duty	**3,879.15**	1,484.52	**0.13**	0.00	**1,806.86**	1,789.62					**5,686.14**	3,274.14
	External Sales revenue	**79,478.29**	48,706.64	**5,644.56**	5,378.36	**51,355.62**	43,429.11	**-**	-	**-**	-	**136,478.47**	97,514.12
	Inter Segment Transfers	**11,944.94**	7,051.94	**7,551.70**	6,387.18	**32.93**	-	**(19,529.57)**	(13,439.12)				
		91,423.23	55,758.57	**13,196.26**	11,765.55	**51,388.54**	43,429.11	**(19,529.57)**	(13,439.12)	**-**	-	**136,478.47**	97,514.12
	Other Income	**210.44**	93.78	**17.68**	24.95	**89.55**	72.05			**316.32**	180.37	**633.99**	371.15
II	Segment Result												
	Operating Profit Before Interest Expenses	**(8,134.22)**	(3,641.00)	**3,699.66**	1,706.91	**12,135.60**	3,693.15			**(941.19)**	(1,687.95)	**6,759.85**	71.12
	Interest Expenses									**8,322.70**	8,408.07	**8,322.70**	8,408.07
	Excess / (Short) provision for Income Tax									**-**	383.18	**-**	383.18
	Deferred Tax (Income)/ Expense									**(433.42)**	(924.00)	**(433.42)**	(924.00)
	Net Profit											**(1,129.43)**	(7,796.13)
III	Other information												
	Segment Assets	**43,417.45**	46,474.31	**3,189.52**	3,095.29	**22,238.37**	21,304.81			**1,110.43**	1,849.79	**69,955.78**	72,724.20
	Capital assets including CWIP	**19,079.20**	20,230.17	**11,361.30**	11,885.09	**17,441.23**	16,068.99			**620.48**	610.72	**48,502.21**	48,794.96
	Segment Assets	**62,496.65**	66,704.48	**14,550.82**	14,980.38	**39,679.60**	37,373.79			**1,730.91**	2,460.51	**118,457.99**	121,519.16
	Segment liabilities	**82,543.25**	86,774.95	**5,085.99**	5,365.86	**15,441.75**	12,428.49			**301.14**	734.57	**103,372.13**	105,303.87
IV	Capital Expenditure	**417.37**	1,751.64	**264.51**	336.79	**4,444.81**	706.36			**32.41**	109.50	**5,159.10**	2,904.29
V	Segment Depreciation	**2,109.53**	2,405.70	**810.59**	840.50	**1,329.17**	1,278.43			**94.50**	175.09	**4,343.79**	4,699.72
VI	Non cash expenses other than Depreciation	**(3.93)**	1.13	**-**	-	**(3.08)**	0.50					**(7.01)**	1.63

B) Secondary Segment

Geographical segment has been identified as secondary segment based on segment revenue.

Rs. in Lacs

	2015-2016	2014-2015
Domestic Sales	**107,548.55**	75,261.04
Export Sales	**34,616.05**	25,527.22
Total	**142,164.61**	100,788.26

Rs. in Lacs

	2015-2016	2014-2015
Capital expenditure	**2015-2016**	2014-2015
within India	**5,159.10**	2,904.29
Outside India	**-**	-
Total	**5,159.10**	2,904.29

Rs. in Lacs

Segment Assets	As at 31st March 2016	As at 31st March 2015
within India	**118,457.99**	121,519.16
Outside India	**-**	-
Total	**118,457.99**	121,519.16

Significant Accounting Policies

1 Segments have been identified in line with the Accounting Standard on Segment Reporting (AS-17) taking into account the organisation structure as well as the differential risks and returns of these segments.

2 The Company has disclosed Business Segment as the primary segment.

3 Types of products and services in each business segment:

a Sugar : Production and sale of Sugar

b Cogen : Production and sale of Power

c Distillery & Chemical : Production and sale of Rectified Spirit, Extra Neutral Alcohol, Ethanol, Ethyl Acetate etc.

4 Segment Report is prepared in conformity with accounting policies adopted for preparing and presenting financial statements.

5 Inter-segment transfers are recorded at cost except for by-products Bagasse and Molasses, cost of which are unascertainable and which are recorded at prevalent market prices.

51) Related party disclosures As required by AS-18, " Related Party Disclosure" are given below :

A) Names of Related parties

CATEGORY I :
Subsidaries: Solar Magic Pvt. Ltd.,Cayuga Investment B.V., Godavari Biorefineries B.V. & Godavari Biorefineries Inc.

CATEGORY II :
i) Key Management Personnel
Shri. Samir S. Somaiya, Shri V.V.Joshi, Shri S.N. Bableshwar, Shri G. M. Kajaria (Till 20th June, 2015) , Shri N. S. Khetan, Smt Rutika S Pawar (Till 29 th February, 2016), Miss Nishi Vijayavargia (From 15 th March, 2016)

ii) Relatives of key management personnel
Smt. Maya S. Somaiya, Ms. Harinakshi Somaiya

CATEGORY III :
Associates
Somaiya Properties and Investments Pvt Ltd., The Book Centre Ltd., Jasmine Trading Co. Pvt. Ltd., K.J.Somaiya & Sons Pvt. Ltd., Lakshmiwadi Mines & Minerals Pvt. Ltd., Somaiya Chemical Industries Pvt. Ltd., Pentokey Organy (India) Ltd, Arpit Ltd., Filmedia Communication System Pvt Ltd, Zenith Commercial Agency Pvt Ltd, Acharya Travels Somaiya Vidyavihar, K.J, Somaiya Institute of Applied Agricultural Research, K J Somaiya Medical Trust

B) Details of material transaction with the related parties during the year :

(Rs. in Lacs)

	Particulars	2015 - 2016	2014 - 2015
	CATEGORY I		
1	**Loans and Advances Given / (Repaid)**		
	Solar Magic Pvt. Ltd. (Net for the year)	**(194.46)**	193.22
2	**Interest income Received**		
	Solar Magic Pvt. Ltd.	**33.84**	23.73
3	**Purchases from**		
	Solar Magic Pvt. Ltd.	**35.31**	-
4	**Commission paid**		
	Godavari Biorefineries INC.	**59.62**	65.29
5	**Sales**		
	Godavari Biorefineries BV	**7,097.27**	6,142.53
	CATERGORY II		
6	**Remuneration**		
	Shri Samir S. Somaiya	**128.54**	127.19
	Shri V V Joshi	**53.59**	42.30
	Shri S N Bableshwar	**32.70**	29.33
	Shri G M Kajaria	**10.20**	17.44
	Shri N S Khetan	**48.69**	38.68
	Smt Rutika S Pawar	**15.01**	13.23
	Miss Nishi Vijayavargia	**0.45**	-
		285.84	268.17
7	**Interest paid**		
	Mrs Maya S. Somaiya	**-**	2.41
	Shri Samir S. Somaiya	**-**	0.72
		-	3.13

(Rs. in Lacs)

	Particulars	2015 - 2016	2014 - 2015
8	**Repayment of Fixed Deposit**		
	Mrs Maya S. Somaiya	-	52.50
	Shri Samir S. Somaiya	-	13.60
		-	66.10
9	**Salary**		
	Ms. Harinakshi Somaiya	**4.86**	4.86
10	**Sales to**		
	Shri Samir S. Somaiya	**0.47**	-
11	**Purchases from**		
	Mrs Maya S. Somaiya	**5.63**	6.37
	Shri Samir S. Somaiya	**11.82**	8.75
	Ms. Harinakshi Somaiya	**2.86**	3.07
		20.31	18.19
	CATEGORY III		
12	**Purchases from**		
	The Book Centre Ltd.	**36.61**	31.76
	Pentokey Organy (India) Ltd.	**65.02**	109.69
	K.J, Somaiya Institute of Applied Agricultural Research	**19.14**	36.32
	Acharya Travels	**60.55**	46.40
	Zenith Commercial Agency Pvt Ltd	**51.84**	-
	Somaiya Agency Pvt Ltd	**1.59**	0.90
		234.75	225.06
13	**Rent paid to**		
	Jasmine Trading Co. Pvt. Ltd.	**98.48**	97.08
	Somaiya Properties & Investments Pvt. Ltd.	**58.21**	57.74
	Arpit Limited	**1.02**	1.01
	Somaiya Chemicals Industries Pvt. Ltd.	**1.74**	1.74
	K.J.Somaiya & Sons Pvt. Ltd.	**11.79**	11.76
		171.23	169.33
14	**Royalty paid**		
	K.J.Somaiya & Sons Pvt. Ltd.	**135.65**	104.11
15	**Service Charges paid**		
	Lakshmiwadi Mines & Minerals Pvt. Ltd.	-	5.15
	Filmedia Communications System Pvt. Ltd	**5.47**	5.13
	K.J.Somaiya & Sons Pvt. Ltd.	-	10.00
		5.47	20.28
16	**Sales to**		
	Arpit Limited	**1,250.81**	682.76
	Pentokey Organy (India) Ltd.	**261.99**	966.42
		1,512.81	1,649.18
17	**Donation paid**		
	K.J, Somaiya Institute of Applied Agricultural Research	**96.00**	84.00
	K J Somaiya Medical Trust	**2.00**	-
	Somaiya Vidyavihar	**55.50**	10.98
		153.50	94.98

C) Debit / (Credit) Balance with related parties as at 31 st March, 2016 :

(Rs. in Lacs)

		As at 31st March, 2016	As at 31st March, 2015
	CATEGORY I		
18	**Investments in Equity Shares**		
	Solar Magic Pvt. Ltd.	**195.00**	195.00
	Cayuga Investments B. V.	**301.92**	301.92
19	**Loans and Advances**		
	Solar Magic Pvt. Ltd.	**227.45**	421.92
20	Trade Receivable / (Trade Payable)		
	Solar Magic Pvt. Ltd.	**(1.20)**	-
	Godavari Biorefineries INC.	**(3.70)**	(1.62)
	Godavari Biorefineries BV	**-**	-
	Godavari Biorefineries BV	**2,445.66**	2,911.53
	CATERGORY II		
21	**Advances Received**		
	Shri Samir S. Somaiya	**2.02**	3.02
	CATEGORY III		
22	**Trade Receivable / (Trade Payable)**		
	The Book Centre Ltd.	**(10.11)**	(0.06)
	Somaiya Chemicals Industries Pvt. Ltd.	**0.06**	-
	Acharya Travels	**(0.09)**	1.27
	Zenith Commercial Agency Pvt Ltd	**(1.98)**	-
	Arpit Limited	**23.70**	15.31
	K.J.Somaiya & Sons Pvt. Ltd.	**(10.53)**	-
	Pentokey Organy (India) Ltd	**231.98**	633.42
	Pentokey Organy (India) Ltd	**-**	(9.75)

52) The Values of Current Assets and Loans and Advances are stated at realisable in the ordinary course of business,as per the opinion of the Management of the Company.

53) Previous year figures are regrouped and rearranged wherever necessary.

Signature to Note No. 1 to 53 attached to Balance Sheet and Statement of Profit and Loss

As per our Report of even date attached

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm Registration Number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

For and on behalf of the Board of Directors

Samir S. Somaiya
Chairman & Managing Director
DIN: 00295458

N. S. Khetan
Chief Financial Officer
Membership No: F037264

Vinay V. Joshi
Executive Director
DIN: 00300227

Nishi VijayVargiya
Company Secretary
Membership No: A26319

Place : Mumbai
Date : 24th May 2016

Auditors' Report

To the Members of
Godavari Biorefineries Limited

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of Godavari Biorefineries Limited (hereinafter referred to as "the Holding company") its subsidiaries, (the holding company and its subsidiaries together referred to as "the Group"), comprising the consolidated balance sheet as at 31st March 2016, the consolidated statement of profit and loss, the consolidated cash flow statement for the year then ended, and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated financial statements").

MANAGEMENT'S RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The holding company's Board of Directors is responsible for the preparation of these consolidated financial statements in terms of the requirements of the Companies Act, 2013 (hereinafter referred to as "the Act") that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014 ("the Rules") (particularly Accounting Standard 21 - Consolidated Financial Statements . The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; the selection and the application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding company, as aforesaid.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on these consolidated financial statements based on our audit.

While conducting the audit, we have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made there under.

We conducted our audit in accordance with the Standards on Auditing specified under sub-section 10 of Section 143 of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial controls relevant to the holding company's preparation of the consolidated financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the holding company's Board of Directors, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence obtained by us and based on the unaudited financial statements of three subsidiaries furnished to us by the Management referred to in Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

OPINION

In our opinion and to the best of our information and according to the explanations given to us and based on the unaudited financial statements of three subsidiaries furnished to us by the Management as noted in "Other Matters" paragraph, the aforesaid consolidated financial

statements give the information required by the Act (to the extent applicable) in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:

i) in the case of the Consolidated Balance Sheet, of the consolidated state of affairs of the Group as at 31st March 2016;

ii) in the case of the Consolidated Statement of Profit and Loss Account, of the consolidated loss for the year ended on that date; and

iii) in the case of the Consolidated Cash Flow Statement, of the consolidated cash flows for the year ended on that date.

OTHER MATTERS

We did not audit the financial statements of three subsidiaries, whose financial statements reflect total assets of Rs.2281.59 lacs as at 31st March, 2016, total revenues of Rs.8609.97 lacs and net cash out flows amounting to Rs.1188.68 lacs for the year ended on that date, as considered in the consolidated financial statements. These financial statements are unaudited and have been furnished to us by the Management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries is based solely on these unaudited financial statements.

Our opinion on the consolidated financial statements and our report on Other Legal and Regulatory Requirements below, is not modified in respect of above matter with respect to our reliance on the financial statements furnished to us by the Management.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by sub-sections 3 of Section 143 of the Act, based on our audit and unaudited financial statements of three subsidiaries furnished to us by the Management as noted in the "Other Matters" paragraph, we report, to the extent applicable, that:

   (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.

   (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books.

   (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements.

   (d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Rules.

   (e) On the basis of the written representations received from the directors of the holding company as on 31st March 2016 taken on record by the Board of Directors of the holding company and on the basis of the relevant assertion contained in the audit report on standalone financial statements of a subsidiary company which is incorporated in India, none of the Directors of the respective Companies are disqualified as on 31st March 2016 from being appointed as a Director of that company in terms of sub section 2 of Section 164 of the Act.

   (f) With respect to the adequacy of the internal financial controls over financial reporting and the operating effectiveness of such controls, refer to our report in "Annexure A", which is based on the Auditors' Reports of the holding company and its subsidiary company incorporated in India.

   (g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the unaudited financial statements of three subsidiaries furnished to us by the Management as noted in the 'Other Matter' paragraph to the extent applicable:

i. The consolidated financial statements disclose the impact of pending litigations on the consolidated financial position of the Group. Refer Note Nos. Refer Note 33 a) i),33 b) to 33 e) to the consolidated financial statements. The subsidiary company incorporated in India and subsidiary companies incorporated outside India do not have any pending litigation;

ii. there are no material foreseeable losses arising out of any long-term contracts for which provision is required to be made under any law or accounting standards. The Group has not entered into any long term derivative contracts; and

iii. The holding company and subsidiary company do not have any unpaid dividend amount. Accordingly, there is no amount, required to be transferred, to the Investor Education and Protection Fund.

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm's registration number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

Place : Mumbai
Date : 24th May, 2016

ANNEXURE A

to the Independent Auditor's Report – 31st March 2016 on the Consolidated Financial Statements (Referred to in our report of even date)

REPORT ON THE INTERNAL FINANCIAL CONTROLS UNDER CLAUSE (I) OF SUBSECTION 3 OF SECTION 143 OF THE COMPANIES ACT, 2013 ("THE ACT")

In conjunction with our audit of the consolidated financial statements of Godavari Biorefineries Limited ("the holding company") as of and for the year ended 31st March 2016, we have audited the internal financial controls over financial reporting of the holding company, its subsidiary company incorporated in India as of that date.

MANAGEMENT'S RESPONSIBILITY FOR INTERNAL FINANCIAL CONTROLS

The respective Board of Directors of the holding company, its subsidiary company incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal controls over financial reporting criteria established by the holding company, its subsidiary company incorporated in India considering the essential components of the internal controls stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Standards on Auditing prescribed under Section 143(10) of the Act and the Guidance Note, to the extent applicable to an audit of internal financial controls over financial reporting. Those Standards and the Guidance Note require that we comply with the ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the holding company's, its subsidiary company's internal financial controls system over financial reporting.

MEANING OF INTERNAL FINANCIAL CONTROLS OVER FINANCIAL REPORTING

A company's internal financial controls over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

INHERENT LIMITATIONS OF INTERNAL FINANCIAL CONTROLS OVER FINANCIAL REPORTING

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

OPINION

In our opinion, the holding company, its subsidiary company incorporated in India, have in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March 2016, based on the internal controls over financial reporting criteria established by the holding company, its subsidiary company considering the essential components of internal controls stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm's registration number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

Place : Mumbai
Date : 24th May, 2016

Financial Statements

GODAVARI BIOREFINERIES LIMITED

Consolidated Balance Sheet As at 31st March 2016

(Rs. in Lacs)

		Notes	As at 31st March, 2016		As at 31st March, 2015	
I	**EQUITY AND LIABILITIES**					
1	**Shareholders' Funds**					
	a) Share Capital	2		**3,573.77**		3,573.77
	b) Reserves & Surplus	3		**10,764.64**		12,632.35
				14,338.41		16,206.12
2	**Non Current Liabilities**					
	a) Long Term Borrowings	4		**23,029.65**		21,505.88
	b) Deferred Tax Liabilities (net)	5		**265.13**		700.71
	c) Other Long Term Liabilities	6		**109.33**		20.09
	d) Long Term Provisions	7		**92.25**		73.62
				23,496.36		22,300.30
3	**Current Liabilities**					
	a) Short Term Borrowings	8		**53,579.70**		64,576.86
	b) Trade Payables			**16,795.91**		10,063.71
	c) Other Current Liabilities	9		**10,185.74**		8,409.47
	d) Short Term Provisions	10		**213.33**		216.45
				80,774.68		83,266.49
	TOTAL			**118,609.45**		121,772.91
II	**ASSETS**					
1	**Non Current Assets**					
	a) Fixed Asset	11				
	i Tangible Assets		**46,841.06**		45,955.36	
	ii Intangible Asset		**0.79**		0.42	
	iii Capital Work In Progress		**1,933.39**		3,043.45	
				48,775.24		48,999.23
	b) Non Current Investments	12	**4.72**		72.04	
	c) Long Terms Loans And Advances	13	**3,277.69**		2,842.53	
	d) Other Non Current Assets	14	**-**		9.42	
				3,282.41		2,923.99
2	**Current Assets**					
	a) Current Investments	15	**4.16**		4.69	
	b) Inventories	16	**48,879.10**		53,099.64	
	c) Trade Receivables	17	**9,403.59**		7,360.32	
	d) Cash And Bank Balances	18	**3,632.66**		3,705.16	
	e) Short Term Loans And Advance	19	**3,011.60**		5,165.28	
	f) Other Current Assets	20	**1,620.69**		514.60	
				66,551.80		69,849.69
	TOTAL			**118,609.45**		121,772.91
	Notes forming part of Financial Statements 1 to 46					

As per our Report of even date attached

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm Registration Number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

Place : Mumbai
Date : 24th May 2016

For and on behalf of the Board of Directors

Samir S. Somaiya
Chairman & Managing Director
DIN: 00295458

N. S. Khetan
Chief Financial Officer
Membership No: F037264

Vinay V. Joshi
Executive Director
DIN: 00300227

Nishi VijayVargiya
Company Secretary
Membership No: A26319

GODAVARI BIOREFINERIES LIMITED

Consolidated Statement of Profit and Loss for the year Ended on 31st March 2016

(Rs. in Lacs)

		Notes	2015 - 2016	2014 - 2015
I	**REVENUE :**			
	a Revenue From Operations (Gross)	21	**144,281.36**	99,630.18
	b Less : Excise Duty		**5,686.14**	3,274.14
	c Revenue From Operations (Net)		**138,595.22**	96,356.04
II	**OTHER INCOME**	22	**651.39**	429.40
	TOTAL		**139,246.61**	96,785.44
III	**EXPENDITURE:**			
	a Cost of Material Consumed	23	**98,188.21**	76,697.87
	b Purchase of Stock in Trade	24	**3,212.58**	4,524.82
	c Manufacturing Expenses	25	**10,470.83**	9,232.79
	d Changes in Inventories of Finished Goods, Work in Progress & Stock in Trade	26	**4,018.49**	(10,498.05)
	e Employee Benefits Expenses	27	**6,708.87**	5,890.78
	f Sales, Adminstration & other Expenses	28	**5,950.04**	6,133.70
	g Interest & Financial Charges	29	**8,360.69**	8,396.65
	h Depreciation	11	**4,360.43**	4,713.09
	TOTAL		**141,270.14**	105,091.65
IV	**PROFIT / (LOSS) BEFORE TAXES**		**(2,023.53)**	(8,306.21)
V	Tax Expenses			
	a Current Tax		**-**	-
	b Deferred Tax (Income) / Expense		**(433.42)**	(924.66)
	c (Excess) / Short Provision for Income Tax		**-**	383.18
			(433.42)	(541.48)
VI	**PROFIT / (LOSS) AFTER TAX FOR THE PERIOD**		**(1,590.11)**	(7,764.73)
VII	**Basic and Diluted Earnings Per Share of Face Value of Rs. 10/-**		**(4.45)**	(21.74)
	Notes forming part of Financial Statements 1 to 53			

As per our Report of even date attached

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm Registration Number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

For and on behalf of the Board of Directors

Samir S. Somaiya
Chairman & Managing Director
DIN: 00295458

N. S. Khetan
Chief Financial Officer
Membership No: F037264

Vinay V. Joshi
Executive Director
DIN: 00300227

Nishi VijayVargiya
Company Secretary
Membership No: A26319

Place : Mumbai
Date : 24th May 2016

GODAVARI BIOREFINERIES LIMITED

Consolidated Cash Flow for the Year Ended 31st March, 2016

(Rs. in Lacs)

			2015 - 2016		2014 - 2015
A	**Cash Flow from Operating Activities :**				
	Net Profit / (Loss) After Tax		**(1,590.11)**		(7,764.73)
	Adjusted for :				
	Depreciation	**4,360.43**		4,712.12	
	Interest on Fixed Deposits and Others	**(282.47)**		(183.13)	
	Loss on Sale of Assets	**(7.01)**		3.13	
	Sundry Debit/Credit Balances Written Off/Back (Net)	**(170.50)**		191.13	
	Interest & Finance Charges	**8,283.39**		8,408.07	
	Provision For Dimunition In Investment Value	**67.85**		66.50	
	Provision for Doubtful Debts / Advances	**407.24**		622.89	
	Loss in StoresValue	**17.00**		100.00	
	Provision for Taxes /(Excess)/Short Income Tax	**-**		383.18	
	Deferred Taxes	**(433.42)**		(926.22)	
	Forex Translation / Consolidated Reserve	**245.23**		(88.33)	
	Unrealised Foreign Currency (Gain)/Losses	**41.69**	**12,529.43**	91.52	13,380.86
	Operating Profit before Working Capital Changes		**10,939.32**		5,616.13
	Adjustments for :				
	Trade Payables	**3,768.57**		(1,556.91)	
	Other Current Liabilites	**(406.29)**		539.65	
	Short Term Provisions	**(3.12)**		(4.77)	
	Other Long Term Liabilities	**316.69**		(875.36)	
	Long Term Provisions	**18.64**		19.65	
	Trade Receivables	**742.72**		678.47	
	Inventories	**3,784.01**		(9,384.47)	
	Short Term Loans and Advances	**2,426.76**		492.92	
	Other Current Assets	**(1,558.10)**		(831.26)	
	Other Non-Current Assets	**(2,301.45)**	**6,788.43**	(1,468.12)	(12,390.20)
	Cash Generated From Operations		**17,727.75**		(6,774.07)
	Taxes Paid		**(42.96)**		(107.51)
	Net Cash From/ (Used In) Operating Activities		**17,684.79**		(6,881.58)
B	**Cash Flow From Investing Activities :**				
	Addition To Fixed Assets (Net)	**(2,984.43)**		(5,219.80)	
	Sale / Scrap of Fixed Assets	**10.63**		7.64	
	Non Current Investments in Other Investment	**-**		(6.92)	
	Interest Received on Fixed Deposits and Others	**271.85**		146.48	
	Net Cash From/ (Used in) Investing Activities		**(2,701.95)**		(5,072.59)
C	**Cash Flow From Financing Activities :**				
	Repayment of Long Term Borrowings	**(4,081.91)**		(7,622.83)	
	Proceeds of Long Term Borrowings	**109.96**		7,174.59	
	(Decrease) / Increase Short Term Borrowings	**(10,838.55)**		12,406.90	
	Share Capital	**-**		513.56	
	Debentures issue	**6,500.00**		(1,200.00)	
	Interest accured on debenture	**305.26**		-	
	Share Premium received on Equity Share issued	**-**		9,186.44	
	Interest & Finance Charges Paid	**(7,546.60)**		(7,637.67)	
	Net Cash from/ (Used in) Financing Activities		**(15,551.84)**		12,820.99
	Net Changes in Cash and Cash Equivalents		**(569.00)**		866.82
	Add : Opening Balance Of Cash and Cash Equivalents		**1,755.17**		888.35
	Closing Balance Of Cash and Cash Equivalents (Refer note 39)		**1,186.17**		1,755.17

As per our Report of even date attached

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm Registration Number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

For and on behalf of the Board of Directors

Samir S. Somaiya
Chairman & Managing Director
DIN: 00295458

N. S. Khetan
Chief Financial Officer
Membership No: F037264

Vinay V. Joshi
Executive Director
DIN: 00300227

Nishi VijayVargiya
Company Secretary
Membership No: A26319

Place : Mumbai
Date : 24th May 2016

1. SIGNIFICANT ACCOUNTING POLICIES

A) Corporate Information

Godavari Biorefineries Limited is a Company incorporated under the provisions of Indian Companies Act, 1913, having its registered office at Somaiya Bhavan, 45-47, M.G. Road, Fort, Mumbai-400 001, India. Godavari Biorefineries Limited's origins can be traced to The Godavari Sugar Mills Limited, which was founded in 1939 by Late Padmabhushan Shri Karamshibhai Jethabhai Somaiya (1902-1999). The Godavari Sugar Mills Limited transferred its operating assets, namely, sugar, power, chemical & distillery business to the Company, on a going concern basis, on March 20, 2009 with effect from April 01, 2008, vide an order from the High Court of Bombay.

The Company is a fully integrated unit and is among the top sugar companies in India. The quality of its sugar is also comparable to the best and therefore fetches premium in the domestic and international markets. The Company is one of the largest producers of alcohol and a pioneer in manufacture of alcohol based chemicals in India. The Company manufactures various products from renewable resources, thereby forming an entire value chain right from sugarcane to sugar and other value added products like power, ethanol, bio-fertilizers etc. The Company's chemical unit at Sakarwadi, Maharashtra is an Export Oriented Unit (EOU).

The Company is actively pursuing the goal of creating a unique bio-refinery using green and renewable sugarcane as a feedstock.

B) Principles of Consolidated Financial Statements:

The Consolidated Financial Statements of the Company and its Subsidiary Companies (collectively referred as "the Group") have been prepared on the following basis:

i) The Financial Statements of the Company and its Subsidiaries are consolidated on a line-by-line basis by adding together the book values of like item of Assets, Liabilities, Income and Expenditure, after fully eliminating intra Group balances, intra group transactions and any unrealized profit / loss included therein in accordance with Accounting Standard (AS-21) "Consolidated Financial Statement".

ii) The Consolidated Financial Statements have been prepared using uniform accounting policies, except stated otherwise, for like transactions and are prepared, to the extent possible, in the same manner as the Company's separate financial statements.

iii) The Subsidiary Companies considered in the Financial Statements are as follows:

Name	Country of Incorporation	% of ownership / voting power	
		31st March 2016	31st March 2015
Solar Magic Pvt Ltd	India	100.00	100.00
Cayuga Investments B. V.	Netherlands	100.00	100.00
Godavari Biorefineries B.V.			
(Subsidiary of Cayuga Investments B. V.)	Netherlands	100.00	100.00
Godavari Biorefineries Inc.			
(Subsidiary of Cayuga Investments B. V.)	United States of America	100.00	100.00

C) Basis of Accounting and Preparation of Financial Statements:

The consolidated financial statements of the Group have been prepared in accordance with the Generally Accepted Accounting Principles in India (Indian GAAP) under the historical cost convention on the accrual basis. GAAP comprises mandatory accounting standards as prescribed under Section 133 of the Companies Act, 2013 ('Act') read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act (to the extent notified).

The accounting policies adopted in the preparation of financial statements are consistent with those used in the previous year.

D) Use of Estimates:

The preparation of financial statement requires the management to make estimates and assumptions considered in the reported amounts of assets and liabilities as of the date of the financial statements and the reported income and expenses during the reporting period. Management believes that the estimates used in the preparation of the financial statements are prudent and reasonable. Difference between the actual results and estimates are recognised in the period in which the results are known / materialised.

E) Fixed Assets & Depreciation:

Fixed Assets are stated at original cost net of tax/duty credits availed less accumulated depreciation, amortisation including impairment loss, if any. All direct cost relating to installation up to the commencement of commercial production are capitalised.

Depreciation on Fixed Assets has been provided on Straight Line Method (SLM) in accordance with Schedule II to the Companies Act, 2013.

Depreciation for additions to/deductions from Fixed Assets is calculated from the date of capitalization /deductions.

Intangible Assets are related to 'Patents', which have been recognised at nominal value, therefore, the same have not been amortised.

F) Leased Assets:

Operating Leases: Assets acquired on lease where a significant portion of the risk and rewards of ownership are retained by the lessor are classified as operating leases. Lease Rentals are charged to the Profit and Loss account on an accrual basis.

G) Foreign Currency Transactions:

i) Transactions in foreign currencies are recorded at the exchange rates prevailing on the date of transaction.

ii) Monetary items denominated in Foreign Currencies are reinstated at the year end rates.

iii) Premium or discount on foreign exchange forward contracts are amortised and recognised in the statement of profit and loss over the period of the contract.

H) Investments:

Long Term Investments are carried at cost less provision, if any, for permanent diminution in value of such investments. Provision for diminution in the value of long-term investments is made only if such a decline is other than temporary in the opinion of the management.

Short Term Investment: Current Investments are stated at cost less provision for diminution in value.

I) Inventories:

i) Raw Materials are valued at lower of moving average cost or net realisable value.

ii) Stores and Spares are valued at moving average cost.

iii) Quantity of Work-in-Progress stocks is converted into equivalent units of finished stocks. Work-in-Progress valued at lower of cost or net realisable value.

iv) Finished stocks are valued at cost or net realisable value whichever is lower.

v) Bagasse, Molasses and waste/scrap generated in the production process are valued at net realisable value.

vi) The valuation of inventories includes taxes, duties of non refundable nature and direct expenses and other direct cost attributable to the cost of inventory, net of excise duty/ countervailing duty / education cess and value added tax.

J) Provision for Current Tax and Deferred Tax:

i) Tax on income for the current period is determined on the basis of taxable income and tax credits computed in accordance with the provisions of the Income Tax Act, 1961 and Income Computation and Disclosure Norms (ICDS) and based on the expected outcome of assessments/appeals.

ii) Deferred Tax resulting from "timing differences" between book and taxable profit is accounted for using the tax rates and laws that have been enacted and substantively enacted as on the Balance Sheet date.

iii) Deferred tax assets are recognised and carried forward to the extent that there is a reasonable certainty or virtual certainty as the case may be that sufficient future taxable income will be available against which such deferred tax assets can be realised.

iv) Tax Liability in respect of Foreign Companies is accounted for as per applicable tax laws of respective countries.

K) Provisions, Contingent Liabilities and Contingent Assets:

Provisions are recognised for liabilities that can be measured only by using a substantial degree of estimation, if

i) the Company has a present obligation as a result of a past event,

ii) a probable outflow of resources is expected to settle the obligation and

iii) the amount of the obligation can be reliably estimated.

Reimbursement expected in respect of expenditure required to settle a provision is recognised only when it is virtually certain that the reimbursement will be received.

Contingent liability is disclosed in case of:

i) A present obligation arising from past events, when it is not probable that an outflow of resources will be required to settle the obligation;

ii) A present obligation when no reliable estimate is possible;

iii) A possible obligation arising from past events where the probability of outflow of resources is not remote.

Contingent assets are neither recognised, nor disclosed.

Provisions, Contingent Liabilities and Contingent Assets are reviewed at each Balance Sheet date.

L) Impairment of Assets:

Provision for impairment loss, if any, to the extent, the carrying amount of assets exceed their recoverable amount. Recoverable amount is higher of an asset's net selling price and its value in use. Value in use is the present value of estimated future cash flow expected to arise from the continuing use of an asset and from its disposal at the end of its useful life.

Impairment losses recognised in prior years are reversed when there is an indication that the impairment losses recognised no longer exist or have decreased. Such reversals are recognised as an increase in carrying amounts of assets to the extent that it does not exceed the carrying amounts that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised in previous years.

M) Revenue Recognition:

i) Revenue from sale of manufactured and traded goods is recognised when the substantial risks and rewards of ownership are transferred to the buyer under the terms of the contract.

ii) Power sales are accounted on the basis of contract and State Government notified rates as applicable.

iii) Dividends are recognised when right to receive is established.

iv) Export benefits are accounted on the basis of completion of Export Obligation, which are to be received with a reasonable certainty.

N) Turnover:

Turnover includes sale of goods, excise duty net of value added tax, adjusted for discounts.

O) Expenditure on Research & Development:

i) Revenue expenditure on Research and Development is accounted under respective heads of account in the year in which it is incurred.

ii) Expenses of Capital nature are capitalised and depreciation is provided thereon as per Schedule II of the Companies Act, 2013.

P) Retirement Benefits:

i) Short term employee benefits:

All employee benefits falling due wholly within twelve months of rendering the service are classified as short term employee benefits. The benefits like salaries, wages, short term compensated absences etc. and the expected cost of bonus, ex-gratia are recognised in the period in which the employee renders the related service.

ii) Post-employment benefits:

Defined contribution plans: The state governed provident fund scheme, employee state insurance scheme, employee pension scheme and gratuity are defined contribution plans. The contribution paid/payable under the schemes is recognised during the period in which the employee renders the related service.

Q) Extraordinary and Exceptional Items:

Income or expenses that arise from events or transactions that are clearly distinct from the ordinary activities of the Company are classified as extraordinary items. Specific disclosure of such events/ transactions is made in the financial statements. Similarly, any external event beyond the control of the Company, significantly impacting income or expenses, is classified as an extraordinary items and disclosed as such.

On certain occasions, the size, type or incidence of an item of income or expense, pertaining to ordinary activities of the Company is such that its disclosure improves an understanding of performance of the Company. Such income or expense is classified as an exceptional item and accordingly disclosed in the notes to accounts.

R) Borrowing Costs:

Borrowing costs that are attributable to the acquisition, construction or production of a qualifying asset are capitalised as part of cost of such asset till such time as the asset is ready for its intended use or sale. A qualifying asset is an asset that necessarily requires a substantial period of time to get ready for its intended use or sale. All other borrowing costs are recognised as an expense in the period in which they are incurred.

S) Segment Accounting:

i) Segment accounting policies are in line with the accounting policies of the Company. In addition, the following specific accounting policies have been followed for segment reporting:

a) Segment revenue includes sales and other income directly identifiable with/allocable to the segment including inter-segment revenue.

b) Expenses that are directly identifiable with/allocable to segments are considered for determining the segment result. Expenses, which relate to the Company as a whole and not allocable to segments, are included under “unallocable corporate expenditure”.

ii) The Company’s reporting segments are identified based on activities/products, risk and reward structure, organisational structure and internal reporting systems.

T) Commodity Futures:

Transactions in commodity futures are accounted based on the mode of final settlement. Transaction, which are ultimately settled net, without taking delivery, are recorded net with the gains/losses being recognised as income/ expenses in the financial statements. Transactions, which stipulate physical delivery of the goods and where the Company intends to take delivery, are recorded at gross, as purchases and sales as a part of the Company’s sugar manufacturing activities

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
2 SHARE CAPITAL				
Authorised				
4,20,00,000 (Previous Year 4,20,00,000) Equity Shares of Rs.10/- each		**4,200.00**		4,200.00
18,00,000 Redeemable Cumulative Preference Shares of Rs.100/- each		**1,800.00**		1,800.00
		6,000.00		6,000.00
Issued, Subscribed & Paid up				
Equity Share Capital				
3,57,37,747 (Previous Year 3,57,37,747) Equity Shares of Rs.10/- each fully paid up.	**3,573.77**		3,060.21	
Add : Nil (Previous Year 51,35,647) equity share of Rs, 10 each fully paid up issued during the year	**-**		513.56	
3,57,37,747 (Previous Year 3,57,37,747) Equity Shares of Rs.10/- each fully paid up.		**3,573.77**		3,573.77
Nil (Previous Year Nil) 12% Redeemable Cumulative Preference Share of Rs. 100/- each	**-**		700.00	
Less: Nil (Previous year 7,00,000) ,12% Redeemable Cumulative Preference Share of Rs. 100/- each are redeemed	**-**		700.00	
Nil (Previous Year 500,000) 9% Optionally Convertible Preference Share of Rs. 100/- each	**-**		500.00	
Add: Nil (Previous Year 5,50,000), 9% Optionally Convertible Preference Share of Rs. 100/- each	**-**		550.00	
Less Nil (Previous Year 3,50,000), 9% Optionally Convertible Preference Share of Rs. 100/- each are redeemed	**-**		350.00	
Less : Nil (Previous Year 7,00,000), 9% Optionally Convertible Preference Share of Rs. 100/- each are converted to 370614 equity share of Rs. 10/- each at a Premium of Rs. 178.8759 per share	**-**		700.00	
Nil (Previous Year Nil) 9% Optionally Convertible Preference Share of Rs. 100/- each	**-**	**-**		-
		3,573.77		3,573.77

a) Reconciliation of the number of Equity Shares and Share Capital outstanding at the beginning and at the end of the reporting Year

Particulars	**2015-2016**		2014-2015	
	No. of shares held	**Amount in Lacs**	No. of shares held	Amount in Lacs
Equity shares of Rs. 10/- each fully paid :				
Shares outstanding at the beginning of the year	**35,737,747**	**3,573.77**	30,602,100	3,060.21
Shares issued during the year	**-**	**-**	5,135,647	513.56
Shares bought back during the year	**-**	**-**	-	-
Shares outstanding at the end of the year	**35,737,747**	**3,573.77**	35,737,747	3,573.77

b) Reconciliation of the number of 12% Redeemable Cumulative Preference Shares outstanding at the beginning and at the end of the reporting Year

Particulars	**2015-2016**		2014-2015	
	No. of shares held	**Amount in Lacs**	No. of shares held	Amount in Lacs
Preference shares of Rs. 100/- each fully paid :				
Shares outstanding at the beginning of the year	**-**	**-**	700,000	700.00
Shares issued during the year	**-**	**-**		
Shares Redeemed during the year	**-**	**-**	700,000	700.00
Shares outstanding at the end of the year	**-**	**-**	-	-

(Rs. in Lacs)

	As at 31st March, 2016	As at 31st March, 2015

c) Reconciliation of the number of 9% Optionally Convertible Preference Shares outstanding at the beginning and at the end of the reporting Year

Particulars	2015-2016 No. of shares held	2015-2016 Amount in Lacs	2014-2015 No. of shares held	2014-2015 Amount in Lacs
Preference shares of Rs. 100/- each fully paid :				
Shares outstanding at the beginning of the year	-	-	500,000	500.00
Shares issued during the year	-	-	550,000	550.00
Shares Redeemed during the year	-	-	350,000	350.00
Shares Converted during the year	-	-	700,000	700.00
Shares outstanding at the end of the year	-	-	-	-

d) Rights, Preferences and Restrictions attached to Shares

i) Equity Shares

- The Company has one class of Equity shares having a par value of Rs.10/- each.
- Each holder of Equity shares is entitled to one vote per share and are subject to the preferential rights as presecribed under law or those of preference shareholders,if any.
- The Equity share holders are also subject to restrictions as presribed under the Companies Act,2013
- The Company declares and pays dividends in Indian Rupees. The dividend proposed by the Board of Directors is subject to the approval of shareholders in the ensuing Annual General Meeting,except in the case of Interim Dividend.
- In the event of the Liquidation of the Company, the holders of the Equity shares will be entitled to receive remaining assets of the company after distribution of all preferential amounts and preferential shareholders

ii) Preference Shares

- The Company had two class of Preference shares - 12% Redeemable Cumulative Preference shares having a par value of Rs.100/- each and 9%
- Optionally Convertible Preference Shares.

These shares were redeemed fully in financial year 2014-15

e) Shareholders holding more than 5% of Equity shares of the Company

	Name of Shareholders	As at 31st March, 2016 No. of shares held	As at 31st March, 2016 % Holding	As at 31st March, 2015 No. of shares held	As at 31st March, 2015 % Holding
1	Somaiya Agencies Pvt.Ltd.	**8,549,965**	**23.92**	8,549,965	23.92
2	Lakshmiwadi Mines & Minerals Pvt. Ltd	**5,193,462**	**14.53**	5,193,462	14.53
3	Sakarwadi Trading Company Pvt. Ltd	**4,981,952**	**13.94**	4,981,952	13.94
4	Trustees of Sameerwadi Sugarcane Farmers' Welfare Trust	**2,269,600**	**6.35**	2,269,600	6.35
5	Sindhur Construction Pvt. Ltd.	**2,605,120**	**7.29**	2,605,120	7.29
6	Mandala Capital AG Limited	**4,765,033**	**13.33**	4,765,033	13.33
7	Shri Samir Shantilal Somaiya	**3,667,815**	**10.26**	3,667,815	10.26
		32,032,947	**89.62**	32,032,947	89.62

As per records of the Company,including its register of shareholders/members and other declaration received from shareholders , regarding beneficial interest, the above shareholding represents both legal and beneficial ownership of shares of the above shareholding .

3	**RESERVES AND SURPLUS :**				
(a)	**Capital Reserve**				
	At the beginning and at the end of the year		**727.42**		727.42
(b)	**Capital Redemption Reserve**				
	At the beginning and at the end of the year	**573.50**		-	
	Add : Transfer During the year	**-**		573.50	
			573.50		573.50

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
(c) Share Premium Reserve				
At the beginning and at the end of the year	**15,308.68**		6,122.24	
Add : Nil (Previous Year 5135647 equity share issued at a premium of Rs. 178.8759 per share)	**-**		9,186.44	
At the end of the year		**15,308.68**		15,308.68
(d) General Reserve				
At the beginning of the year	**1,865.38**		2,357.11	
Less : Depreciation on transition to Schedule II of the Companies Act, 2013	**-**		(491.73)	
At the end of the year		**1,865.38**		1,865.38
(e) Surplus in Statement of Profit and Loss				
At the beginning of the year	**(5,960.28)**		2,377.96	
Less : Transfer to Capital redeemption	**-**		(573.50)	
Add : Profit / (Loss) for the year	**(1,590.11)**		(7,764.74)	
At the end of the year		**(7,550.39)**		(5,960.28)
Consolidation Reserve				
At the beginning of the year	**117.65**		-	
Add / (Less): During the year	**(277.60)**		117.65	
At the end of the year		**(159.95)**		117.65
		10,764.64		12,632.35
4 LONG TERM BORROWINGS				
Secured				
a) From Banks				
(i) Term Loans		**9,372.67**		14,389.16
b) From Others				
(i) Sugar Development Fund	**5,342.19**		5,896.72	
(ii) Others	**4.63**		20.38	
		5,346.82		5,917.10
c) Debentures				
(i) Debentures	**6,500.00**			
(ii) Interest accured on Debentures	**305.26**			
		6,805.26		
Unsecured				
a) From Others				
(i) Council of Scientific & Industrial Research		**485.00**		485.00
(ii) Deferred Cane Purchase Tax		**1,014.71**		711.11
b) From Banks				
(i) Ratnakar Bank Ltd (Interest rate @ 12.50% P.A., Terms of Payment 2 Annual Installments)		**5.19**		3.51
		23,029.65		21,505.88

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
I) **Details of Terms of repayment for Long Term Secured Borrowings**	**As at 31st March, 2016**		As at 31st March, 2015	
			Current	Non - Current
Particulars				
1 Andhra Bank (Repayable in 13 equal quarterly installments, last Installment falling due on April 2019.)	**51.50**	**115.88**	51.50	167.38
2 Union Bank of India (Repayable in 10 equal quarterly installments, last Installment falling due on July 2018.)	**892.00**	**1,324.00**	892.00	2,216.00
3 Union Bank of India (Repayable in 5 equal half yearly installments, last Installment falling due on June 2018.)	**216.00**	**324.00**	216.00	540.00
4 Bank of India (Repayable in 36 equal Monthly installments, last Installment falling due on May 2019.)	**1,675.00**	**4,355.00**	-	6,030.00
5 Bank of India (Repayable in 9 equal quarterly installments, last Installment falling due on June 2018.)	**892.00**	**1,101.00**	892.00	1,993.00
6 Corporation Bank (Repayable in 11 equal quarterly installments, last Installment falling due on October 2018.)	**684.00**	**1,195.00**	684.00	1,879.00
7 Punjab National Bank (Repayable in 5 equal half yearly installments, last Installment falling due on June 2018.)	**679.71**	**884.07**	679.72	1,563.78
8 State Bank of Patiala (last Installment falling due on July 2015.)	**-**	**-**	199.64	-
9 Sugar Development Fund (Repayable in 5 equal yearly installments, last Installment falling due on March 2023.)	**-**	**3,954.02**	-	3,954.02
10 Sugar Development Fund (Repayable in 7 equal half yearly installments, last Installment falling due on June 2019.)	**555.27**	**1,388.17**	556.00	1,942.70
11 Hire Purchase Finance	**15.74**	**4.63**	23.27	20.38
12 IDBI Trusteeship Services Ltd (Bullet payment on June 2021) Call Option after three years (June 2018)	**-**	**6,805.26**	-	-
13 SUSTAINABLE AGRO COMMERCIAL FINANCE LTD. Repayable in 2 Annual Installments	**49.56**	**73.72**	-	-
	5,710.78	**21,524.75**	4,194.13	20,306.25

* Period of Maturity w.r.t th Balance Sheet date

* Number of Instalment outstanding as at 31st March, 2016

(Rs. in Lacs)

		As at 31st March, 2016		As at 31st March, 2015	
II)	**Nature of Securities:**				
i)	Loan covered in Sr. No. 1 to 5, First Pari Passu Charge on Fixed Assets of Sameerwadi, Karnataka, Subservient First Ranking Charge on Fixed Assets of Sakarwadi, Maharashtra and First Pari Passu Charge on certain Assets of Somaiya Properties and Investments Pvt Ltd. (SPIPL) (Formerly known as The Godavari Sugar Mills Pvt Ltd). Corporate Guarantee of SPIPL . Second Pari Passu charge on Current Asset of Sugar Division at Sameerwadi, Karnataka				
ii)	Loan covered in Sr.No. 6, First Pari Passu Charge on Fixed Assets of Sameerwadi, Karnataka.Second Pari Passu Charge on Curent Assets of Sugar & Cogen Division,				
iii)	Loan covered in Sr.no. 7 First Pari Passu Charge on Fixed Assets of Sameerwadi, Karantaka and second Pari Pasu Charge on Fixed Assets of Sakarwadi, Maharashtra and second pari passu charge on current Asset of Sugar Division				
iv)	Loan covered in Sr.No. 8,First Pari Passu Charge on Fixed Assets of Sameerwadi factory and Second Pari Passu Chrage on Curent Assets of Company				
v)	Loan covered in Sr.No. 9 & 10, All Immoveable & Moveable Properties at Sameerwadi Factory , Karnataka on First Pari Passu Charge basis.				
vi)	Loan covered in Sr. No. 11, Exclusive Charge on Assets purchased under Hire purchase arrangements				
vii)	Debenture / Bond covered in Sr.No. 12 , Exclusive Charge on the Fixed Assets Of Capital Investment Programme as per the agreement dated 09th July, 2015 and First Pari Passu Charge on Fixed Assets at Sakarwadi @ Rs. 10% p.a inclusive of Withholding tax				
viii)	Loan Covered in Sr.no.13 Secured by Corporate Guarantee of Godavari Biorefineries Limited				
III)	Interest for above loans varies from 4% to 13.90% (Previous Year 4% to 14.50%). During the Financial year 2015-2016 the company has not availed any Foreign Currency Loan (Previous Year Libor plus 500 bps).				
5	**DEFERRED TAX LIABILITIES**				
	Deferred Tax Liability				
	On account of difference in Depreciation		**7,856.56**		7,829.95
	Deferred Tax Asset				
	Unabsorbed Depreciation and Business Losses		**7,591.43**		7,129.24
			265.13		700.71
6	**OTHER LONG TERM LIABILITIES**				
	(i) Public Deposit	**94.20**		-	
	(ii) Advances received from Holding company Godavari Biorefineries Limited	**0.00**		-	
	(iii) Others	**15.13**		20.09	
			109.33		20.09
7	**LONG TERM PROVISIONS**				
	Leave Encashment		**92.25**		73.62
8	**SHORT TERM BORROWINGS**				
	Secured				
	From Banks				
	(i) Cash Credit	**24,802.27**		35,137.95	
	(ii) Buyers' Credit	**-**		2,738.21	
			24,802.27		37,876.16

I **Nature of Security:**

(a) Secured by First Pari Passu charge over current assets of the company (respective division), both present and future and second Pari Passu charge on Fixed Asset; and Second charge on certain Assets of Somaiya Properties and Investments Pvt Ltd. (SPIPL) (Formerly known as The Godavari Sugar Mills Pvt Ltd).Corporate Guranatee of SPIPL.

(b) For Loan availed by Solar Magic Pvt Ltd corporate guarantee is given by Godavari Biorefineries Limited.

II Interest for above Rupee loans varies from 12.5% to 14.5% (Previous Year 12.5% to 14.5%) and for foreign currency loan varies from Libor Plus 40 to 50 bps (Previous Year 100 to 500 bps)

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
Unsecured				
From Banks		**28,774.63**		26,501.70
From Others				
(a) Public Deposit	**2.80**			
(b) Inter Corporates Deposits	**-**		199.00	
		2.80		199.00
		53,579.70		64,576.86
9 OTHER CURRENT LIABILITIES				
(a) Interest accured but not due on Borrowings	**2,934.92**		2,141.58	
(b) Statutory Dues	**276.34**		385.58	
(c) Others Liabilities	**996.57**		844.49	
(d) Others Liabilities - Related Parties	**2.02**		3.02	
(e) Advance from Customers	**120.14**		764.43	
(f) Security Deposits	**144.97**		62.96	
(g) Liabilities for Capital Expenditure	**-**		13.28	
(h) Current Maturities of long-term debts	**5,710.78**		4,194.13	
		10,185.74		8,409.47
10 SHORT TERM PROVISIONS				
(a) Provision for Leave Encashment	**187.46**		216.45	
(b) Provision for Gratuity	**25.87**		-	
		213.33		216.45
12 NON CURRENT INVESTMENTS (at cost unless otherwise specified)				
(I) Long Term Trade Investments				
Investments in Equity Shares-Fully paid				
a) Quoted				
Investments in Associate				
(i) 25,000 (Previous Year 25,000) Equity Shares of Rs. 10/- each of Pentokey Organy (India) Limited	**4.50**		4.50	
		4.50		4.50
Long Term Non -Trade Investments				
a) Unquoted				
(i) 210 (Previous Year 210) Equity Shares of Rs.100/- each of The Book Centre Ltd.		**0.21**		0.21
Other Company				
(i) 357,604 Nonassessable shares of Series B preferred Stock of $ 0.001 par value (Previous Year 357,604 Nonassessable shares of Series B preferred Stock of $ 0.001 par value) of e2e Material INC, USA	**134.65**		134.65	
Less : Provision For Dimunition in Investment Value	**134.64**	**0.01**	67.32	67.33
		0.22		67.54
		4.72		72.04

	Market Value as at 31.03.2016	**Book Value as at 31.03.2016**	Market Value as at 31.03.2015	Book Value as at 31.03.2015
Quoted	**4.63**	**4.50**	3.54	4.50
Unquoted	**-**	**0.22**	-	67.54
	4.63	**4.72**	3.54	72.04

(Rs. in Lacs)

	As at 31st March, 2016		As at 31st March, 2015	
13 LONG TERMS LOANS & ADVANCES (Unsecured,Considered Good) :				
(a) Advances for Fixed Asset	**1,143.40**		101.46	
(b) Advances Income Tax (Net of Provision is Rs.925.95 lacs (Previous Year 925.95 lacs)	**754.62**		701.44	
(c) Balances with Statutory and Government Authorities	**367.45**		594.57	
(d) Security Deposit and other Deposits	**267.60**		300.06	
(e) Advances for Supplies and Services	**744.62**		1,145.00	
		3,277.69		2,842.53
14 OTHER NON CURRENT ASSETS				
a) Claims Receivables	**–**	**–**	9.42	9.42
15 CURRENT INVESTMENTS (At lower of cost and fair value)				
a) Quoted				
Investments in Mutual Fund				
(i) 50,000 ((Previous Year 50,000) units of Rs. 10/- each State Bank of India PSU FUND	**5.00**		5.00	
Less : Provision For Dimunition in Investment Value	**0.84**		0.31	
		4.16		4.69

	Market Value as at 31.03.2016	**Book Value as at 31.03.2016**	Market Value as at 31.03.2015	Book Value as at 31.03.2015
Quoted	**4.16**	**4.16**	4.69	4.69
Unquoted	**-**	**-**	-	-
	4.16	**4.16**	4.69	4.69

16 INVENTORIES (Mode of valuation as per note no.1 (I))				
(a) Raw Materials				
Raw Materials	**6,216.11**		6,022.74	
Raw Material in Transit	**356.17**		-	
		6,572.28		6,022.74
(b) Work in Progress		**29.99**		615.40
(c) Finished Goods				
(i) Finished Goods	**38,809.86**		41,986.39	
(ii) Finished Goods in Transit	**44.89**		1,972.72	
		38,854.75		43,959.11
(d) Traded Goods		**1,288.33**		417.16
(e) Stores, Chemicals and Spares		**2,133.76**		2,085.23
		48,879.10		53,099.64
17 **TRADE RECEIVABLES** (Unsecured, Considered Good) :				
I) Due over six months	**850.41**		122.26	
Less : Provision for Doubtful Debts	**105.66**	**744.75**	-	122.26
II) Due less than six months		**8,403.16**		6,589.33
III) Due from Related Party		**255.68**		648.73
		9,403.59		7,360.32

(Rs. in Lacs)

		As at 31st March, 2016		As at 31st March, 2015	
18	**CASH AND BANK BALANCES :**				
	a) Cash and Cash Equivalants				
	(i) Cash, Cheques and Drafts on Hand	**18.30**		20.39	
	(ii) In Current Account	**1,110.90**		1,683.54	
	(iii) Fixed Deposits with Banks upto 3 months maturity including Interest accured	**56.97**		51.24	
	b) Other Bank Balance		**1,186.17**		1,755.17
	(i) Fixed deposits for margin money and other earmarked fixed deposit inculidng interest accrued	**1,055.56**		1,637.00	
	(ii) Others Fixed Deposits including Interest accured	**1,390.93**		312.99	
			2,446.49		1,949.99
			3,632.66		3,705.16
19	**SHORT TERM LOANS & ADVANCES** (Unsecured, Considered Good) :				
	a) Cenvat Credit Receivables	**395.69**		527.23	
	b) VAT Credit Receivable	**602.09**		1,631.92	
	c) Advances Income Tax (Net of Provision is Nil (Previous Year 722.78 lacs)	**-**		574.68	
	d) Prepaid Expenses	**281.30**		119.98	
	e) Advances to suppliers and others	**1,709.48**		2,268.61	
	f) Security Deposit and other Deposits	**23.04**		42.86	
			3,011.60		5,165.28
20	**OTHER CURRENT ASSETS :**				
	a) Export Incentives Sugar Cane	**853.25**		-	
	b) Export Benefits - MEIS and Others	**586.68**		-	
	c) Claims Receivables	**180.76**		514.60	
			1,620.69		514.60

11 Fixed Assets

(Rs. in Lacs)

Sr. No.	Particulars	Gross Block				Depreciation				Net Block	
		As at 31st March 2015	Additions	Deductions/ Adjustments	As at 31st March 2016	Upto 31st March 2015	During the period	Deductions/ Adjustments	Upto 31st March 2016	As at 31st March 2016	As at 31st March 2015
A	**Tangible Asset**										
1	Land	610.72	-	-	**610.72**	5.01	-	-	**5.01**	**605.71**	605.71
2	Building	4,521.47	920.19	-	**5,441.66**	1,084.01	175.23	-	**1,259.24**	**4,182.42**	3,437.46
3	Plant & Machinery	70,445.23	4,223.15	4.00	**74,664.38**	28,955.48	4,054.03	3.32	**33,006.19**	**41,658.19**	41,489.75
4	Office Equipments	1,783.11	45.26	0.49	**1,827.88**	1,626.87	63.57	0.31	**1,690.12**	**137.75**	156.24
5	Motor Vehicles	776.42	60.98	50.44	**786.96**	510.22	67.43	47.68	**529.97**	**256.98**	266.20
	Total A	**78,136.95**	**5,249.58**	**54.93**	**83,331.60**	**32,181.59**	**4,360.26**	**51.31**	**36,490.54**	**46,841.06**	**45,955.36**
B	**Intangible Asset**										
1	Patents	0.06	0.54	-	**0.60**	-	0.07	-	**0.07**	**0.52**	0.06
2	**Trade Mark**	**0.45**	**-**	**-**	**0.45**	**0.09**	**0.09**	**-**	**0.18**	**0.27**	**0.36**
	Total B	**0.51**	**0.54**	**-**	**1.05**	**0.09**	**0.16**	**-**	**0.25**	**0.79**	**0.42**
	Grand Total A + B	**78,137.46**	**5,250.12**	**54.93**	**83,332.65**	**32,181.68**	**4,360.43**	**51.31**	**36,490.80**	**46,841.85**	**45,955.78**
	Previous Year 2014-15	75,278.18	2,910.52	51.24	**78,137.46**	27,018.30	5,204.82	41.44	32,181.68	45,955.78	48,259.88
	Work in Progress									**1,933.39**	**3,043.45**

"Effective from 1st April, 2014, The Company has charged depreciation based on the revised remaining useful life of the Assets as per the schedule II of the Companies Act, 2013. Based on transitional provision provided in Note 7 (b) of schedule II in respect of the Assets whose life has been completed, an amount of current year Rs. Nil (Previous Year Rs.491.73 lacs) has been adjusted against retained earnings."

(Rs. in Lacs)

		2015 - 2016	2014 - 2015
21	**REVENUE FROM OPERATIONS (Net)**		
	Sales of Products	**144,281.36**	99,630.18
	Less Excise Duty	**5,686.14**	3,274.14
		138,595.22	96,356.04
22	**OTHER INCOME :**		
	Interest on Fixed Deposits & Others	**315.12**	160.50
	Miscelleneous Income	**336.27**	268.90
		651.39	429.40
23	**RAW MATERIALS CONSUMED : ***	**98,188.21**	76,697.87
	* Raw Material includes Sugar cane cost of Rs. 72,812.06 lacs (Previous Year 49,776.62 lacs) out of which Rs. 8621.26 Lacs (Previous Year 4,563.29 lacs)is in respect of cane price of earlier years accounted in the current year.		
24	**PURCHASES OF STOCK IN TRADE**	**3,212.58**	4,524.82
25	**MANUFACTURING EXPENSES :**		
	Stores and Spare consumed	**2,557.04**	2,743.28
	Power and Fuel	**3,249.37**	2,427.45
	Packing, Forwarding and Storage	**1,564.64**	1,464.83
		7,371.05	6,635.56
	Repairs and Maintenance :		
	Plant and Machinery	**2,028.56**	2,052.01
	Buildings	**49.74**	68.06
	Others	**1,021.48**	477.16
		3,099.78	2,597.23
		10,470.83	9,232.79
26	**CHANGES IN INVENTORIES OF FINISHED GOODS, WORK IN PROGRESS & STOCK IN TARDE**		
	Closing Stock :	**38,884.77**	44,574.53
	Less : Adjustment of Stock in Transit Pertaining to FY 14-15 reversed	**(1,671.27)**	-
	Less : Opening Stock	**44,574.53**	34,076.48
	Increase / (Decrease) in Stock	**(4,018.49)**	10,498.05
27	**EMPLOYEE BENEFITS EXPENSES**		
	Salaries, Wages and Bonus	**5,591.05**	4,934.36
	Directors Remuneration	**279.58**	269.70
	Contribution to Provident Fund,Gratuity Fund and Other Fund	**467.14**	393.33
	Staff Welfare Expenses	**371.10**	293.39
		6,708.87	5,890.78
28	**SALES , ADMINISTRATION & OTHER EXPENSES**		
	Selling Expenses :	**2,058.82**	1,503.73
	Administration Expenses		
	Rent , Rates and Taxes	**428.52**	403.02
	Insurance	**149.97**	140.01
	Contribution to Scientific Research Institution	**96.00**	84.00

(Rs. in Lacs)

		2015 - 2016	2014 - 2015
	General Expenses (Including travelling,telephone,professional etc.)	**2,401.23**	2,615.91
	Professional Charges	**769.06**	1,345.94
	Director Fees	**14.76**	9.12
	Loss/(Profit) on Sale of Assets	**(7.01)**	2.16
		3,852.53	4,600.16
	Auditors' Remuneration :		
	Audit Fees and Tax Audit Fees	**38.69**	29.81
	Total	**5,950.04**	6,133.70
29	**INTEREST & FINANCIAL CHARGES :**		
	Cash Credit	**2,622.23**	2,962.65
	Term Loan	**2,253.17**	2,440.70
	Others	**3,485.29**	2,993.30
	Total	**8,360.69**	8,396.65

30. Excise Duty and Sales Tax :

Finished goods attracting excise duty and sales tax, lying in the factory as at 31st March, 2016 could not be separated into those for sale in domestic market and /or export market. Hence excise duty and sales tax payable is not determinable on the manufactured goods lying in the stock at the year-end. However, non-provisioning has no impact on the profit for twelve months ended 31st March, 2016.

31. Borrowing Costs:

The Company has capitalised interest cost during the construction period for the projects, aggregating to Rs.Nil Lacs (Previous Year Rs. 64.41 Lacs.) in accordance with the Accounting Standard AS 16 on Borrowing Costs.

32. Small Scale & Auxiliary Industries:

The Company does not have outstanding to Micro, Small and Medium Enterprises as at 31st March, 2016. The Company does not have outstanding for more than 45 days to Micro, Small and Medium Enterprises during the twelve months ended 31st March, 2016. This information as required to be disclosed under the Micro, Small and Medium Enterprises Act, 2006 has been determined to the extent such parties have been identified on the basis of information available with the Company.

33. Contingent Liabilities:

(a)

(Rs. in Lacs)

Sr. No.	Particulars	2015-2016	2014 - 2015
i)	Excise duty and Service Tax (Excluding Interest and Penalty)	**414.61**	2382.51
ii)	Bank Guarantee	**1,656.05**	1,317.70
iii)	Corporate Guarantee and Comfort Letter	**591.63**	32.69
iv)	Letter of Credits	**1,841.56**	456.25

(b) Sugarcane price for the season 2013-14 :

The Karnataka Sugar Control Board notified the sugarcane price for the season 2013-14 under the Karnataka Sugar Control Act, 2013 at Rs.2500/- per MT, ex-field for North Karnataka Region.

Karnataka Sugar Industries have appealed to the State Government to reconsider the sugar cane price. The State Government agreed and has paid Rs.200/MT directly to the farmers out of the total price of Rs.2,500/MT. The Company has paid Rs.2,200/MT to the farmers and including State Government payment, the farmers have received Rs.2400/MT against notified price of Rs.2500/MT. For balance Rs.100/MT the company, through SISMA (K) is in appeal before Supreme Court and stay has been granted.

The Company has received notification from Government of Karnataka regarding payment of the balance Rs.100/- for the financial year 2013-2014. The Company is in process to contest the said notification through SISMA/Various sugar producers association

(c) Council of Scientific & Industrial Research (CSIR)

The Company has taken financial assistance from Council of Scientific & Industrial Research (CSIR) of Rs. 485 Lacs to develop technology for manufacture of Polymer grade Lactic Acid. Before start of the project, assurance was given about the successful bench scale development and scalability of the process/technology.

The project was not successful, and National Chemical Laboratory (NCL) / CSIR could not demonstrate the technology to make polymer grade Lactic Acid and accepted by NCL and also third party engineering firm appointed by CSIR.

CSIR is demanding repayment of the financial assistance and the matter is presently

under Arbitration. If the Arbitration Award goes against the Company, the Company will be required to repay Rs. 485 Lacs plus applicable interest.

(d) SEBI Order dated January 1st, 2016 and amendment thereon.

The Company had allotted 22,69,600 shares to the Trustees of Sameerwadi Sugarcane Farmers' Welfare Trust in the Financial Year 2009 – 2010. Security Exchange Board of India (SEBI), delivered its Order in the matter on the 1st of January, 2016. As per the said Order The Noticees, i.e., the Company, Trustees, Directors and Promoters, are jointly and severally liable to refund the contributories/beneficiaries the money equivalent to the value of their investment along with interest @ 10% per annum, from the date of allotment till the date of refund after adjusting amount of sugar benefit and dividend paid if any. However the Noticees are permitted to distribute shares to contributories/beneficiaries who give positive consent.

In pursuance of the Order:

1) Almost 99% of the beneficiaries have opted for distribution of Shares.

2) The interest payment will be upto the date of refund, which is on or before 31/12/2016.

3) The liability for purchase of shares and payment of interest is joint and several amongst the Company, Trust, Trustees, Directors and Promoters.

The assessment of the major implications would be known on completion of implementation of obligations as stipulated by the SEBI Order. Presently total payment is not precisely ascertainable and also the liability is joint and several as mentioned above

(e) National Green Tribunal :

National Green Tribunal (NGT) has accepted short term and long term remedial measures of Central Pollution Control Board (CPCB) and directed the CPCB to deal with study of ground water contamination caused by the Company.

On 20th May, 2016, in the CPCB, Maharashtra Pollution Control Board (MPCB) and the Company gave their no objection for the opening of the bid and further remediation to be carried out by and under direction of CPCB. In the Complainants' Application for converting proceedings under section 25, 26 of NGT Act, argument of parties viz. Collector, CPCB, MPCB and the Company were heard. The matter is adjourned to 8th July 2016.

(f) 1. The Company does not expect any reimbursements in respect of the above contingent liabilities.

2. It is not practicable to estimate the timing of cash flows, if any, in respect of matters stated in (a) to (e) above.

34. Capital Commitments

Estimated amount of contract on Capital Account remaining to be executed and not provided for Rs.4,406.93 Lacs (Previous Year Rs.5,054.87 Lacs).

35. Details of Research and Development Expenditure:

(Rs. in Lacs)

Particulars	2015-2016	2014 - 2015
Capital Expenditure	**39.24**	91.54
Revenue Expenditure	**1,039.57**	1,567.64
Total	**1,078.81**	1,659.18

36. Earnings Per Share:

(Rs. in Lacs)

Particulars	2015-2016	2014 - 2015
Profit / (Loss) After Tax	**(1,590.11)**	(7,764.73)
Weighted average number of shares (in Lacs)	**357.38**	357.24
Basic and Diluted Earnings Per Share (Face Value Rs.10)	**(4.45)**	(21.74)

37. In Terms of Accounting Standard – AS 22, deferred tax Asset (DTA) of Rs.7,591.43 Lacs (Previous year Rs.7,129.24 Lacs.) has been recognised as at 31st March, 2016. There is carried forward unabsorbed depreciation and business losses as at the Balance Sheet date. However, based on the future profitability projections, the Company is virtually certain that there would be sufficient taxable income in future, to claim the above tax credit.

38. Capital work in Progress includes Consultancy fees aggregating to Rs.16.46 Lacs. (Previous Year Rs.56.80 Lacs)

39. Reconciliation of Cash and Cash Equivalents:

(Rs. in Lacs)

Sr. No.	Particulars	As at 31st March 2016	As at 31st March 2015
1	Cash and Bank Balance as per Note No. 18	**3,632.66**	3,705.16
2	Less: Fixed deposit earmarked for Margin Money and other Fixed Deposits	**2,446.49**	1,949.99
3	Cash and Cash equivalents as per cash flow statement	**1,186.17**	1,755.17

40. The accounting policies of the foreign subsidiaries in respect of certain matters e.g. Depreciation, Fixed Asset accounting are different with respect to accounting policies of the holding Company in this regard. However, impact of the said difference in accounting policy is not material.

41. Gratuity and Leave Encashment

Disclosure in respect of Actuarial Valuation as required by Accounting Standard AS 15 is same as per the Standalone Financial Statements.

42. The disclosure of the net assets and share in Profit or Loss percentage of the Holding Company and Subsidiary Companies pursuant to Schedule III of the Companies Act, 2013 is as under:

(Rs. in Lacs)

Particulars	31.03.2016				31.03.2015			
	Net Assets, ie , total asset minus total liabilities		Share in Profit or Loss		Net Assets, ie , total asset minus total liabilities		Share in Profit or Loss	
	Consolidated				Consolidated			
	As % of Net Assets	Amount	As % of Profit or (Loss)	Amount	As % of Net Assets	Amount	As % of Profit or (Loss)	Amount
Godavari Biorefineries Ltd (Parent)	106.26%	15,236.01	53.13%	(844.82)	86.73%	14,056.17	97.50%	(7,570.23)
Solar Magic Pvt Ltd (Subsidiary)	(1.66%)	(238.2)	2.76%	(43.93)	2.47%	400.19	-0.09%	6.95
Cayuga Investments B. V. (Subsidiary)	(1.08%)	(154.62)	1.31%	(20.81)	10.03%	1,626.23	-0.61%	47.6
Godavari Biorefineries B.V. (Subsidiary of Cayuga Investments B. V.)	(2.46%)	(352.88)	41.88%	(666.01)	0.39%	62.61	2.15%	(167.27)
Godavari Biorefineries Inc. (Subsidiary of Cayuga Investments B. V.)	(1.06%)	(151.9)	0.92%	(14.54)	0.38%	60.92	1.05%	(81.78)
TOTAL	**100.00%**	**14,338.41**	**100.00%**	**(1,590.11)**	**100.00%**	**16,206.12**	**100.00%**	**(7,764.73)**

43. Particulars of Segment Information as required by Accounting Standard (AS-17) "Segment Reporting"

A) Primary Segment

(Rs. in Lacs)

		Sugar		Cogen		Distillery & Chemical		Interunit Transfer		Unallocated		Total	
		2015-2016	2014-2015	**2015-2016**	2014-2015	**2015-2016**	2014-2015	**2015-2016**	2014-2015	**2015-2016**	2014-2015	**2015-2016**	2014-2015
I	Segment Revenue												
	External Sales revenue	**83,357.44**	50,191.16	**5,644.69**	5,378.37	**54,675.18**	43,672.77			**604.05**	387.88	**144,281.36**	99,630.18
	Less Excise Duty	**3,879.15**	1,484.52	**0.13**	0.00	**1,806.86**	1,789.62			**-**	-	**5,686.14**	3,274.14
	External Sales revenue	**79,478.29**	48,706.64	**5,644.56**	5,378.37	**52,868.32**	41,883.15	**-**	-	**604.05**	-	**138,595.22**	96,356.04
	Inter Segment Transfers	**11,944.94**	7,051.93	**7,551.70**	6,387.18	**32.93**	-	**(19,529.57)**	(13,439.12)			**-**	
		91,423.23	55,758.57	**13,196.26**	11,765.55	**52,901.25**	41,883.15	**(19,529.57)**	(13,439.12)	**604.05**	-	**138,595.22**	96,356.04
	Other Income	**210.45**	93.78	**17.68**	24.95	**100.35**	126.29			**322.92**	184.38	**651.40**	429.40
II	Segment Result												
	Operating Profit Before Interest Expenses	**(8,134.22)**	(3,641.00)	**3,699.66**	1,706.91	**11,577.40**	3,750.14			**(805.68)**	(1,725.61)	**6,337.16**	90.44
	Interest Expenses						-			**8,360.69**	8,396.65	**8,360.69**	8,396.65
	(Excess) / Short provision for Income Tax						-			**-**	383.18	**-**	383.18
	Deferred Tax (Income)/ Expense									**(433.42)**	(924.66)	**(433.42)**	(924.66)
	Net Profit											**(1,590.11)**	(7,764.73)
III	Other information												
	Segment Assets	**42,816.07**	46,474.31	**3,189.52**	3,095.29	**22,034.48**	20,827.39			**1,794.14**	2,089.24	**69,834.21**	72,486.23
	Capital assets including CWIP	**19,079.19**	20,798.34	**11,361.30**	11,885.08	**17,441.31**	16,111.52			**893.44**	204.29	**48,775.24**	48,999.23
	Segment Assets	**61,895.25**	67,272.65	**14,550.82**	14,980.37	**39,475.79**	36,938.90			**2,687.58**	2,293.53	**118,609.45**	121,485.45
	Segment Liabilities	**82,542.03**	86,353.18	**5,085.98**	5,365.86	**15,574.51**	12,341.86			**1,068.51**	1,505.88	**104,271.03**	105,566.79
IV	Capital Expenditure	**417.38**	1,751.64	**264.51**	336.79	**4,444.81**	706.36			**123.43**	115.73	**5,250.12**	2,910.52
V	Segment Depreciation	**2,109.53**	2,405.70	**810.59**	840.50	**1,330.47**	1,279.77			**109.84**	187.12	**4,360.43**	4,713.09
VI	Non cash expenses other than Depreciation	**(3.93)**	1.13	**-**	-	**(3.08)**	0.50				0.53	**(7.01)**	2.16

B) Secondary Segment

Geographical segment has been identified as secondary segment based on segment revenue.

Rs. in Lacs

	2015-2016	2014-2015
Domestic Sales	**116,762.58**	75,648.92
Export Sales	**27,518.78**	23,981.26
Total	**144,281.36**	99,630.18

Rs. in Lacs

	2015-2016	2014-2015
Capital expenditure		
within India	**5,250.12**	2,910.52
Outside India	**-**	-
Total	**5,250.12**	2,910.52

Rs. in Lacs

Segment Assets	As at 31st March 2016	As at 31st March 2015
within India	**116,070.08**	119,512.49
Outside India	**2,539.37**	1,972.96
Total	**118,609.45**	121,485.45

Significant Accounting Policies

1 Segments have been identified in line with the Accounting Standard on Segment Reporting (AS-17) taking into account the organisation structure as well as the differential risks and returns of these segments.

2 The Company has disclosed Business Segment as the primary segment.

3 Types of products and services in each business segment:

a Sugar : Production and sale of Sugar

b Cogen : Production and sale of Power

c Distillery & Chemical : Production and sale of Rectified Spirit, Extra Neutral Alcohol, Ethanol, Ethyl Acetate etc.

4 Segment Report is prepared in conformity with accounting policies adopted for preparing and presenting financial statements.

5 Inter-segment transfers are recorded at cost except for by-products Bagasse and Molasses, cost of which are unascertainable and which are recorded at prevalent market prices.

44) Related party disclosures As required by AS-18, " Related Party Disclosure" are given below :

A) Names of Related parties

CATEGORY II :

i) Key Management Personnel

Shri. Samir S. Somaiya, Shri V.V.Joshi, Shri S.N. Bableshwar, Shri G. M. Kajaria (Till 20th June, 2015) , Shri N. S. Khetan, Shri R. Rangarajan, Smt Rutika S Pawar (Till 29 th February, 2016), Miss Nishi Vijayavargia (From 15 th March, 2016)

ii) Relatives of key management personnel

Smt. Maya S. Somaiya, Ms. Harinakshi Somaiya

CATEGORY III :

Associates

Somaiya Properties and Investments Pvt Ltd., The Book Centre Ltd.,
Jasmine Trading Co. Pvt. Ltd., K.J.Somaiya & Sons Pvt. Ltd., Lakshmiwadi Mines & Minerals Pvt. Ltd.,
Somaiya Chemical Industries Pvt. Ltd., Pentokey Organy (India) Ltd,
Arpit Ltd., Filmedia Communication System Pvt Ltd, Zenith Commercial Agency Pvt Ltd, Acharya Travels
Somaiya Vidyavihar, K.J, Somaiya Institute of Applied Agricultural Research, K J Somaiya Medical Trust

B) Details of material transaction with the related parties during the year :

(Rs. in Lacs)

	Particulars	2015 - 2016	2014 - 2015
	CATERGORY II		
1	**Remuneration**		
	Shri Samir S. Somaiya	**128.54**	127.19
	Shri V V Joshi	**53.59**	42.30
	Shri S N Bableshwar	**32.70**	29.33
	Shri R Rangarajan	**65.95**	60.23
	Shri G M Kajaria	**10.20**	17.44
	Shri N S Khetan	**48.69**	38.68
	Smt Rutika S Pawar	**15.01**	13.23
	Miss Nishi Vijayavargia	**0.45**	-
		351.80	328.40
2	**Interest paid**		
	Mrs Maya S. Somaiya	**-**	2.41
	Shri Samir S. Somaiya	**-**	0.72
		-	3.13
3	**Repayment of Fixed Deposit**		
	Mrs Maya S. Somaiya	**-**	52.50
	Shri Samir S. Somaiya	**-**	13.60
		-	66.10
4	**Salary**		
	Ms. Harinakshi Somaiya	**4.86**	4.86
5	**Sales to**		
	Shri Samir S. Somaiya	**0.47**	-

(Rs. in Lacs)

	Particulars	2015 - 2016	2014 - 2015
6	**Purchases from**		
	Mrs Maya S. Somaiya	**5.63**	6.37
	Shri Samir S. Somaiya	**11.82**	8.75
	Ms. Harinakshi Somaiya	**2.86**	3.07
		20.31	18.19
	CATEGORY III		
7	**Purchases from**		
	The Book Centre Ltd.	**36.61**	31.76
	Pentokey Organy (India) Ltd.	**65.02**	109.69
	K.J, Somaiya Institute of Applied Agricultural Research	**19.14**	36.32
	Acharya Travels	**60.55**	46.40
	Zenith Commercial Agency Pvt Ltd	**51.84**	-
	Somaiya Agency Pvt Ltd	**1.59**	0.90
		234.75	225.06
8	**Rent paid to**		
	Jasmine Trading Co. Pvt. Ltd.	**98.48**	97.08
	Somaiya Properties & Investments Pvt. Ltd.	**58.21**	59.23
	Arpit Limited	**1.02**	1.01
	Somaiya Chemicals Industries Pvt. Ltd.	**1.74**	1.74
	K.J.Somaiya & Sons Pvt. Ltd.	**11.79**	11.76
		171.24	170.82
9	**Royalty paid**		
	K.J.Somaiya & Sons Pvt. Ltd.	**135.65**	104.11
10	**Service Charges paid**		
	Lakshmiwadi Mines & Minerals Pvt. Ltd.	**-**	5.15
	Filmedia Communications System Pvt. Ltd	**5.47**	5.13
	K.J.Somaiya & Sons Pvt. Ltd.	**-**	10.00
		5.47	20.28
11	**Sales to**		
	Arpit Limited	**1,250.81**	682.76
	Pentokey Organy (India) Ltd.	**261.99**	966.42
		1,512.80	1,649.18
12	**Donation paid**		
	K.J, Somaiya Institute of Applied Agricultural Research	**96.00**	84.00
	K J Somaiya Medical Trust	**2.00**	-
	Somaiya Vidyavihar	**55.50**	10.98
		153.50	94.98

C) Debit / (Credit) Balance with related parties as at 31 st March, 2016 :

		As at 31st March, 2016	As at 31st March, 2015
	CATERGORY II		
13	Advances Received		
	Shri Samir S. Somaiya	**2.02**	3.02

(Rs. in Lacs)

	Particulars	2015 - 2016	2014 - 2015
	CATERGORY III		
14	Trade Receivable / (Trade Payable)		
	The Book Centre Ltd.	**(10.11)**	(0.06)
	Somaiya Chemicals Industries Pvt. Ltd.	**0.06**	-
	Acharya Travels	**(0.09)**	1.27
	Zenith Commercial Agency Pvt Ltd	**(1.98)**	-
	Arpit Limited	**23.70**	15.31
	K.J.Somaiya & Sons Pvt. Ltd.	**(10.53)**	-
	Pentokey Organy (India) Ltd	**231.98**	633.42
	Pentokey Organy (India) Ltd	**-**	(9.75)

45) Current Assets and Loans and Advances are stated at realisable values in the ordinary course of business, as stated in Balance Sheet as per the opinion of the Management of the Company.

46) Previous year figures are regrouped and rearranged wherever necessary.

Signature to Note No. 1 to 46 attached to Balance Sheet and Statement of Profit and Loss

As per our Report of even date attached

For **DESAI SAKSENA & ASSOCIATES**
Chartered Accountants
Firm Registration Number: 102358W

Dr. S. N. Desai
Partner
Membership No: 32546

For and on behalf of the Board of Directors

Samir S. Somaiya
Chairman & Managing Director
DIN: 00295458

N. S. Khetan
Chief Financial Officer
Membership No: F037264

Vinay V. Joshi
Executive Director
DIN: 00300227

Nishi VijayVargiya
Company Secretary
Membership No: A26319

Place : Mumbai
Date : 24th May 2016

ANNEXURE to the Consolidated Financial Statements : Form AOC -1
Statement Containing Salient features of the Financial Statement of Subsidiaries , Joitn Ventures and Associates
Purusant to section 129(3) read with rules 5 of Companies (accounts) Rules, 2014.

Particulars	Solar Magic Pvt Ltd		Cayuga Investments B.V		Godavari Biorefineries B.V. **		Godavari Biorefineries Inc **	
	(WOS)		(WOS)					
Reporting period	**3/31/2016**	**3/31/2015**	**3/31/2016**	**3/31/2015**	**3/31/2016**	**3/31/2015**	**3/31/2016**	**3/31/2015**
Reporting Currency	INR	INR	EURO	EURO	EURO	EURO	USD	USD
Exchange Rate	-	-	75.404	67.845	75.404	67.845	66.243	62.530
Share Capital	19,500,000	19,500,000	33,554,708	30,191,025	1,357,269	1,221,210	10,267,665	9,692,150
Reserves & Surplus	(26,797,481)	(21,672,732)	(3,843,096)	(1,530,652)	(39,506,520)	5,038,299	(17,255,236)	(14,915,659)
Total Assets	95,786,742	44,251,296	29,939,754	28,889,689	219,237,149	173,976,827	4,759,854	6,308,212
Total Liabilities	95,786,742	44,251,296	29,939,754	28,889,689	219,237,149	173,976,827	4,759,854	6,308,212
Investments (included inTotal Assets)	-	-	18,851,111	1,899,728	-	-	-	-
Total Income (incl. Other income)	67,981,410	38,787,646	-	6,106,050	862,077,144	467,131,957	5,948,046	6,986,664
Profit/ (Loss)BeforeTax	(5,124,749)	(1,678,834)	(30,678)	8,089,024	(56,629,135)	(16,728,000)	(1,453,894)	(1,579,285)
Provision for Tax	-	-	-	-	-	-	-	(66,157)
Profit (Loss) after Tax	(5,124,749)	(1,678,834)	(30,678)	8,089,024	(56,629,135)	(16,728,000)	(1,453,894)	(1,513,128)
Proposed Dividend (incl.DividendTax)	-	-	-	-	-	(6,106,050)	-	-
Percentage of shareholding	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

WOS - Wholly Owned Subsidiary
** Step Down Subsidiary being Subsidiary of Cayuga Investment B.V.



Inaugration of MPO Plant at Sakarwadi, Maharashtra



MPO Plant at Sakarwadi, Maharashtra



Godavari Biorefineries Ltd

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